

SANLAM KENYA PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

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Group and Company Information

Principal place of business

Sanlam Tower, Waiyaki Way, Westlands
P.O Box 44041 – 00100
Nairobi

Registered office

LR No. 209/927
Uhuru Highway, building Sanlam House
P.O. Box 10493 – 00100
Nairobi

Principal Bankers

Kenya Commercial Bank Limited
Kencom House
P.O. Box 48400 – 00100
Nairobi

Absa Bank Kenya
Barclays Plaza
P.O. Box 46661 – 00100
Nairobi

Standard Chartered Bank Kenya Limited
Kenyatta Avenue
P.O. Box 30001 – 00100
Nairobi

Co-operative Bank of Kenya Limited
Ukulima Branch
P.O. Box 74956 – 00200
Nairobi

Family Bank Limited
Kenyatta Avenue Branch
P.O. Box 74145 – 00200
Nairobi

National Bank of Kenya Limited
Kenyatta Avenue
P.O. Box 30645 – 00100
Nairobi

Company secretary

Emma Wachira
Sanlam Tower
Waiyaki Way
Westlands
P.O. Box 44041 – 00100
Nairobi

Independent auditor

KPMG Kenya
Certified Public Accountants
8th Floor, ABC Towers
ABC Place, Waiyaki Way
PO Box 40612-00100
Nairobi

Legal advisers

Kaplan & Stratton Advocates
Williamson House, 4th Ngong Avenue
Nairobi

Muriu Mungai Advocates
MMC Arches
Spring Valley Crescent
Nairobi

Simba & Simba Advocates
6th Floor, Finance House
Loita Street
Nairobi

Ayugi & Njonjo Advocates
4th Floor, Capital Hill Square, Upper Hill
Nairobi

Waruhiu & Company Advocates
12th Floor, International House
Mama Ngina Street

Five-year group review

In millions of Kshs	2023	2022	2021	2020	2019
		Restated			
Statement of profit or loss:					
Profit/(loss) before tax and share of profit of associate	243	286	(414)	(529)	550
(Loss)/profit after tax attributed to shareholders	(127)	(83)	(542)	(628)	114
Insurance business:	2023	2022	2021	2020	2019
Insurance service result	589	(82)	IFRS 4*	IFRS 4*	IFRS 4*
Investment return	1,061	2,045	IFRS 4*	IFRS 4*	IFRS 4*
Net financial result	485	881	IFRS 4*	IFRS 4*	IFRS 4*
	2023	2022	2021	2020	2019
Statement of financial position:		Restated	Restated		
Total equity	866	993	1,076	1,107	1,735
Life insurance contract liabilities (Note 23(a))	25,154	25,938	24,200	20,894	19,605
General insurance contract liabilities (Note 23(a))	2,776	3,686	3,969	1,373	947
Share capital	720	720	720	720	720
Total assets	35,535	36,717	34,254	31,039	29,032
		Restated			
Key indicators:	KShs	KShs	KShs	KShs	KShs
Basic (loss)/earnings per share	(1.12)	(0.50)	(2.79)	(3.55)	0.79
Market capitalisation at year end (KShs. m)	864	1,380	1,663	1,865	2,478
Group share prices at the NSE:					
Annual high	9.58	15	14	22	26
Annual low	6	7.56	9	20	16
Share price at year end	6	9.58	11.55	12.95	17.2

IFRS 4* These items were not assessed under IFRS 17 in 2019, 2020 and 2021. 2021 restatement was done only on the statement of financial position.

Report of the directors

The directors are pleased to present the annual report and audited consolidated and separate financial statements for the year ended 31 December 2023 which discloses the state of affairs of Sanlam Kenya Plc (the “Company”) and its subsidiaries (together the “Subsidiaries” and each one a “Subsidiary”) (together the “Group”).

The annual report and consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Kenyan Companies Act, 2015.

Business review

Principal activities

The principal activity of the Group as a non-banking financial institution is the underwriting of life and non-life insurance risks such as those associated with death, disability, credit protection, mortgage protection and property protection through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited. The Group has interests in a wholly owned investment company (Sanlam Securities Limited), wholly owned former investment management company (Sanlam Investments Limited) (dormant), Mae Properties Limited (dormant) and Chem Chemi Mineral Water Limited (dormant).

Financial performance, Value of New Business (VNB) and New Business Projections: Value of new business is a strong indicator that the business is currently underwriting business sustainably, the new business is being underwritten profitably and that future profits are expected from the profitable long-term book.

Projections indicate that Group, through its subsidiaries is expected to continue posting positive operating profits and Value of New business in the future.

The below table illustrates the strategies that will drive the business achieve its objective.

	Strategic thrust	Management effort	Enablers
1	Strategic partnering & Channels	Bancassurance partners Brokers & Independent Agents. Direct channels	Governance Customer service Risk management
2	Innovation	Technology/Digitization Processes Products Customer experience/Journey	Talent management Systems/processes
3	Strategic Expense management	Operating mode Transaction Processing	Data management Capital management
4	Culture & Control environment	Culture change	Leadership

The Group’s performance

The Group recorded a profit before tax of KShs 242,787,000 (2022: KShs 285,765,000 restated).

The key performance indicators of the Group over a five-year period have been highlighted on page 2.

Report of the directors (continued)

The directors who held office during the year and up to the date of this report are:

Director	Directorship	Nationality
Dr John P N Simba	Non-executive and Chairman	Kenyan
Dr Patrick Tumbo	Executive	Kenyan
Rohan Balooobhai Patel	Non-executive	Kenyan
Tobias Ockert Doyer	Non-executive	South African
Nelius Bezuidenhout	Non-executive	South African
Cornelius Foord	Non-executive	South African
Freda Britz	Non-executive	South African
Dr Grace Mirigo Mwai	Non-executive	Kenyan
Rose Agutu	Non-executive	Kenyan

Financial statements

At the date of this report, the directors were not aware of any circumstances, which would have rendered the values attributed to the assets and liabilities in the financial statements of the Group and Company to be misleading.

Disclosures to the auditor

The directors confirm that with respect to each director at the time of approval of this report:

- (a) there was, as far as each director is aware, no relevant audit information of which the Group's auditor is unaware; and
- (b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Auditor

The auditor, KPMG Kenya, have expressed their willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

The directors monitor the effectiveness, objectivity, and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

Going concern

The directors are aware of the following conditions:

- (i) During the year under review, the Group reported an after-tax loss of KShs 127 million (2022: KShs 83 million restated) while the Company reported an after-tax loss of KShs 536 million (2022: an after-tax loss of KShs 208 million),
- (ii) The consolidated cumulative losses as at 31 December 2023 was KShs 2,289 million (2022: KShs 1,997 million restated), while the Company cumulative losses as at 31 December 2023 was KShs 2,757 million (2022: KShs 2,221 million).
- (iii) The Group reported a consolidated negative cash flows from operating activities of KShs 1,151 million while the Company reported negative cash flows operating activities of KShs 120 million for the year ended 31 December 2023
- (iv) As at 31st of December 2023, the Group holds a credit facility of KShs 3.5 billion with Stanbic Bank which is set to mature in March 2025.

Report of the directors (Continued)

Going concern (continued)

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- (i) Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya Plc whose performance has demonstrated a strong financial performance in the year ended 31 December 2023, generating an after-tax profit of KShs. 534 million. A dividend of KShs 150 million has already been paid in 2023 and further Kes 400 million has been paid in April 2024 to its shareholder, Sanlam Kenya Plc, to enable the entity fund its financial obligations for the year 2024.
- (ii) The Sanlam General Insurance Limited returned to profitability during the year 2023 posting KShs. 123 million in after-tax profits and has a projected after-tax profit of KShs 229 million in the year 2024 which affirms the entity's ability to continue as a going concern. The entity is now in a net asset position of KShs 193 million (2022 KShs 71 million).
- (iii) Sanlam Emerging Markets the intermediate parent company advanced a loan of KShs 1,085 million to Sanlam General Insurance Limited to bridge the capital shortfall on 5 May 2022. The loan has been extended for a further 18 months and will now mature on 5 May 2025. Further, the loan agreement between Sanlam General Insurance Limited (the borrower) and Sanlam Emerging Markets (Pty) Limited (the lender) provides that "payment shall not be commenced or continued if it results in the CAR of the Borrower falling below 100%" and "(notwithstanding the Maturity Date), the loan shall not be repaid nor shall the lender exercise any right of set-off against other amounts which may be due by the lender to the borrower until the date upon which the CAR Shortfall has been extinguished, whereupon, the loan (together with all accrued interest, costs and charges) shall automatically become repayable in full."
- (iv) Sanlam Kenya Plc's credit facility of KShs 3.5 billion is adequately secured by a corporate guarantee from Sanlam Limited. Based on the repayments made subsequent to year-end (in 2024), the projected amount is expected to amount to KShs 3.7 billion, comprising KShs 3.0 billion principal and KShs 700 million in accrued interest by the maturity date in March 2025.
- (v) Sanlam Kenya Plc has restructured the loan facility, temporarily resolving the liquidity challenge as the group isn't expected to service the interest payments of the debt facility until the facility is due in March 2025.

The Directors have considered the above-mentioned matters and have prepared the year 2023 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future.

Approval of consolidated and separate financial statements

The consolidated and separate financial statements of Sanlam Kenya Plc for the year ended 31 December 2023 were authorised for issue in accordance with a resolution of the directors on 22 April 2024.

By Order of the Board



Emma Wachira
Company Secretary

Date: 22 April 2024.

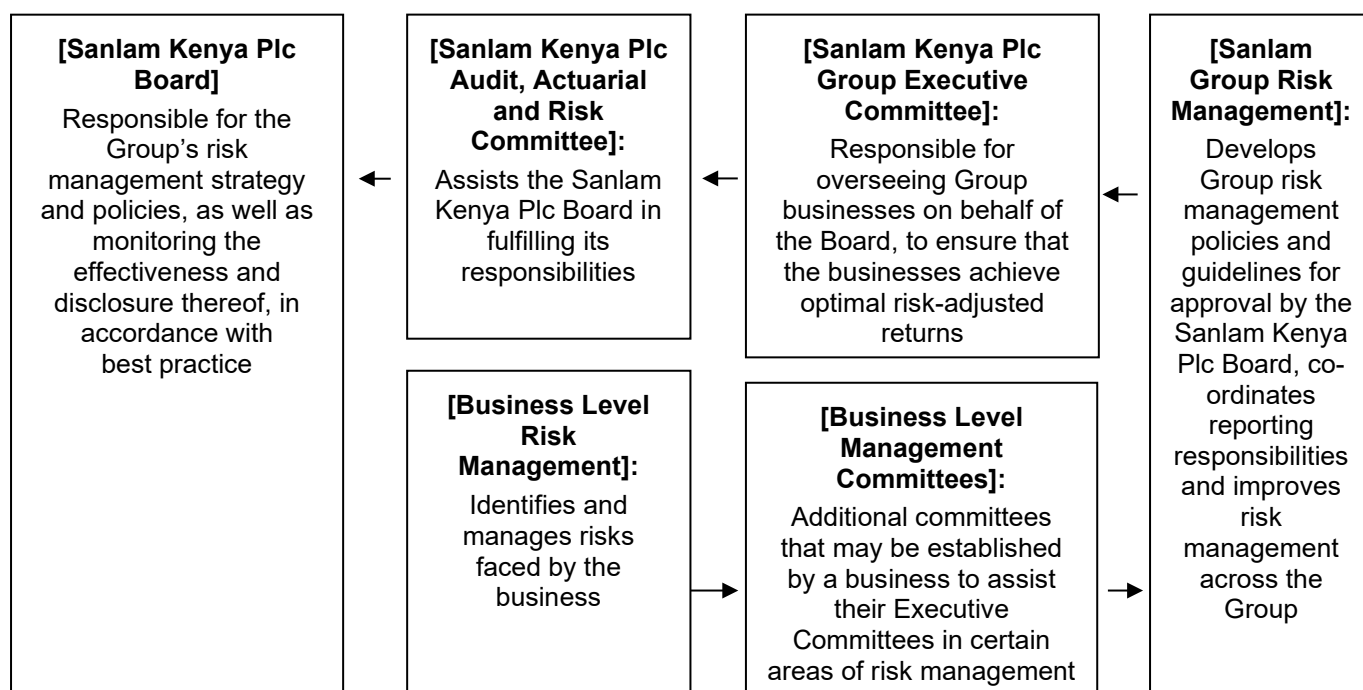
Risk management

The Group's activities expose it to a variety of financial risks including credit, liquidity, and market risks. The Group's overall risk management policies are set out by the board and implemented by the management and focus on the unpredictability of changes in the business environment and seek to minimise the potential adverse effects of such risks on the Group's performance by setting acceptable levels of risk. The Group does not hedge against any risks.

(a) Governance structure

The Board meetings of the Group are held according to a Board calendar that is planned at the beginning of each year. The Board meetings are scheduled in a manner that increases the efficiency of the Board. Meetings of the Boards and Board Sub-committees of the subsidiaries are held first, and Sanlam Kenya Plc's Board and Board Sub-committees meet after the subsidiaries Boards conclude their meetings and prepare their reports for submission to the Board of Sanlam Kenya Plc. The agenda of the Board focuses on Group strategy, capital management, accounting policies, financial results, dividend policy, human resource development, corporate governance and requirements of the Capital Markets Authority (CMA) and Nairobi Securities Exchange (NSE). The Board of each group company is responsible for statutory matters as well as monitoring operational efficiency and risk issues throughout the Group.

The Group operates within a decentralised business model. In terms of this philosophy, the Sanlam Kenya Plc Board sets the Group risk management policies and frameworks while the individual businesses take responsibility for all operational and risk-related matters at a business level, within the limits set by these policies and frameworks. The following diagram generically depicts the flow of risk management information from the individual businesses to the Sanlam Kenya Plc Board.



Risk management (Continued)

(a) Governance structure (continued)

A number of other risk monitoring mechanisms are operating within the Group as part of the overall risk management structure. The most important of these are illustrated in the following table.

OTHER RISK MONITORING MECHANISMS		
[Capital Management] Reviews and oversees the management of the Group's capital base	[Asset and Liability Matching] Determines appropriate investment policies and guidelines for policyholder portfolios where guarantees are provided	
[Compliance] Facilitates management of compliance through analysing of statutory and regulatory requirements, and monitoring implementation and execution thereof	[Group Risk Forum] Aids co-ordination and transfer of knowledge between businesses and the Group, and assists Group Risk Management in identifying risks requiring escalation to the Sanlam Kenya Plc Board	[Non-listed Assets] The Audit Committee reviews and approves the valuation of all unlisted assets in the Group for recommendation to the Sanlam Kenya Plc Board
[Chief Financial Officer (Finance)] Ensures that sound financial practices are followed, adequate and accurate reporting occurs, and financial statement risk is minimised	[Actuarial] Monitors and reports on key risks affecting the life insurance operations. Determines capital requirements of the life insurance operations and the potential impact of strategic decisions thereon, by using appropriate modelling techniques	[Group Legal and Corporate Secretarial] Reviews and reports on corporate governance practices and structures. Reports on applicable Legal and compliance matters
[Sanlam Forensics] Investigates and reports on fraud and illegal behaviour in businesses	[Investment Committee] Determines and monitors appropriate investment strategies for policyholder solutions	[IT Risk Management] Manages and reports Group-wide IT risks
[Risk Officer] Assists business management in their implementation of the Group risk management strategy, and to monitor the risk profile of the business	[Internal Audit] Assists the Sanlam Kenya Plc Board and management by monitoring the adequacy and effectiveness of risk management in businesses	

(b) Group risk policies and guidelines

All risks are managed in terms of the policies and guidelines of the Board and its committees. Some of the main policies are:

- (i) The Group Enterprise Risk Management (ERM) Framework

Risk management (Continued)

(b) Group risk policies and guidelines (continued)

- (ii) The Group Strategic Risk Management (SRM);
- (iii) Group Risk Escalation Policy (REP);
- (iv) Group Business Continuity Policy (BCP);
- (v) Group Information and Communication Technology (ICT) Risk Management Policy;
- (vi) Assets and Liabilities Matching (ALM) Policy; and
- (vii) Group Investment Policy.

The above policies were developed by Sanlam Group Enterprise Risk Management and have been implemented by all Group businesses. The maturity of the implementation within the Group does, however, vary from business to business due to different cost/benefit scenarios, complexity of risks and the degree of risk integration. At the quarterly Sanlam Kenya Plc Board, risk management reports are tabled that must also indicate the extent of compliance with the Sanlam Risk Management Policies.

The aim of the Group Escalation Policy is to ensure that key risks and risk events in any business in the Group are reported to the appropriate governance level. The Group Business Continuity Policy ensures that effective vertical and horizontal recovery abilities, consistent with business priorities, exist across the Group, to deal with disasters and related contingencies. The Sanlam Kenya Plc Group Strategic Risk Management is briefly summarised below:

Sanlam Kenya Plc Group Strategic Risk Management (SRM)

Definition

SRM is a high-level over-arching approach to ensure that:

- (i) All risks which could jeopardise or enhance achievement of the Group's strategic goals are identified;
- (ii) Appropriate structures, policies, procedures and practices are in place to manage these risks;
- (iii) Sufficient organisational resources are applied to, and corporate culture is fully supportive of, the effective implementation of these structures, policies, procedures and practices;
- (iv) The organisation's risks are indeed being managed in accordance with the foregoing; and
- (v) The impact of strategic decisions on the risk-adjusted return on Group Embedded Value is considered by way of appropriate modelling techniques prior to such decisions being implemented.

Objective

The primary objective of SRM is to optimise the Group's risk-adjusted return on Group Embedded Value.

Philosophy

SRM is achieved by:

- i. Applying a decentralised philosophy, in that the individual businesses are responsible for the identification of risks in their business and to apply appropriate risk management. Only significant risks are escalated to the Sanlam Kenya Plc. Group level, in accordance with the Group Risk Escalation Policy (mentioned above). This policy guides the businesses to assess the impact of the risk (on a scale of insignificant to extreme), likelihood of risk (on a scale of rare to almost certain), and accordingly to determine the role players to whom the risk should be reported (from the Enterprise Risk Manager of the business to the chairman of the Audit, Actuarial, Risk and Compliance Committee).

Risk management (Continued)

(b) Group risk policies and guidelines (continued)

Philosophy (continued)

Risk is inherent in doing business and includes all of the uncertain consequences of business activities that could prevent Sanlam Kenya Plc from achieving its strategic goals. The Group's strategic risk management process is aimed at managing three elements of risk:

- i. **Opportunity:** managing risk on the upside as an "offensive" function; focusing on actions taken by management to increase the probability of success and decrease the probability of failure;
- ii. **Hazard:** managing risk on the downside as a "defensive" function; focusing on the prevention or mitigation of actions that can generate losses; and
- iii. **Uncertainty:** managing the uncertainty associated with risk, focusing on achieving overall financial performance that falls within a defined acceptable range.

Process

Each business has a documented process that links into the business's normal management process and includes:

— Strategic organisational and risk management context:

- Strategic context (defining the strengths, weaknesses, opportunities and threats relative to the business environment),
- Organisational context (understanding the business's goals, strategies, capabilities and values), and
- Risk management context (setting of scope and boundaries).

— Developing risk evaluation criteria, defining a logical framework for risk identification, establishing a risk identification process, analysing the risks identified, evaluating the risks against established risk criteria, deciding on the appropriate action and communication, with the aim of continuous management and improvement.

(c) Risk types

The Group is exposed to the following main risks:

	Risk type	Description	Potential significant impact
GENERAL RISKS	Operational	Operational risk is the risk that there is a loss as a result of inadequate or failed internal processes, people or systems and external events. Operational risk includes:	All Group businesses
		Information and technology risk: the risk of obsolescence of infrastructure, deficiency in integration, failures/inadequacies in systems/networks and the loss of accuracy, confidentiality, availability and integrity of data.	
		Going concern/business continuity risk: the risk that inadequate processes, people, financial controls and resources exist to continue business in the foreseeable future.	
		Legal risk: the risk that the Group will be exposed to contractual obligations which have not been provided for.	
		Compliance risk: the risk of not complying with laws and regulations, as well as investment management mandates.	
		Fraud risk: the risk of financial crime and unlawful conduct occurring within the Group.	

Risk management (Continued)

c) Risk types (continued)

GENERAL RISKS	Risk type	Description	Potential significant impact
	Taxation	Taxation risk is the risk of financial loss due to changes in tax legislation that result in the actual tax on shareholders' fund earnings being higher than expected, with a corresponding reduction in return on Group Embedded Value; or the actual policyholder tax being higher than that assumed in the determination of premium rates and guaranteed policy benefits.	All Group businesses
	Reputational	Reputational risk is the risk that the actions of a business (e.g. the treatment of clients, employment equity and social responsibility) harm its reputation and brand.	All Group businesses
	Legislation	Legislation risk is the risk that unanticipated new acts or regulations will result in the need to change business practices that may lead to financial loss.	All Group businesses
	Strategic	Strategic risk is the risk that the Group's strategy is inappropriate or that the Group is unable to implement its strategy.	All Group businesses

Risk management (Continued)

(c) Risk types (Continued)

	Risk type	Description	Potential significant impact
FINANCIAL AND BUSINESS (SPECIFIC RISKS)	Market	— Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market price. Market risk includes:	Life insurance General insurance
		— Equity risk: the risk that the fair value of cash flows of a financial instrument will fluctuate as a result of changes in equity prices.	
		— Interest rate risk: the risk that the value of an unmatched financial instrument will fluctuate as a result of changes in interest rates and the risks that mismatch losses will be incurred in respect of a matched asset/liability position following changes in interest rates.	
		— Foreign Exchange Risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.	
		— Property risk: the risk that the value of investment properties will fluctuate as a result of changes in the environment.	
	Credit	Credit risk is the risk that the Group will incur a financial loss from the inability or unwillingness of a counterparty to a financial instrument to discharge its contractual obligations. Credit risk includes:	Group
		Reinsurance risk: concentration risk with individual reinsurers, due to the nature of the reinsurance market and the restricted range of reinsurers that have acceptable credit ratings.	Life insurance General insurance
	Liquidity	Liquidity risk is the risk relating to the difficulty/inability to accessing/raising funds to meet commitments associated with financial instruments or policy contracts.	All Group businesses
	Insurance	Insurance risk includes:	Life insurance General insurance
		— Underwriting risk: the risk that the actual experience relating to mortality, disability and medical risks will deviate negatively from the expected experience used in the pricing of solutions and valuation of policy liabilities.	
		— Persistency risk: the risk of financial loss due to negative lapse, surrender and paid-up experience.	
		— Expense risk: the risk of loss due to actual expense experience being worse than that assumed in premium rates and the valuation of policy liabilities.	
		— Concentration risk: the risk of financial loss due to having written large proportions of business with policyholders of the same/similar risk profile.	
	Capital adequacy	Capital adequacy risk is the risk that there are insufficient assets to provide for variations in actual future experience, worse than that which has been assumed in the valuation bases.	Life insurance General insurance

Risk management (Continued)

(c) Risk types (continued)

1. Operational risk

The Group mitigates this risk through the strategic planning process, selection of experienced and technically competent staff with high ethical values, a comprehensive system of internal controls, internal audit, forensic and compliance functions and other measures such as back-up facilities, contingency planning and insurance. The initiation of transactions and their administration is conducted based on the segregation of duties, designed to ensure the correctness, completeness and validity of all transactions.

The management of risks associated with human resources is addressed in the Corporate Governance Report.

The following functions assist in mitigating operational risk:

(i) Internal audit

A board-approved internal audit charter governs internal audit activity within the Group. A regular risk-focused review of internal control and risk management systems is carried out and has unrestricted access to the Chairman of the Audit Committee and the Sanlam Kenya Plc Board. The authority, resources, scope of work and effectiveness of the functions are reviewed regularly.

(ii) External audit

The Group's external auditor is KPMG Kenya. The external auditors consider internal control relevant to the Group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances and express an independent opinion on the annual financial statements. Non-audit services rendered by the external auditors are strictly governed by a Group policy in this regard.

(iii) Enterprise Risk Management

The Enterprise Risk Management function performs an annual review of the Group's risk management processes. The purpose of this review is to continuously identify potential areas for improved risk management in line with developing international best practice and the changing risk profile of the Group or any business units. The function also supports business units within the Group to incorporate risk considerations into their agenda and all decision-making processes.

2. Information and technology risk

The Group Information and Communication Technology risk management policies are authorised and ratified by the Group Executive Committee. These policies stipulate the role of the Information Security manager and other persons with IT risk management roles. Furthermore, it provides a framework of IT risk management, the methods of reporting, assessment and action, appropriate documentation and management of all risk-related IT incidents that have occurred, timing of communication and liaison with other functions in the Group.

3. Compliance risk

Laws and regulations:

The Group considers compliance with applicable laws, industry regulations and codes an integral part of doing business. The Group compliance function facilitates the management of compliance through the analysis of statutory and regulatory requirements and monitoring the implementation and execution thereof.

Risk management (Continued)

(c) Risk types (continued)

4. Fraud risk

The Group recognises that financial crime and unlawful conduct are in conflict with the principles of ethical behaviour, as set out in the Group's code of ethics and undermines the organisational integrity of the Group. The financial crime combating policy for the Sanlam Kenya Plc Group is designed to counter the threat of financial crime and unlawful conduct. A zero-tolerance approach is applied in combating financial crime and all offenders will be prosecuted. The forensic services function at Group level oversees the prevention, detection and investigation of incidents of unlawful conduct that are of such a nature that they may have an impact on the Group.

The head of each business unit is responsible for the implementation of the policy in his or her respective business and is accountable to the Group Chief Executive and the Board of Sanlam Kenya Plc. Quarterly reports are submitted by Group Forensic Services to the Group's Audit Committee on the incidence of financial crime and unlawful conduct in the Group and on measures taken to prevent, detect, investigate and deal with such conduct.

5. Taxation risk

The risk is addressed through clear contracting to ensure that policy contracts entitle policyholders to after-tax returns, where applicable. The Group's internal tax resources monitor the impact of changes in tax legislation and are involved in the development of new products. External tax advice is obtained as required.

The Group consults widely with tax consultants when considering new initiatives to identify tax impact. As much as possible, the Group policy is to negotiate contracts gross of tax. Overseas contracts are negotiated inclusive of taxes and preference is given to parties in countries where Kenya has double taxation agreement.

6. Reputational risk

Actions with a potential reputational impact are escalated to the appropriate level of senior management. The Audit committee and board of directors are involved as required. Events with an industry-wide reputational impact are addressed through industry representative groups. Quarterly reports on the client complaints and adverse media mentions are submitted to the Executive Committee.

7. Strategic risk

The Group's governance structure and various monitoring tools in place ensure that any events that affect the achievement of the Group's strategy are escalated and addressed at the earliest opportunity. The Board has no tolerance for any breaches.

Group strategy is addressed on a continuous basis at various forums within the Group, the most important of which are:

- The Group's strategic direction and success is discussed and evaluated at an annual strategic session of the Group's Board as well as at the scheduled Board meetings during the year;
- As part of the annual budgeting process, the Group businesses present their strategic plans and budgets to the Executive Committee of the Group, which ensures that the businesses' strategies are aligned with the overall Group strategy; and
- The Group's Executive Committee, which includes the Group Chief and the Chief Executives of the various Group businesses, meets on a regular basis to discuss, among others, the achievement of the businesses' and Group's strategies. Any strategic issues are identified at these meetings and corrective actions are immediately implemented.

Profile of Directors

DR. JOHN P N SIMBA (79) (Chairman)

Appointed to the Board in December 2001. Appointed as Chairman in March 2002

Occupation: Lawyer, Partner in Simba & Simba, Advocates

Academic Qualifications: LLD (Hons) University of Nairobi, Bachelor of Law (University of Dar-es-Salaam).

Professional Qualification: Advocate of the High Court of Kenya.

Professional Qualification: Fellow of the Institute of Chartered Accountants in England and Wales.

DR. PATRICK TUMBO (60)

Appointed to the board on 2 August 2018

Occupation: Group Chief Executive Officer

Academic Qualifications: Master of Business Administration (MBA) - Strategic Management (Major) and Strategic Marketing (Minor) – University of Nairobi (Kenya), Bachelor of Commerce (Insurance) – University of Nairobi (Kenya)

Professional Qualification: Chartered Insurer; Associate of Chartered Insurance Institute and member of the Society of Fellows of The Chartered Insurance Institute (London, United Kingdom), Associate of Insurance Institute of Kenya - (Kenya)

ROHAN PATEL (48)

Appointed to the Board on 16 May 2014

Occupation: Director of Corporate Development

Academic Qualifications: MBA International Management Development, MSc Management (LSE), BA Geography (LSE)

Professional Qualifications: Certificate in Real Estate, Development and Hotel Investment, Cornell University.

FREDA BRITZ (57)

Appointed: 8 November 2018

Occupation: Qualified chartered accountant

Qualification: B.Com; Rand Afrikaans University, Post Graduate Diploma in Accountancy (Honours) & CTA, CA (SA), CMA (CIMA), Cert. Dir SAICA

NELIUS BEZUIDENHOUT (41)

Appointed: 8 November 2018

Occupation: Life Insurance Executive: Finance, Actuarial, Product: SanlamAllianz Life

Qualification: Fellow of Actuarial Society of South Africa

CORNELIUS FOORD (66)

Appointed: 8 November 2018

Occupation: Consultant

Qualification: Honours degree in Accounting and Masters Degree in Business Management – University of South Africa

DR GRACE MIRIGO MWAI (44)

Appointed: 9 May 2019

Occupation: Compliance Officer AGRA for the Partnership for Inclusive Agricultural Transformation in Africa (PIATA)

Qualification: Doctorate in Business Administration (USIU), MBA (University of Nairobi) and Bachelor of Commerce (University of Nairobi)

ROSE AGUTU (61)

Appointed: 9 May 2019

Occupation: Banker

Qualification: Bachelor of Commerce (University of Nairobi), Women's Leadership Development Program (WLDP)/ University of California (UCLA) – Los Angeles

Profile of Directors (Continued)

DR TOBIAS DOYER (51)

Appointed: 29 March 2022

Occupation: Regional Executive Eastern and Southern Cluster, Sanlam Pan Africa General Insurance

Qualification: PhD Agricultural Economics (University of Pretoria), South Africa, Diploma in the Specialised Studies of Agricultural Development (University of Gent), Belgium, BSc Agric & BSc Agric

Hons: Agricultural Economics (University of Pretoria), South Africa

Statement of Directors' Responsibilities

The Directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements of Sanlam Kenya Plc (Group and Company) set out on pages 29 to 156 which comprise the consolidated and company statements of financial position as at 31 December 2023, and the consolidated and company statements of profit or loss, consolidated and company statements of other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of material accounting policies.

The Directors' responsibilities include determining that the basis of preparation described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the Directors are required to prepare consolidated and separate financial statements for each financial year which give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of the profit or loss of the Group and Company for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position and profit or loss of the Group and Company.

The Directors accept responsibility for the consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the financial position of the Group and Company and of their profit or loss.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

The directors are aware of the following conditions:

- (i) During the year under review, the Group reported an after-tax loss of KShs 127 million (2022: an after-tax loss of KShs 83 million restated) while the Company reported an after-tax loss of KShs 536 million (2022: an after-tax loss of KShs 208 million),
- (ii) The cumulative losses as at 31 December 2023 was KShs 2,288 million (2022: KShs 1,996 million restated), while the Company cumulative losses as at 31 December 2023 was KShs 2,757 million (2022: KShs 2,221 million).
- (iii) The Group reported a consolidated negative cash flows from operating activities of KShs 1,151 million while the Company reported negative cash flows operating activities of KShs 120 million for the year ended 31 December 2023.
- (iv) As at 31st of December 2023, the Group holds a credit facility of KShs 3.5 billion with Stanbic Bank which is set to mature in March 2025.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- (i) Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya Plc whose performance has demonstrated a strong financial performance in the year ended 31 December 2023, generating an after-tax profit of KShs. 534 million. A dividend of KShs 150 million has already been paid in 2023 and further Kes 400 million has been paid in April 2024 to its shareholder, Sanlam Kenya Plc, to enable the entity fund its financial obligations for the year 2024.
- (ii) The Sanlam General Insurance Limited returned to profitability during the year 2023 posting KShs. 123 million in after-tax profits and has a projected after-tax profit of KShs 229 million in the year 2024 which affirms the entity's ability to continue as a going concern. The entity is now in a net asset position of KShs 193 million (2022: KShs 71 million).

Statement of Directors' Responsibilities (Continued)

- (iii) Sanlam Emerging Markets the intermediate parent company advanced a loan of KShs 1,085 million to Sanlam General Insurance Limited to bridge the capital shortfall on 5 May 2022. The loan has been extended for a further 18 months and will now mature on 5 May 2025. Further, the loan agreement between Sanlam General Insurance Limited (the borrower) and Sanlam Emerging Markets (Pty) Limited (the lender) provides that "payment shall not be commenced or continued if it results in the CAR of the Borrower falling below 100%" and "(notwithstanding the Maturity Date), the loan shall not be repaid nor shall the lender exercise any right of set-off against other amounts which may be due by the lender to the borrower until the date upon which the CAR Shortfall has been extinguished, whereupon, the loan (together with all accrued interest, costs and charges) shall automatically become repayable in full.
- (iv) Sanlam Kenya Plc's credit facility of KShs 3.5 billion is adequately secured by a corporate guarantee from Sanlam Limited. Based on the repayments made subsequent to year-end (in 2024), the projected amount is expected to amount to KShs 3.7 billion, comprising KShs 3.0 billion principal and KShs 700 million in accrued interest by the maturity date in March 2025.
- (v) Sanlam Kenya Plc has restructured the loan facility, temporarily resolving the liquidity challenge as the group isn't expected to service the interest payments of the debt facility for an additional two years until the facility is due in March 2025.

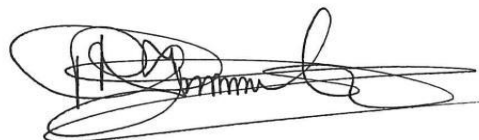
The Directors have considered the above-mentioned matters and have prepared the year 2023 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future.

Approval of the consolidated and separate financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 22 April 2024.



Dr John P N Simba
Chairman



Dr Patrick Tumbo
Group Chief Executive Officer

Date: 22 April 2024.

Directors' remuneration report

Information not subject to audit

The Company's Directors Remuneration Policy and Strategy

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly stipulate remuneration elements such as Directors' fees, honorarium and attendance allowances that are competitive and in line with those of other players in the industry.

In accordance with the guidelines provided in the Companies (General) (Amendment) Regulations, Code of Corporate Governance as well as shareholder approval granted at the Annual General Meeting; the Directors and the Chairman are paid a taxable sitting allowance of KShs 99,040 and KShs 159,565 respectively, for every meeting attended.

It is proposed that each Director and the Chairman receives a gross fee of KShs 3,345,345 and KShs 4,249,909 respectively per annum for the financial year ended 31 December 2023 subject to approval by shareholders during the Annual General Meeting.

Contract of service

In accordance with the Capital Markets Authority (CMA) regulations on non-executive Directors, a third of the Board retires by rotation and is elected at every Annual General Meeting by the shareholders on rotation basis.

The Group Chief Executive Officer has a permanent and pensionable contract with Sanlam Kenya Plc which commenced 2 August 2018.

Changes to Directors Remuneration

During the period, there were no changes in Directors Remuneration which is set as per the guidelines provided in Companies (General) (Amendment) Regulations and the Code of Corporate Governance.

Statement of Voting on the Directors Remuneration Report at the Previous Annual General Meeting

During the Annual General Meeting held on 11 May 2023, the shareholders unanimously approved the payments of Directors fees for the year ended 31 December 2022 by a show of hands.

The Group will schedule its Annual General Meeting in June 2024; the Notice of the Annual General Meeting will be circulated to the shareholders beforehand and approval will be sought from shareholders to pay Director Fees for the financial year ended 31 December 2023.

Information subject to audit

The following table shows a single figure remuneration for the Executive Directors, Chairman and Non-Executive directors in respect of qualifying services for the year ended 31 December 2023 together with the comparative figures for 2022. The aggregate Directors' emoluments are shown on Note 31 (d). The fees paid to Sanlam Emerging Markets directors do not accrue to them personally.

For the year ended 31 December 2023	Salary and short-term benefits KShs '000	Fees KShs '000	Total KShs '000
Patrick Tumbo – Executive	112,679	-	112,679
John P N Simba – Chairman	-	4,250	4,250
Tobias Doyer	-	2,474	2,474
Rose Agutu	-	2,850	2,850
Grace Mwai	-	3,325	3,325
Rohan Baloobhai Patel	-	3,246	3,246
Nelius Bezuidenhout	-	3,246	3,246

Directors' remuneration report (Continued)

Information subject to audit (continued)

For the year ended 31 December 2023	Salary and short-term benefits KShs '000	Fees KShs '000	Total KShs '000
Cornelius Foord	-	2,850	2,850
Freda Britz	-	3,345	3,345
	112,679	25,586	138,265

For the year ended 31 December 2022			
Patrick Tumbo – Executive	85,654	-	85,654
John P N Simba – Chairman	-	3,971	3,971
Julius Nyakia Magabe	-	710	710
Tobias Doyer	-	1,848	1,848
Rose Agutu	-	2,465	2,465
Grace Mwai	-	2,913	2,913
Rohan Baloobhai Patel	-	3,193	3,193
Nelius Bezuidenhout	-	2,932	2,932
Cornelius Foord	-	2,110	2,110
Freda Britz	-	3,006	3,006
	85,654	23,148	108,802

Pension related benefits

	2023 KShs '000	2022 KShs '000
Dr Patrick Tumbo – Executive	7,844	7,351
	7,844	7,351

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure requirements under the IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) with respect to related parties (see Note 31 to the consolidated and separate financial statements).

On behalf of the Board



Grace Mwai
Chairperson, Remuneration Committee

Date: 22 April 2024.

Report of the Statutory Actuary – Sanlam Life Insurance Limited

I have conducted a statutory actuarial valuation of the long-term business of Sanlam Life Insurance Limited as at 31 December 2023.

This valuation has been conducted in accordance with generally accepted actuarial principles and in compliance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require that prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the financial statements of the Company.

In my opinion, the long-term business of the Company was financially sound and the actuarial value of the liabilities in respect of all classes of long-term insurance business did not exceed the amount of funds of the long-term insurance business at 31 December 2023.



Giles T Waugh
Statutory Actuary
Fellow of the Actuarial Society of South Africa

Date: 22 April 2024.

Report of the Statutory Actuary – Sanlam General Insurance Limited

I have conducted an actuarial valuation of Sanlam General Insurance Limited as at 31 December 2023.

The valuation was conducted in accordance with generally accepted actuarial principles and in accordance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the financial statements of the company.

In my opinion, the general business of the Company was financially sound and the actuarial value of the liabilities in respect of all the classes of general business did not exceed the amount of outstanding claims liabilities of the general business at 31 December 2023.



James Olubayi
Zamara Actuaries, Administrators & Consultants Limited

Date: 22 April 2024.



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INDEPENDENT AUDITOR'S REPORT **TO THE MEMBERS OF SANLAM KENYA PLC**

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Sanlam Kenya Plc (the "Group and Company") as set out on pages 29 to 156 which comprise the consolidated and company statements of financial position as at 31 December 2023, and the consolidated and company statements of profit or loss, consolidated and company statements of other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policies.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Sanlam Kenya Plc as at 31 December 2023, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on the audit of the consolidated and separate financial statements (Continued)

Key audit matters (continued)

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements

See notes 2.2.1, 6, 17, 19, and 33 (h) to the financial statements.

The key audit matter	How the matter was addressed in our audit
At 31 December 2023, the Group held insurance contract liabilities as well as reinsurance contract assets and liabilities as a result of its insurance operations. The Group applies IFRS 17 <i>Insurance contracts</i> (effective 1 January 2023) to insurance contracts and reinsurance contracts it holds. Transition from IFRS 4 - Insurance contracts ('IFRS 4') to IFRS 17 - Insurance contracts ('IFRS 17') In retrospectively applying IFRS 17, the Group has restated insurance and reinsurance contract assets and liabilities to reflect the requirements of the new standard and in doing so, has made certain key judgments and assumptions to develop its accounting policies. The key judgements applied on transition were: — The determination of the transition approach (fully retrospective or fair value approach) based on the required impracticability assessments performed. — Determining the appropriate measurement models for insurance and investment contracts with discretionary participation features. — Level of aggregation used for measuring and reporting on groups of contracts. — The assumptions applied in calculating the opening contractual service margin (CSM) where the fully retrospective approach has been applied.	Our audit procedures regarding the transition from IFRS 4 to IFRS 17 included: — We assessed whether the Group's chosen accounting policies and methodologies were in compliance with IFRS 17 and that the nature and substance of the policies issued by the Group supported the policy elections made on transition. — We tested the impracticability assessments prepared by management for a sample of cohorts where the fully retrospective approach was not followed; — We assessed the appropriateness of the assumptions used in determining the contractual service margin (CSM) of cohorts where the fair value approach was selected and the accuracy of the data used in these calculations. — We challenged the judgements applied by management in assessing whether contracts transferred significant insurance risk or whether they met the criteria to be classified as investment contracts with discretionary participation features. This included evaluating the nature of contracts in terms of the loss scenarios excluding those that have no commercial substance. — We tested that the levels of aggregation used for measuring and reporting on groups of contracts was in compliance with IFRS 17 by checking whether profitability assessments are reassessed on a periodic basis or annual cohort requirements are strictly adhered to. — We assessed the appropriateness of management's data and assumptions applied in calculating the CSM on the transition date (being 1 January 2022) including the appropriateness of the coverage units used to amortise the CSM and the impact of assumption changes unlocking the CSM were assessed for reasonability by benchmarking the assumptions and comparing with our independent expectations and reconciling the data against those tested through other audit procedures. — We tested the IFRS 17 transition models and methodologies for internal consistency and compliance with the requirements of IFRS 17. — We assessed the adequacy of the transition disclosures in accordance with IFRS 17 requirements.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on the audit of the consolidated and separate financial statements (Continued)

Key audit matters (continued)

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements – (continued)	
See notes 2.2.1, 6, 17, 19, and 33 (h) to the financial statements.	
The key audit matter	How the matter was addressed in our audit
<i>Determination of year-end (31 December 2023) balances of insurance contract liability balances</i> In valuing insurance contract liability and asset balances, management applies significant judgment. Various assumptions are made including probability-weighted estimate assumptions regarding the expected claims and lapses, expected premiums on insurance contracts, expected directly attributable expenses, commission and charges. Changes to these assumptions may result in material changes to the valuation. The most significant assumptions made in the valuation of insurance contract liability balances arising from the Group's insurance contracts relate to: — Future mortality, longevity, morbidity and policyholder behaviour; — Persistency assumptions with regard to lapse, surrender and paid-up rates; — Future maintenance expenses; — Discount rates; — Inflation; and — Risk adjustment for non-financial risk. We considered the valuation of insurance contract liability balances to be a key audit matter in our audit of the financial statements because of the following: i. The significant judgements and high degree of estimation uncertainty relating to the magnitude and timing of the projected cash flows and the use of significant unobservable assumptions applied in valuing it; ii. The use of complex actuarial methods, together with significant judgements and assumptions; and	<i>Our audit procedures over year-end balances included:</i> — Using our actuarial expertise, we assessed the valuation methodology and assumptions for compliance against the latest actuarial guidance, legislation and Group accounting policy in accordance with IFRS 17. — We challenged key assumptions and the methodologies and processes used to determine and update these assumptions through comparison with externally observable data (market data) and our assessment of the Group's analysis of experience to date and allowance for future uncertainty. Our challenge focused on the following assumptions: – the confidence levels applied in the determination of the risk adjustment for non-financial risk, non-financial assumptions (mortality, longevity, lapses/withdrawal, initial and renewal expenses, acquisition costs, maintenance expenses, premium collection rate), economic assumptions (inflation, discount rate and associated illiquidity premium) by comparing to historical claims experience and assessing the movement in claims experience and the concurrent changes on the risk adjustment factors. — We tested the effectiveness of management controls over models, including that any changes to models have been appropriately tested and the impacts quantified by management. — We evaluated the accuracy of the risk adjustment for non-financial risk, including calculation method, and its related release. — We evaluated the reasonability of the build-up and changes in the probability-weighted estimate liabilities (BEL), risk adjustment (RA) and CSM, comparing expected changes to previous periods and unexpected changes to our knowledge of changes in the business and assumptions, based on the experience investigation results and assumption changes approved by management / governance structures.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on the audit of the consolidated and separate financial statements (Continued)

Key audit matters (continued)

Valuation of insurance contract liabilities (being insurance and reinsurance contract assets and liabilities) in the consolidated financial statements – (continued)	
See notes 2.2.1 6, 17, 19, and 33 (h) to the financial statements.	
The key audit matter	How the matter was addressed in our audit
<i>Determination of year-end balances of insurance contract liability balances (continued)</i> iii. The material nature of the insurance contract liability balances in the consolidated financial statements as at 31 December 2023.	<i>Our audit procedures over year-end balances included:-(continued)</i> — For the valuation of the liability for incurred claims (LIC) for Premium Allocation Approach (PAA) contracts across the Group, we either assessed management's valuation or independently valued the balances based on our independent models. — We assessed the appropriateness of management's allocation of groups of contracts into the various measurement the work performed. — We assessed the adequacy of the year-end disclosures in accordance with IFRS 17 requirements.
Going concern (applicable to the consolidated and separate financial statements)	
See Note 2(a) to the financial statements	
The key audit matter	How the matter was addressed in our audit
The Directors have prepared the financial statements on the basis of accounting applicable to a going concern. We considered the application of the going concern basis of accounting and the related disclosures in these financial statements to be a key audit matter due to the following: — The losses incurred by the group and the company in current year; — The cumulative losses and negative cashflows from operating activities for the group and the company as at 31 December 2023; — The group's and the company's significant borrowings due to mature in the year to 31 December 2025 and the measures put in place to resolve liquidity challenges and raise additional funds to settle the outstanding obligations. Due to the significant judgements made by the Directors in their evaluation of the group's and the company's ability to continue as a going concern, we considered this to be a key audit matter.	Our audit procedures in this area included, among others: — evaluation of the Directors' assessment of the group's and the company's going concern for at least the next 12 months from the approval of these financial statements by; — examining the group's and the company's financial forecasts and understanding the underlying assumptions that the directors have used in preparing these forecasts. This involved evaluating the reasonableness of these forecasts based on evidence provided to support the underlying assumptions; — comparing the actual performance for the year ended 31 December 2023 to the budget and prior year in order to determine the reasonableness of the budgets and the historical accuracy of management forecasts; — understanding the debt restructuring agreements with existing lenders through reading of correspondence between the Directors, the Insurance Regulatory Authority (IRA) and the existing lenders; — evaluation of the adequacy of the disclosures made in the financial statements in respect of judgements and plans made with respect to going concern assessment



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on the audit of the consolidated and separate financial statements (Continued)

Key audit matters (continued)

Other information

The Directors are responsible for the other information. The other information comprises the *Group and Company information, Five-year group review, Report of the directors, Risk management, Profile of the Directors, Statement of Directors' responsibilities, Directors' remuneration report and Report of the statutory actuary*, but does not include the consolidated and separate financial statements, and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the additional other information to be included in the published *Sanlam Kenya Plc Annual Report and Financial Statements for the year ended 31 December 2023*, which is expected to be made available to us after that date.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the consolidated and separate financial statements

The directors are responsible for the preparation of consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control, as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on the audit of the consolidated and separate financial statements (Continued)

Auditor's responsibilities for the audit of the consolidated and separate financial statements (continued)

The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the Consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF SANLAM KENYA PLC (CONTINUED)**

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015, we report to you, solely based on our audit of the consolidated and separate financial statements, that in our opinion;

- (i) The information in the report of the directors on pages 3 to 5 is consistent with the consolidated and separate financial statements; and
- (ii) The auditable part of the directors remuneration report on pages 18 to 19 has been prepared in accordance with the Kenya Company Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Dr. Alexander Mbai, Practicing Certificate No. P/2172.

For and on behalf of:

**KPMG Kenya
Certified Public Accountants
PO Box 40612 – 00100
Nairobi, Kenya**

Date: 22 April 2024

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS FOR THE YEAR ENDED 31 DECEMBER 2023

		Group		Company	
		2023	2022	2023	2022
			*Restated		
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Insurance revenue	4	6,936,282	8,302,078	-	-
Insurance service expenses	5	(5,048,193)	(8,167,325)	-	-
Net expenses from reinsurance	5(d)	(1,201,990)	(232,221)	-	-
Insurance service result		686,099	(97,468)	-	-
Interest revenue calculated using the effective interest method	6	244,768	178,267	-	-
Other interest income	6	2,757,142	2,819,286	-	-
Other investment revenue	6	(1,940,684)	(952,880)	-	-
Net investment income		1,061,226	2,044,673	-	-
Net finance expenses from	6	(682,425)	(1,139,688)	-	-
Net finance income/(expenses) from reinsurance contracts	6	9,477	(9,341)	-	-
Net financial result		388,278	895,644	-	-
Other operating expenses	5(c)	(220,937)	(212,106)	(111,680)	(122,600)
Other incomes	7	(6,043)	155,040	154,123	345,807
Finance costs	22	(604,610)	(455,345)	(577,301)	(428,128)
Profit/(loss) before tax		242,787	285,765	(534,858)	(204,921)
Income tax expense	8(a)	(369,355)	(368,708)	(1,254)	(3,118)
Loss for the year after tax		(126,568)	(82,943)	(536,112)	(208,039)
Loss attributable to:					
Owners of the parent	28	(161,128)	(72,691)	(536,112)	(208,039)
Non-controlling interests	12(b)	34,560	(10,252)	-	-
		(126,568)	(82,943)	(536,112)	(208,039)
Earnings/(loss) per share:					
Basic - KShs	28	(1.12)	(0.50)	(3.72)	(1.44)
Diluted - KShs	28	(1.12)	(0.50)	(3.72)	(1.44)

* See note 2.2.1 (iv) for restatements.

The notes set out on pages 37 to 156 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2023

	Group 2023	2022 *Restated	Company 2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Loss for the year, after tax:	(126,568)	(82,943)	(536,112)	(208,039)
Other comprehensive income for the year net of tax	-	-	-	-
Total comprehensive income for the year	(126,568)	(82,943)	(536,112)	(208,039)
Attributable to:				
Owners of the parent	(161,128)	(72,691)	(536,112)	(208,039)
Non-controlling interests	34,560	(10,252)	-	-
	(126,568)	(82,943)	(536,112)	(208,039)

* See note 2.2.1 (iv) for restatements.

The notes set out on pages 37 to 156 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

		Group		1 January 2022 *Restated KShs.'000	Company	
		31 December 2023 KShs.'000	31 December 2022 *Restated KShs.'000		2023 KShs.'000	2022 KShs.'000
ASSETS	Note					
Property and equipment	10(a&b)	531,750	578,965	635,229	-	-
Right-of-use asset	10(b)	64,791	64,833	87,811	-	-
Investment properties	11(a)	2,479,580	2,472,680	2,459,680	-	-
Intangible assets	9	8,540	31,662	35,338	-	-
Investments in subsidiaries	12(a)	-	-	-	1,451,938	1,451,938
Deferred income tax asset	27	92,181	193,192	333,431	-	-
<u>Financial assets</u>						
Equity securities - At fair value through profit or loss	14	439,384	576,692	671,655	-	-
Government securities - At fair value through profit or loss	14	26,571,319	26,585,346	24,995,992	-	-
Government securities - At amortised cost	14	1,095,918	1,556,898	263,500	-	-
Loans	13	86,178	92,221	95,660	-	-
Reinsurance contract assets	17	1,153,349	1,958,063	1,949,244	-	-
Inventory	16	90,108	89,696	89,696	90,108	89,696
Current income tax receivable	8(b)	227,787	254,960	226,183	1,325	-
Receivables from intermediaries	18	255,201	197,430	216,080	-	-
Receivables and other assets	19	399,836	416,619	487,979	29,260	51,854
Deposits with financial institutions	20	1,561,335	1,343,437	1,048,650	17,754	-
Cash and bank balances	20	477,955	304,645	658,260	6,372	4,937
TOTAL ASSETS		35,535,212	36,717,339	34,254,388	1,596,757	1,598,425

* See note 2.2.1 (iv) for restatements.

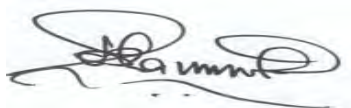
The notes set out on pages 37 to 156 form an integral part of these financial statements.

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023 (CONTINUED)

EQUITY AND LIABILITIES	Note	Group			Company	
		2023 31 December	2022 31 December	2022 1 January	2023	2022
		KShs.'000	*Restated KShs.'000	*Restated KShs.'000	KShs.'000	KShs.'000
Issued share capital	21	720,000	720,000	720,000	720,000	720,000
Statutory fund	21	2,380,139	2,249,279	2,103,896	-	-
Retained losses		(2,288,343)	(1,996,355)	(1,778,281)	(2,756,959)	(2,220,620)
Shareholder's funds		811,796	972,924	1,045,615	(2,036,959)	(1,500,620)
Non-controlling interests	12(b)	54,454	19,894	30,146	-	-
Total capital and reserves		866,250	992,818	1,075,761	(2,036,959)	(1,500,620)
LIABILITIES						
Borrowings	22	4,657,144	4,088,010	3,000,000	3,516,918	3,002,310
Life insurance contract liabilities	23	25,154,281	25,938,951	24,199,699	-	-
General insurance contract liabilities	23	2,775,967	3,685,582	3,969,181	-	-
General insurance reinsurance contract liabilities	24	53,586	33,639	93,079	-	-
Deferred income tax liability	27	1,020,059	963,977	901,670	-	-
Lease liabilities	10(b)	69,670	82,079	101,208	-	-
Provisions	25	34,570	34,570	34,570	-	-
Current income tax payable	8(b)	-	1,137	-	-	1,137
Payables and other charges	26	903,685	896,576	879,220	116,798	95,598
Total liabilities		34,668,962	35,724,521	33,178,627	3,633,716	3,099,045
TOTAL EQUITY AND LIABILITIES		35,535,212	36,717,339	34,254,388	1,596,757	1,598,425

* See note 2.2.1 (iv) for restatements.

The financial statements on pages 29 to 156 were approved and authorised for issue by the Board of Directors on 22 April 2024 and signed on its behalf by:



Dr John P N Simba
Chairman

The notes set out on pages 37 to 156 form an integral part of these financial statements.



Dr Patrick Tumbo
Group Chief Executive Officer

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

		Share capital	Statutory fund	Retained earnings	Total	Non-controlling interests	Total
Year ended 31 December 2023:	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At 1 January 2023		720,000	2,249,279	(1,996,355)	972,924	19,894	992,818
Total comprehensive income for the year;							
Loss for the year, after tax		-	-	(161,128)	(161,128)	34,560	(126,568)
Transfer to the statutory fund	21	-	533,898	(533,898)	-	-	-
Transfer to retained earnings	21	-	(403,038)	403,038	-	-	-
At 31 December 2023		720,000	2,380,139	(2,288,343)	811,796	54,454	866,250
Year ended 31 December 2022:							
At 01 January 2022 as previously reported		720,000	1,599,677	(1,760,883)	558,794	36,966	595,760
Adjustment on initial application of IFRS 17, net of tax		-	504,219	(17,398)	486,821	(6,820)	480,001
Restated balance as at 01 January 2022		720,000	2,103,896	(1,778,281)	1,045,615	30,146	1,075,761
Total comprehensive income for the year;							
Loss for the year, after tax		-	-	(72,691)	(72,691)	(10,252)	(82,943)
Transfer to the statutory fund	21	-	463,967	(463,967)	-	-	-
Transfer to retained earnings	21	-	(318,584)	318,584	-	-	-
At 31 December 2022		720,000	2,249,279	(1,996,355)	972,924	19,894	992,818

The notes set out on pages 37 to 156 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital KShs.'000	Retained earnings KShs.'000	Total KShs.'000
Year ended 31 December 2023:			
At 1 January	720,000	(2,220,847)	(1,500,847)
Total comprehensive income	-	(536,112)	(536,112)
At 31 December	720,000	(2,756,959)	(2,036,959)
Year ended 31 December 2022:			
At 1 January	720,000	(2,012,808)	(1,292,808)
Total comprehensive income	-	(208,039)	(208,039)
At 31 December	720,000	(2,220,847)	(1,500,847)

The notes set out on pages 37 to 156 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs. '000	2022 KShs. '000
Cash flows from operating activities			
Cash (utilised in)/generated from operations	30(a)	(974,467)	329,383
Income tax paid	8(b)	(177,526)	(195,386)
Net cash flows (used in)/generated from operations		(1,151,993)	133,997
Cash flows from investing activities			
Purchase of property and equipment	10(a)	(17,468)	(22,180)
Purchase of intangible assets	9	-	(49,464)
Accrued loan interest	13	(1,674)	(3,401)
Loans repaid	13	7,710	6,840
Purchase of financial assets at amortised cost	14	-	(1,713,156)
Purchase of financial assets through profit and loss	14	(4,660,117)	(7,763,668)
Disposal of financial assets through profit and loss	14	2,097,869	4,996,339
Disposal of financial assets at amortised cost	14	470,000	451,606
Dividend income received	7	-	35,053
Interest received		3,636,118	3,261,093
Net cash flows from/(used in) investing activities		1,532,438	(800,938)
Cash flows from financing activities			
Proceeds from borrowings	22	-	1,085,699
Interest paid on borrowings	22	(14,400)	(464,027)
Net cash flows from/(used in) financing activities		(14,400)	621,672
Increase/(decrease) in cash and cash equivalents		366,045	(45,269)
Effects of changes in exchange rates	12(a)	25,163	(13,559)
Cash and cash equivalents at start of year	20	1,648,082	1,706,910
Cash and cash equivalents at end of year	20	2,039,290	1,648,082

The notes set out on pages 37 to 156 form an integral part of these financial statements.

COMPANY STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2023

		2023	2022
	Note	KShs.'000	KShs.'000
Cash flow from/ (used in) operating activities			
Net cash flows used in operations	30(b)	(119,895)	(81,151)
Cash flows from investing activities			
Dividends received	7	150,000	300,000
Investment income received		3,484	12,300
Transfer of assets to Sanlam Life Insurance	10(a)	-	20,055
Purchase of property and equipment	10(b)	-	(310)
Net cash flows from investing activities		153,484	332,045
Cash flow from financing activities			
Interest paid	22	(14,400)	(436,811)
Net cash flows used in financing activities		(14,400)	(436,811)
Increase/(decrease) in cash and cash equivalents		19,189	(185,917)
Cash and cash equivalents at start of year	20	4,937	190,854
Cash and cash equivalents at end of year	20	24,126	4,937

The notes set out on pages 37 to 156 form an integral part of these financial statements.

1. General information

Sanlam Kenya Plc is listed at Nairobi Securities Exchange, with its principal activity as a non-banking financial institution being underwriting life and non-life insurance risks such as those associated with death, disability, credit protection, mortgage protection and property protection through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited. The Group has other dormant subsidiaries listed on note 31(g) The registered address being P.O. Box 10493 – 00100 Nairobi. The Group does business in Kenya and engages over 1,000 employees and financial advisers. The consolidated financial statements of the company as at and for the year ended 31 December 2023 comprise the company and its subsidiaries (together referred to as the “Group”). The separate financial statements are the unconsolidated company financial statements.

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

List of abbreviations

EEV - European Embedded Value Principles

IBNR - Incurred But Not Reported

IFRS – International Financial Reporting Standards

ISA - International Standards on Auditing

IESBA - Ethics for Professional Accountants (including International Independence Standards)

FVTPL – Fair Value Through Profit or Loss

IAS – International Accounting Standards

DPF - Discretionary Participation Features

GMM - General Measurement Model

VFA - Variable Fee Approach

PAA – Premium Allocation Approach

CSM - Contractual Service Margin

PPFM - Principles and Practices of Financial Management

BEL – Best Estimate Liability

RA – Risk Adjustment

DAC – Deferred Acquisition Cost

NSSF - National Social Security Fund

FVOCI - Fair Value through Other Comprehensive Income

SPPI - Solely Payments of Principal and Interest

ECL – Expected Credit Loss

PD - Probability of Default

LGD - Loss Given Default

EAD - Exposure at Default

EIR – Effective Interest Rate

SICR – Significant Increase in Credit Risk

CAR - Capital Adequacy ratio

2. Summary of material accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared on a going concern basis in compliance IFRS accounting Standards and in the manner required by the Kenyan Companies, Act, 2015. The preparation of financial statements in conformity with International Financial Reporting Standards requires the use of estimates and assumptions. It also requires management to exercise its judgement in the process of applying the accounting policies adopted by the Group. Although such estimates and assumptions are based on the directors' best knowledge of the information available, actual results may differ from those estimates. The judgements and estimates are reviewed at the end of each reporting period, and any revisions to such estimates are recognised in the year in which the revision is made. The areas involving the judgements of most significance to the financial statements, and the sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year, are disclosed in note 2 (b). Changes in accounting estimates result from new information or new developments and, accordingly, are not corrections of errors. The effect of a change in an accounting estimate is recognised prospectively by including it in separate and consolidated statement of profit or loss in:

- the period of the change, if the change affects that period only; or
- the period of the change and future periods, if the change affects both.

For purposes of reporting under the Kenyan Companies Act, 2015 the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is presented in the statement of profit or loss and other comprehensive income.

Going concern

The group's key subsidiaries are wholly owned Sanlam Life Insurance Limited and Sanlam General Insurance Limited where the group has a 71.8% shareholding. Sanlam Securities Limited is a wholly owned subsidiary of the group and is an investment company with the key investment being unlisted equities in Family bank, a Kenyan bank. Other wholly owned subsidiaries are dormant and are in the process of being wound up and include Sanlam Investments Limited, ChemiCemi Mineral Water Company and Mae properties. The group is a subsidiary of Sanlam Limited, a diversified financial services company headquartered in South Africa and listed at the Johannesburg Stock Exchange. Sanlam Emerging Markets a subsidiary of Sanlam Limited is the intermediate parent of the group.

The directors are aware of the following conditions:

- During the year under review, the Group reported an after-tax loss of KShs 127 million (2022: an after-tax loss of KShs 83 million restated) while the Company reported an after-tax loss of KShs 536 million (2022: an after-tax loss of KShs 208 million),
- The consolidated cumulative losses as at 31 December 2023 was KShs 2,289 million (2022: KShs 1,997 million restated), while the Company cumulative losses as at 31 December 2023 was KShs 2,757 million (2022: KShs 2,221 million).
- The Group reported a consolidated negative cash flows from operating activities of KShs 1,151 million while the Company reported negative cash flows operating activities of KShs 121 million for the year ended 31 December 2023.
- As at 31 December 2023, the Group holds a credit facility of KShs 3.5 billion with Stanbic Bank which is set to mature in March 2025.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- (i) Sanlam Life Insurance Limited, a subsidiary of Sanlam Kenya Plc whose performance has demonstrated a strong financial performance in the year ended 31 December 2023, generating an after-tax profit of KShs. 534 million. A dividend of KShs 150 million has already been paid in 2023 and further Kes 400 million has been paid in April 2024 to its shareholder, Sanlam Kenya Plc, to enable the entity fund its financial obligations for the year 2024.

2. Summary of material accounting policies (continued)

Basis of preparation (continued)

Going concern (continued)

- (ii) The Sanlam General Insurance Limited returned to profitability during the year 2023 posting KShs. 123 million in after-tax profits and has a projected after-tax profit of KShs 229 million in the year 2024 which affirms the entity's ability to continue as a going concern. The entity is now in a net asset position of KShs 193 million (2022 KShs 71 million).
- (iii) Sanlam Emerging Markets the intermediate parent company advanced a loan of KShs 1,085 million to Sanlam General Insurance Limited to bridge the capital shortfall on 5 May 2022. The loan has been extended for a further 18 months and will now mature on 5 May 2025. Further, the loan agreement between Sanlam General Insurance Limited (the borrower) and Sanlam Emerging Markets (Pty) Limited (the lender) provides that "payment shall not be commenced or continued if it results in the CAR of the Borrower falling below 100%" and "(notwithstanding the Maturity Date), the loan shall not be repaid nor shall the lender exercise any right of set-off against other amounts which may be due by the lender to the borrower until the date upon which the CAR Shortfall has been extinguished, whereupon, the loan (together with all accrued interest, costs and charges) shall automatically become repayable in full.
- (iv) Sanlam Kenya Plc's credit facility of KShs 3.5 billion is adequately secured by a corporate guarantee from Sanlam Limited. Based on the repayments made subsequent to year-end (in 2024), the projected amount is expected to amount to KShs 3.7 billion, comprising of KShs 3.0 billion principal and KShs 700 million in accrued interest by the maturity date in March 2025.
- (v) Sanlam Kenya Plc has restructured the loan facility, temporarily resolving the liquidity challenge as the group isn't expected to service the interest payments of the debt facility for an additional year until the facility is due in March 2025.

The Directors have considered the above-mentioned matters and have prepared the year 2023 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future.

The measurement basis used is the historical cost basis, except for the following items which are carried at fair value or valued using another measurement basis:

- Investment properties;
- Financial assets measured at fair value through profit or loss and at fair value through other comprehensive income; and
- Actuarially determined liabilities at their present value.

The financial statements are presented in Kenya Shillings (KShs '000), rounded to the nearest thousand, which is also the functional currency.

The financial statements comprise consolidated and company statements of profit or loss, consolidated and company statements other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements. For purposes of the Kenyan companies Act, 2015, the balance sheet is represented by the consolidated and company statements of financial position and the profit and loss account by the consolidated and company statements of profit or loss. Income and expenses, excluding the components of other comprehensive income, are recognised in the consolidated and company statements of profit or loss. Other comprehensive income is recognised in the statement of other comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the statement of profit or loss as required or permitted by IFRS Accounting Standards. Reclassification adjustments are amounts reclassified to statement of profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations

(i) New standard, amendments and interpretations in issue but not yet effective for the year ended 31 December 2023

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2023 and have not been applied in preparing these financial statements. The Group does not plan to adopt these standards early. Adoption of the following standards will not have material impact on the group and company. These are summarised below;

Description	Effective date	Executive summary
Classification of liabilities as current or non-current (Amendments to IAS 1)	1 Jan 2024	The amendments clarified how an entity classifies debt and other financial liabilities as current or non-current in particular circumstances.
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	1 Jan 2024	Lease Liability in a Sale and Leaseback (Amendments to IFRS 16) requires a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognise any amount of the gain or loss that relates to the right of use it retains
Non-current Liabilities with Covenants (Amendments to IAS 1)	1 Jan 2024	To clarify how conditions with which an entity must comply within twelve months after the reporting period affect the classification of a liability.
Supplier Finance Arrangements – Amendments to IAS 7 and IFRS 7	1 Jan 2024	The amendments introduce two new disclosure objectives – one in IAS 7 and another in IFRS 7 – for a company to provide information about its supplier finance arrangements that would enable users (investors) to assess the effects of these arrangements on the company's liabilities and cash flows, and the company's exposure to liquidity risk.
IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures	1 Jan 2024	The purpose of the standard is to create a global baseline of investor focused sustainability reporting that local jurisdictions can build on. IFRS S1 provides a set of disclosure requirements designed to enable companies to communicate to investors about the sustainability-related risks and opportunities they face over the short, medium and long term. IFRS S2 sets out specific climate-related disclosures and is designed to be used with IFRS S1. IFRS Sustainability Disclosure Standard are subject to adoption by local regulation to become mandatory.
Lack of Exchangeability – Amendments to IAS 21	1 Jan 2024	Under the amendments, companies will need to provide new disclosures to help users assess the impact of using an estimated exchange rate on the financial statements
Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)	Optional	The amendments address an inconsistency between the requirements in IFRS 10 and those in IAS 28 (2011), in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss is recognized when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognized when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations

(ii) New standards and interpretations effective and adopted during the year

In addition to IFRS 17, the group and company has also adopted the following standards and interpretations applicable for the first time to their annual reporting commencing 1 January 2023. Except for IFRS 17, adoption of following standards did not have material impact on the group and company.

New and amended standards and interpretations	Effective for periods beginning on or after
— IFRS 17 – Insurance Contracts	1 January 2023
— Definition of Accounting Estimates - Amendments to IAS 8	1 January 2023
— Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2	1 January 2023
— Classification of liabilities as current or non-current – Amendment to IAS 1	1 January 2023
— International Tax Reform—Pillar Two Model Rules (Amendments to IAS 12)	23 May 2023

Definition of Accounting Estimates - Amendments to IAS 8

In February 2021, the IASB issued amendments to IAS 8, in which it introduces a definition of 'accounting estimates'. The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023 and apply to changes in accounting policies and changes in accounting estimates that occur on or after the start of that period. Earlier application is permitted as long as this fact is disclosed.

The amendments did not have a material impact on the Group's financial statements.

Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2

In February 2021, the IASB issued amendments to IAS 1 and IFRS Practice Statement 2 *Making Materiality Judgements*, in which it provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies and adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures.

The amendments did not have a material impact on the Group's financial statements.

Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants (Amendments to IAS 1, Presentation of Financial Statements)

The amendment clarifies that the classification of liabilities as current or non-current is based solely on a company's right to defer settlement for at least 12 months at the reporting date. The right needs to exist at the reporting date and must have substance.

Only covenants with which a company must comply on or before the reporting date may affect this right. Covenants to be complied with after the reporting date do not affect the classification of a liability as current or noncurrent at the reporting date. However, disclosure about covenants is now required to help users understand the risk that those liabilities could become repayable within 12 months after the reporting date.

The amendments did not have a material impact on the Group's financial statements.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations

(ii) New standards and interpretations effective and adopted during the year (continued)

Classification of Liabilities as Current or Non-current, and Non-current Liabilities with Covenants (Amendments to IAS 1, Presentation of Financial Statements) – (continued)

The amendments also clarify that the transfer of a company's own equity instruments is regarded as settlement of a liability. If a liability has any conversion options, then those generally affect its classification as current or noncurrent, unless these conversion options are recognized as equity under IAS 32, Financial Instruments: Presentation.

The amendments apply retrospectively for annual reporting periods beginning on or after 1 January 2024, with early application permitted.

The amendments did not have a material impact on the Group's financial statements.

International Tax Reform—Pillar Two Model Rules (Amendments to IAS 12)

There has been questions as to whether top-up tax is in the scope of IAS 12 Income Taxes and, if so, how to account for its deferred tax impacts. To address these concerns on , the International Accounting Standards Board (IASB) has amended IAS 12 to:

- provide a temporary mandatory relief from deferred tax accounting for top-up tax; and
- require companies to provide new disclosures to compensate for the potential loss of information resulting from the relief.

The amendments did not have a material impact on the Group's financial statements.

IFRS 17 Insurance Contracts

The Group has initially applied IFRS 17 including any consequential amendments to other standards, from 1 January 2023. This standard has brought significant changes to the accounting for insurance and reinsurance contracts and financial instruments. As a result, the Group has restated the financial statements for the year ended 31 December 2022 and presented a third restated statement of financial position as at 1 January 2022. IFRS 17 replaces *IFRS 4 Insurance Contracts*.

Transition

The IFRS 17 Standard is applicable to annual periods beginning on or after 1 January 2023. However, the requirement for 2022 comparative information means that the IFRS 17 transition statement of financial position is required at 1 January 2022.

When determining the insurance liabilities at transition, the IFRS 17 Standard should be applied retrospectively as if it had always applied unless it is "impracticable" to do. This retrospective approach is referred to as the full retrospective approach (FRA). Where it is impracticable to apply IFRS 17 retrospectively, various simplifications are permitted when adopting the modified retrospective approach (MRA) or fair value approach (FVA) provided that certain criteria have been met. The FVA has to be applied if there is no reasonable and supportable information to apply the MRA.

The transition approach was determined at a group of insurance contracts level. The high-level distribution of transition approaches is summarised below:

- The FRA is applied to groups of contracts measured under the PAA;
- For contracts measured under the GMM or VFA, the FRA is not applied to any groups of contracts issued before 1 January 2016. The retrospective calculation start date varies depending on the availability of historic data, assumptions, and models.
- The FVA is applied to the remaining groups of contracts, including closed books of business.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by the group (continued)

IFRS 17 Insurance Contracts (continued)

Full retrospective approach

It is impracticable to adopt the FRA for groups of contracts at the date of transition if:

- the approach cannot be applied retrospectively after a reasonable effort was made by businesses to demonstrate that it will not be possible to collect the required information or create information where the required data is unavailable (for example, due to system migrations, data retention policies, and changes in requirements in terms of IFRS 17); or
- hindsight is needed to determine the estimates at prior periods, i.e. the measurement of the fulfilment cash flows and CSM should apply management's estimates at that point in time, with only the information that would have been available at that point in time (for example, assessing the level of aggregation of contracts at the inception date, and if the estimates needed to determine the risk adjustment during periods where solvency information on the latest regulatory framework was not available).

Fair value approach

The FVA is applied if retrospective application is impracticable or if the MRA is not applied. Under this approach the CSM (or loss component) is calculated as the difference between the fair value of the group of insurance contracts and the IFRS 17 fulfilment cash flows. The fair value was determined in accordance with *IFRS 13: Fair Value Measurement*.

IFRS 13 defines fair value as "*the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date*". The transaction price is therefore based on a general market participant's view of the fair value of the group of insurance contracts.

The fair value is forward-looking and therefore future cash flows within the contract boundary are included in the fair value estimation, including non-attributable expenses. No other material adjustments are made to the future expected cash flows when compared to the IFRS 17 estimates of future cash flows.

The income approach was used in determining the fair value of the insurance contracts. This approach converts a stream of future expected cash flows to a current single amount, reflecting market participants' expectations of the future amounts.

Recognition, measurement, and presentation of insurance contracts

IFRS 17 establishes principles for the recognition, measurement, presentation, and disclosure of insurance contracts, reinsurance contracts and investment contracts with discretionary participation features. It introduces a model that measures groups of contracts based on the Company's estimates of the present value of future cash flows that are expected to arise as the Company fulfils the contracts, an explicit risk adjustment for non-financial risk and a CSM.

Under IFRS 17, insurance revenue in each reporting period represents the changes in the liabilities for remaining coverage that relate to services for which the Company expects to receive consideration and an allocation of premiums that relate to recovering insurance acquisition cash flows. In addition, investment components are no longer included in insurance revenue and insurance service expenses.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by the group (continued)

IFRS 17 Insurance Contracts (continued)

2.2.1.1 IFRS 17 Adoption impact

The Company applies the PAA to simplify the measurement of contracts, except for groups of acquired contracts that do not qualify for the PAA. When measuring liabilities for remaining coverage, the PAA is similar to the Company's previous accounting treatment. However, when measuring liabilities for incurred claims, the Company now discounts the future cash flows (unless they are expected to occur in one year or less from the date on which the claims are incurred) and includes an explicit risk adjustment for non-financial risk.

Previously, all acquisition costs were recognised and presented as separate assets from the related insurance contracts ('deferred acquisition costs') until those costs were included in profit or loss and OCI. Under IFRS 17, only insurance acquisition cash flows that arise before the recognition of the related insurance contracts are recognised as separate assets and are tested for recoverability. These assets are presented in the carrying amount of the related portfolio of contracts and are derecognised once the related contracts have been recognised.

Income and expenses from reinsurance contracts other than insurance finance income and expenses are now presented as a single net amount in profit or loss. Previously, amounts recovered from reinsurers and reinsurance expenses were presented separately.

Changes in accounting policies resulting from the adoption of IFRS 17 have been applied using a full retrospective approach to the extent practicable. Under the full retrospective approach, at 1 January 2022 the Company:

- identified, recognised and measured each group of insurance and reinsurance contracts as if IFRS 17 had always been applied.
- identified, recognised and measured any assets for insurance acquisition cash flows as if IFRS 17 had always been applied.
- derecognised previously reported balances that would not have existed if IFRS 17 had always been applied. These included some deferred acquisition costs for insurance contracts, intangible assets related to insurance contracts (previously referred to as 'value of business acquired'), insurance receivables and payables, and provisions for levies that are attributable to existing insurance contracts. Under IFRS 17, they are included in the measurement of the insurance contracts; and
- recognised any resulting net difference in equity.

The nature and effects of the key changes in the Group's accounting policies resulting from its adoption of IFRS 17 are summarised below.

(i) Identifying contracts in the scope of IFRS 17

The Group applies IFRS 17 - Insurance Contracts to insurance contracts and reinsurance contracts it issues, intra-group reinsurance contracts it holds and investment contracts with discretionary participation features (DPF) it issues.

All references to insurance contracts in these consolidated financial statements apply to insurance contracts issued or acquired, reinsurance contracts issued or held, and investment contracts with DPF issued, unless specifically stated otherwise.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(i) Identifying contracts in the scope of IFRS 17 – continued

Once a contract has been classified as an insurance contract the classification remains unchanged for the remainder of its lifetime, even if the insurance risk reduces significantly during the coverage period, unless the term of the contract is modified.

Insurance contracts without direct participation features

A contract is classified as an insurance contract without direct participation features where the Group provides insurance coverage by accepting significant insurance risk when agreeing with the policyholder to pay benefits if a specified uncertain future event (the insured event) adversely affects the policyholder or other beneficiary. Significant insurance risk is assessed on a contract level and exists where there is at least one scenario in which the insured event results both in significant additional payments and also in an overall loss to the Group on a present value basis. A contract where the Group generates an investment return for the policyholder (investment-return service) that does not meet the criteria for being a substantially investment-related service contract (an insurance contract with direct participation features), is also classified as an insurance contract without direct participation features.

In the normal course of business, the Group uses reinsurance to mitigate its risk exposures. A reinsurance contract transfers significant risk if it transfers substantially all the insurance risk resulting from the insured portion of the underlying insurance contracts, even if it does not expose the reinsurer to the possibility of a significant loss.

The accounting model applied to these insurance contracts (including reinsurance contracts issued and/or held) for liability measurement purposes is the General Measurement Model (GMM), unless the Premium Allocation Approach (PAA) applies. The PAA is a modification of the GMM that allows the use of a simplified approach for measuring the insurance contract liabilities for certain eligible types of contracts.

Insurance contracts with direct participation features

The Group issues insurance contracts with direct participation features that are substantially investment-related service contracts where underlying items are managed on behalf of the policyholders. The Group expects to pay amounts to these policyholders equal to a substantial share of the fair value returns on the underlying items, and a substantial proportion of any change in the amounts to be paid to the policyholders is expected to vary with the change in fair value of the underlying items. Underlying items comprise reference portfolios of investment assets that determine some of the amounts payable to the policyholders.

The accounting model applied to these insurance contracts for liability measurement purposes is the Variable Fee Approach (VFA).

Investment contracts

Investment contracts with DPF are in scope of IFRS 17 as the Group also issues insurance contracts. These contracts do not include a transfer of significant insurance risk and are measured under the VFA if they meet the eligibility requirements of direct participating contracts.

An investment contract with DPF entitles the policyholder to receive benefits or bonuses in addition to guaranteed benefits that are expected to be a significant proportion of the total contractual benefits, the timing or amount of which are contractually at the discretion of the Group, but which has to be exercised in a reasonable way. The benefits are based on the investment performance of a specified pool of underlying assets.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(i) Identifying contracts in the scope of IFRS 17 – continued

Investment contracts – continued

Contracts invested in DPF funds at the recognition date create a significant probability of discretionary returns and are therefore classified as investment contracts with DPF. Contracts not invested in DPF funds at the recognition date are also be classified as investment contracts with DPF if there is documented evidence that a significant proportion of contracts switch their initial funds into DPF funds or choose to invest subsequent payments into DPF funds.

Other investment contracts with or without investment management services fall within the scope of IFRS 9 – Financial Instruments and are designated as at fair value through profit or loss.

(ii) Level of aggregation

Each business within the Group manages insurance contracts issued within product lines. Insurance contracts within each product line are allocated to portfolios of insurance contracts that are managed together and subject to similar risks.

Portfolios are divided into groups of insurance contracts, based on whether:

- (a) contracts are onerous at initial recognition.
- (b) contracts at initial recognition have no significant possibility of becoming onerous subsequently;
and
- (c) groups of remaining contracts.

An insurance contract is expected to be onerous if the fulfilment cash flows allocated to the contract at initial recognition in total are a net outflow. For insurance contracts measured under the PAA, the Group has assumed that these contracts are not onerous at initial recognition, unless facts and circumstances indicate otherwise. For reinsurance contracts the references to onerous contracts are replaced with references to contracts on which there is a net gain at initial recognition. Each group of contracts does not include contracts issued more than one year apart in the same group.

These groups represent the level of aggregation at which insurance revenue is measured. Such groups are not subsequently reconsidered.

For each portfolio of contracts, the Group determines the appropriate level at which reasonable and supportable information is available to determine these groups of contracts.

(iii) Contracts Boundaries

Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which:

- The Group can compel the policyholder to pay premiums; or
- The Group has a substantive obligation to provide the policyholder with insurance contract services.

For groups of reinsurance contracts held, cash flows are within the contract boundary if they arise from substantive rights and obligations of the Group that exist during the reporting period in which the Group is compelled to pay amounts to the reinsurer or in which the Group has a substantive right to receive services from the reinsurer.

The Group considers the legal rights and the commercial substance of the contracts in this assessment. Cash flows outside of the boundary of the insurance contract relate to future insurance contracts and are recognised when those contracts meet the recognition criteria.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview

On initial recognition, the Group measures a group of insurance contracts as the total of:

- the fulfilment cash flows,
- the contractual service margin (CSM), and
- risk adjustment.

The PAA is a modification of the General Measurement Model that allows the use of simplified approach for measuring the liability for remaining coverage for certain eligible types of contracts.

Fulfilment cash flows

The fulfilment cash flows comprise unbiased and probability-weighted estimates of future cash flows within the contract boundary. The fulfilment cash flows consider all reasonable and supportable information available at the reporting date without undue cost or effort.

Fulfilment cash flows are determined separately for insurance contracts issued and reinsurance contracts issued or held. Fulfilment cash flows are allocated to groups of insurance contracts for measurement purposes.

An explicit risk adjustment for non-financial risk is estimated separately from the other estimates. This risk adjustment represents compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk. The risk adjustment forms part of the fulfilment cash flows for a group of insurance contracts.

The Group followed the margins approach in determining the risk adjustment which only applies to non-financial assumptions. The range for the aggregate confidence level was 80%-90%.

Variable fee approach

The fulfilment cash flows for insurance contracts with direct participation features can also be determined as the obligation to pay policyholders an amount that is equal to the fair value of the underlying items, less a variable fee for future services. The variable fee comprises the Group's share of the fair value of the underlying items less the fulfilment cash flows that do not vary based on the returns on underlying items. The variable fee is akin to the expected shareholder entitlements based on the present value of expected fees charged less expected claims and expenses incurred, less the risk adjustment for non-financial risk and the effect of financial guarantees.

Reinsurance contracts

Fulfilment cash flows of reinsurance contracts include the effect of any risk of non-performance by the issuer of the reinsurance contract where material, including the effects of collateral and losses from disputes. The fulfilment cash flows are calculated using all cash flows within the reinsurance contract boundary, including future new business contracts where relevant. The Group applies judgement in determining the value of future new business.

Provision for minimum investment return guarantees

In addition to the fulfilment cash flows described above, a stochastic modelling approach was used to provide for the possible cost of minimum investment return guarantees provided by some participating and market-related policies, consistent with actuarial guidance note.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview

Contractual service margin

The CSM is a component of the carrying amount of the asset or liability for a group of insurance contracts issued which represents the unearned profit that the Group expects to recognise as it provides insurance contract services.

If a group of insurance contracts is not onerous at initial recognition, the CSM is measured as the equal and opposite amount of the net inflow resulting from the total of the fulfilment cash flows, any derecognised assets or liabilities for insurance acquisition or other cash flows paid before the recognition date. This results in no income or expenses arising on initial recognition.

For groups of contracts acquired, the consideration received for the contracts is included in the fulfilment cash flows as a proxy for the premiums received at the date of acquisition. In a business combination, the consideration received is the fair value of the contracts at that date.

If a group of insurance contracts is onerous at initial recognition, the Group immediately recognises this net outflow in profit or loss. Following this, a loss component is created to represent these losses recognised in profit or loss, which determines the amounts that are subsequently presented in profit or loss as an increase or reversal of losses on onerous groups of insurance contracts.

For reinsurance arrangements a loss recovery component is established when underlying onerous insurance contracts are recognised, which will offset the insurance losses for the portion of the contracts being reinsured. The loss recovery component is not established before the underlying onerous contracts are recognised.

Best estimate of future experience

The best estimate of future experience is determined as follows:

- Future investment return assumptions for cash flows which vary with the underlying items are consistent with the expected long-term investment returns on the assets backing the insurance
- contracts, derived from market yields of fixed interest securities on the valuation date, with adjustments for the other asset classes.
- The appropriate asset composition of the various asset portfolios is considered. The allowance for investment management expenses, taxation at current tax rates and charges for investment guarantees is determined separately from the future investment returns and discount rates for measurement purposes.
- Investment return assumptions are based on an assessment of longer-term economic conditions. The future investment returns are based on the market yields of Kenyan fixed interest securities on the valuation date.
- Future expense assumptions are based on the 2023 actual expenses and escalated at estimated expense inflation rates per annum, with a higher rate assumed for legacy business. The allocation of initial and maintenance expenses is based on functional cost analyses and
- reflects actual expenses incurred during 2023. The future expense assumptions do not include any costs that are not directly attributable to the fulfilment of the insurance contracts.
- Assumptions with regard to future mortality, disability and disability payment termination rates are consistent with Sanlam's recent experience or expected future experience if this would result in a more accurate liability. In particular, mortality and disability rates are adjusted to allow for expected deterioration in mortality rates as a result of HIV/Aids and for expected improvements in mortality rates in the case of annuity business.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Best estimate of future experience (continued)

- Persistency assumptions with regard to lapse, surrender and paid-up rates are consistent with Sanlam's recent experience or expected future experience if this would result in a more accurate liability.

Discount rates

The estimates of future cash flows are adjusted to reflect the time value of money and the financial risks related to those cash flows, to the extent not included in the estimates of future cash flows.

For cash flows that vary based on the returns on underlying items the entity used a top-down approach and for cash flows that do not vary based on the returns on the underlying items the entity used a bottom-up approach under IFRS 17 to determine discount rates. The risk free rate used is the NSE yield curve as at valuation date and the confidence level applied used was 90%.

The tables below set out the yield curve used to discount the cash flows of insurance contracts.

Year	1 Year	5 Years	10 Years	15 Years	20 Years
2023	16.10%	17.45%	15.70%	15.73%	15.90%
2022	10.31%	13.53%	13.77%	13.93%	14.05%

The discount rates applied to the estimates of the future cash flows:

- reflect the time value of money, the characteristics of the cash flows and the liquidity characteristics of the insurance contracts.
- are consistent with observable current market prices (if any); and
- exclude the effect of factors that influence such observable market prices, but do not affect the future cash flows of the insurance contracts.

Cash flows are divided between cash flows that vary based on the returns on underlying items and cash flows that do not vary based on the returns on underlying items. Cash flows that vary based on the returns on underlying items are be discounted using rates that reflect that variability.

The government bonds yield curve was applied to cash flows that do not vary based on the returns on underlying items. Insurance contracts such as non-participating life annuities that cannot be surrendered or lapsed are illiquid. The group used the bottom-up approach in determining the discount rates.

Asset portfolios

Separate asset portfolios are maintained in support of policy liabilities for each of the major lines of business; each portfolio having an asset mix appropriate for the specific product. Bonus rates are declared for each class of participating business in relation to the funding level of each portfolio and the expected future net investment return on the assets of the particular investment portfolio.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Bonus stabilisation reserves

Sanlam Life's individual and Group stabilised bonus portfolios are valued on a retrospective basis. If the fair value of the assets in such a portfolio is greater than the policyholders' investment accounts (net premiums invested plus declared bonuses), a positive bonus stabilisation reserve is created, which will be used to enhance future bonuses, thereby increasing fulfilment cash flows. Conversely, if assets are less than the investment accounts, a negative bonus stabilisation reserve is created, reducing fulfilment cash flows.

A negative bonus stabilisation reserve will be limited to the amount that the Head of Actuarial Function expects will be recovered through the declaration of lower bonuses during the ensuing three years, if investment returns are in line with long-term assumptions. Bonus stabilisation reserves included in the fulfilment cash flows will be set such that the reserves are fully utilised for the benefit of the policyholders of that portfolio.

Bonus declarations are made in accordance with the Sanlam Principles and Practices of Financial Management (PPFM).

Subsequent measurement (excluding PAA)

The carrying amount of a group of insurance contracts issued at each reporting date is the sum of:

- the liability for remaining coverage, comprising:
 - (a) the fulfilment cash flows related to service to be provided under the contract in future periods; and
 - (b) the remaining CSM of the group at that date.
- the liability for incurred claims, comprising the fulfilment cash flows for past incurred claims and expenses not paid, including claims that have been incurred but not reported. The liability for incurred claims also includes the payment of any investment components or other amounts that are not related to the provision of insurance contract services and that are not included in the liability for remaining coverage.

Fulfilment cash flows

The fulfilment cash flows of groups of insurance contracts are measured at the reporting date using current estimates of fulfilment cash flows, discount rates appropriate to the measurement model being used and current estimates of the risk adjustment for non-financial risk.

Contractual service margin

For groups of insurance contracts measured under the GMM, the CSM at the start of the period is explicitly accreted with interest based on the discount rates applied to the fulfilment cash flows at initial recognition.

For groups of insurance contracts measured under the VFA, the CSM at the start of the period is implicitly accreted with interest equal to the effect of the time value of money on the variable fee in each period.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Contractual service margin – continued

The impact of changes in estimates of the fulfilment cash flows on the measurement of the CSM depends on whether the changes are related to current (or past) or future service:

- changes that relate to current or past service are recognised in profit or loss; and
- changes that relate to future service are recognised by adjusting the CSM within the liability for remaining coverage, including changes in the risk adjustment for non-financial risk that relate to future service. This excludes any changes which give rise to a loss on a group of insurance contracts, as well as any changes which adjust the loss recovery component on a group of reinsurance contracts.

For groups of insurance contracts measured under the GMM:

- changes in estimates of the present value of future cash flows included in the liability for remaining coverage, are related to future service and adjust the CSM. These changes are based on the discount rates applied to the fulfilment cash flows at initial recognition. Changes in the estimates that relate to the effect of the time value of money and the effect of financial risk and changes therein, do not adjust the CSM and are recognised in profit or loss; and
- differences in the investment components expected to become payable in the period and actual investment components payable in the period, are related to future service and adjust the CSM.

For groups of insurance contracts measured under the VFA, the fulfilment cash flows can also be determined as the obligation to pay policyholders an amount that is equal to the fair value of the underlying items, less a variable fee for future services:

- changes in the fair value of the underlying items are related to current service and are recognised in profit or loss;
- changes in the variable fee are related to future service and adjust the CSM, which includes any variances in the Group's share of the fair value returns on the underlying items in the reporting period. The CSM is adjusted for changes in estimates that relate to the effect of the time value of money and the effect of financial risk and changes therein; and
- the Group has chosen not to apply the risk mitigation option and therefore changes in the cost of minimum investment return guarantees are adjust the CSM.

The experience adjustments arising from premiums received (including related cash flows such as insurance acquisition cash flows) that do not vary based on the returns on underlying items, adjust the CSM if they relate to future service, or such amounts are recognised in insurance revenue in the reporting period if they relate to current (or past) service. The Group applies judgement to determine whether these experience adjustments relate to current (or past) service or future service. The experience adjustments arising from incurred claims and administration expenses relate to current (or past) service and are recognised in profit or loss.

The CSM is adjusted for changes in exchange rates for groups of insurance contracts denominated in a foreign (non-local) currency, with movements being translated at the average exchange rate over the reporting period.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Contractual service margin (continued)

An amount of the CSM at the end of the period is recognised in insurance revenue in profit or loss in each reporting period based on the insurance contract services provided under the group of contracts, defined based on the coverage units provided in the current period and expected to be provided in the future.

Coverage units

The coverage units of the group of insurance contracts are identified by considering for each contract the quantity of the benefits provided under the contract and its expected coverage period.

The coverage units for contracts measured under the GMM consider the quantity of benefits and expected coverage period of investment-return services (where relevant), in addition to the insurance coverage provided. The coverage units for contracts measured under the VFA consider the quantity of benefits and expected coverage period of investment-related services as well as any insurance coverage provided (where relevant). Coverage units are not applicable to contracts measured under the PAA.

Loss component

The loss component represents the expected losses to be incurred on a group of insurance contracts, i.e. groups of insurance contracts where the cash outflows are expected to exceed the cash inflows included in the fulfilment cash flows at initial recognition.

Subsequent to initial recognition, the loss component of a group of insurance contracts is adjusted for changes in estimates of the fulfilment cash flows that relate to future service (consistent with the equivalent treatment for groups of insurance contracts with a CSM), with such increases or reversals of losses recognised in profit or loss. The subsequent changes in the fulfilment cash flows of the liability for remaining coverage are allocated to the loss component on a systematic basis based on the expected incurred claims and administration expenses and expected release of the risk adjustment in each reporting period, such that the loss component reduces to zero by the end of the coverage period of a group of insurance contracts.

These changes in the fulfilment cash flows allocated to the loss component are excluded from insurance revenue and insurance service expenses. This ensures that the recognition of insurance revenue depicts the consideration to which the Group expects to be entitled in exchange for the insurance contract services provided.

For reinsurance arrangements the loss recovery component is adjusted for changes in estimates that relate to future service and adjust the loss component of the onerous groups of underlying insurance contracts.

Insurance revenue

Insurance revenue represents the changes in the liability for remaining coverage over the period by the Group, excluding changes in the liability that do not relate to services expected to be covered by the consideration received. The consideration received refers to the amount of premiums paid to the Group, adjusted for the discounting effect and excluding any investment components. The amount of insurance revenue recognised in the reporting period depicts the delivery of promised services at an amount that reflects the portion of premiums the Group expects to be entitled to in exchange for those services.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – Overview (continued)

Insurance revenue – continued

For contracts not measured under the PAA, the total consideration for a group of contracts includes the following amounts:

- the expected claims and administration expenses incurred in the period (excluding amounts allocated to the loss component and excluding investment components payable in the period);
- the amount of the CSM recognised in profit or loss;
- the release of the risk adjustment for risk expired (excluding amounts allocated to the loss component);
- amounts related to income tax that are specifically chargeable to policyholders;
- premium experience adjustments relating to current service (including experience adjustments arising from related cash flows such as insurance acquisition cash flows); and
- the amortisation of insurance acquisition cash flows.

For contracts measured under the PAA, insurance revenue for the period is the amount of expected premium receipts allocated to the period based on the passage of time. However, if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then insurance revenue for the period is allocated on the basis of the expected timing of incurred insurance service expenses.

Insurance service expenses

The following amounts are recognised in insurance service expenses:

- the expected claims and administration expenses incurred (excluding amounts allocated to the loss component and excluding investment components payable in the period);
- experience adjustments relating to claims and administration expenses incurred;
- the initial loss on onerous groups of contracts recognised during the period;
- the increases and reversals of losses on onerous contracts;
- the changes in liability for incurred claims relating to past service; and
- the amortisation of insurance acquisition cash flows.

These amounts refer only to expenses which are directly attributable to fulfilling the insurance contracts. Non-attributable expenses are recognised separately in profit or loss.

Income or expenses from reinsurance contracts

The Group presents income or expenses from a group of reinsurance contracts held, other than insurance finance income or expenses, as a single amount.

Income or expense from reinsurance contracts comprise reinsurance service expenses less amounts recovered from reinsurers. The amounts recognised as income or expenses reflect the features of reinsurance contracts held that differ from insurance contracts issued, for e.g. the loss recovery component recognised during the reporting period rather than an initial loss recognised.

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Insurance finance income and expense

The Group recognises all insurance finance income or expenses for the reporting period in profit or loss. Under the GMM and PAA, the effect of and changes in financial risk form part of the insurance finance income and expenses. For groups of insurance contracts measured under the VFA, the fair value returns on the underlying items are recognised in insurance finance income and expenses. The amounts recognised in insurance finance income or expenses are before any allowance for investment management expenses, taxation at current tax rates and charges for investment guarantees.

The changes in the risk adjustment for non-financial risk have been disaggregated between the insurance service result and insurance finance income and expenses.

Amortisation of insurance acquisition cash flows

Insurance acquisition cash flows are cash flows arising from the costs of selling, underwriting, and starting a group of insurance contracts (issued or expected to be issued) that are directly attributable to the portfolio of insurance contracts to which the group belongs. Such cash flows include cash flows that are not directly attributable to individual contracts or groups of insurance contracts within the portfolio. Insurance acquisition cash flows are amortised in insurance revenue and insurance service expenses in each reporting period in a systematic way based on the passage of time. For long-term insurance contracts issued in the South African clusters, the insurance acquisition cash flows are amortised in line with the coverage units used to recognise the CSM in insurance revenue. This produces a more predictable amortisation pattern. Other systematic methods could be adopted in the Sanlam Emerging Markets and for short-term insurance contracts.

Impact of the adoption of IFRS 17

Adjustment on initial application of IFRS 17

1-Jan-22
KShs. '000

Gross impact (before tax) of IFRS 17 transition	685,455
Deferred tax impact	(205,454)

Net impact on equity after tax **480,001**

An extract comparative statement of profit or loss on application of IFRS 17 as at 31 December 2022

	31-Dec-22 As previously reported KShs. '000	31-Dec-22 Impact of IFRS 17 adoption KShs. '000	31-Dec-22 As restated KShs. '000
Profit before income tax	327,745	(41,980)	285,765
Income tax expense	(381,814)	13,106	(368,708)
Profit for the year	(54,069)	(28,874)	(82,943)
Other comprehensive income; net of tax	-	-	-
Total comprehensive income for the year	(54,069)	(28,874)	(82,943)

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Impact of the adoption of IFRS 17 (continued)

Comparative statement of financial position on adoption of IFRS 17 as at 1 January 2022

	31-Dec-21 As previously reported IFRS 4 KShs. '000	1-Jan-22 Impact of IFRS 17 Adoption KShs. '000	1-Jan-22 As restated IFRS 17 KShs. '000
Assets			
Deferred income taxation	322,499	10,932	333,431
Deferred acquisition costs	243,969	(243,969)	-
Reinsurance contract assets	1,525,471	423,773	1,949,244
Insurance receivables	836,074	(836,074)	-
Receivables and other assets	333,294	215,789	549,083
Other assets	31,422,630	-	31,422,630
Total assets	34,683,937	(429,549)	34,254,388
Equity and liabilities			
Capital and reserves			
Share capital	720,000	-	720,000
Retained earnings and other reserves	(161,206)	486,821	325,615
Non controlling interest	36,966	(6,820)	30,146
Total capital and reserves	595,760	480,001	1,075,761
	31-Dec-21 As previously reported IFRS 4 KShs. '000	1-Jan-22 Impact of IFRS 17 adoption KShs. '000	1-Jan-22 As restated IFRS 17 KShs. '000
Liabilities			
Insurance contract liabilities	23,665,426	(23,665,426)	-
Life insurance contract liabilities	-	24,199,699	24,199,699
General insurance contract liabilities	-	3,969,181	3,969,181
General insurance reinsurance contract liabilities	-	93,079	93,079
Payables under deposit administration contracts	2,592,275	(2,592,275)	-
Unearned premium reserve	1,965,924	(1,965,924)	-
Deferred income tax	685,576	216,094	901,670
Insurance payables	1,172,231	(1,172,231)	-
Deferred reinsurance commissions	111,209	(111,209)	-
Payables and other charges	759,757	119,463	879,220
Other liabilities	3,135,779	(1)	3,135,778
Total liabilities	34,088,177	(909,550)	33,178,627
Total equity and liabilities	34,683,937	(429,549)	34,254,388

2. Summary of material accounting policies (continued)

(b) New standards, amendments and interpretations (continued)

2.2 Changes in accounting policy and disclosures (continued)

2.2.1 New and amended standards adopted by group (continued)

IFRS 17 Insurance Contracts (continued)

(iv) Measurement – overview (continued)

Impact of the adoption of IFRS 17 (continued)

Comparative statement of financial position on adoption of IFRS 17 as at 31 December 2022

	31-Dec-22 As previously reported IFRS 4 KShs. '000	31-Dec-22 Impact of IFRS 17 Adoption KShs. '000	31-Dec-22 As restated IFRS 17 KShs. '000
Assets			
Deferred income taxation	231,949	(38,757)	193,192
Deferred acquisition costs	185,464	(185,464)	-
Reinsurance contract assets	1,410,674	547,389	1,958,063
Insurance receivables	942,405	(942,405)	-
Receivables and other assets	270,141	197,620	467,761
Other assets	34,098,323	-	34,098,323
Total assets	37,138,956	(421,617)	36,717,339
	31-Dec-22 As previously reported IFRS 4 KShs. '000	31-Dec-22 Impact of IFRS 17 Adoption KShs. '000	31-Dec-22 As restated IFRS 17 KShs. '000
Equity and liabilities			
Capital and reserves			
Share capital	720,000	-	720,000
Retained earnings and other reserves	(172,563)	425,487	252,924
Non controlling interest	(5,746)	25,640	19,894
Total capital and reserves	541,691	451,127	992,818
Liabilities			
Insurance contract liabilities	24,923,767	(24,923,767)	-
Life insurance contract liabilities	-	25,938,951	25,938,951
General insurance contract liabilities	-	3,685,582	3,685,582
General insurance reinsurance contract liabilities	-	33,639	33,639
Payables under deposit administration contracts	3,368,093	(3,368,093)	-
Unearned premium reserve	1,283,886	(1,283,886)	-
Deferred income tax	809,873	154,104	963,977
Insurance payables	1,087,692	(1,087,692)	-
Deferred reinsurance commissions	92,971	(92,971)	-
Payables and other charges	825,187	71,389	896,576
Other liabilities	4,205,796	-	4,205,796
Total liabilities	36,597,265	(872,744)	35,724,521
Total equity and liabilities	37,138,956	(421,617)	36,717,339

2. Summary of material accounting policies (continued)

(c) Consolidation

The consolidated financial statements comprise the financial statements of the parent company and its subsidiaries as at 31 December 2023.

(i) Subsidiaries

Any losses within a subsidiary which are attributed to the non-controlling interest are recognised as such even if this results in a deficit balance. Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

In the company financial statements, the investments in subsidiaries are accounted for at cost and assessed for impairment at the end of accounting period by comparing the carrying amount against net asset value of each entity.

(ii) Non-controlling interests (NCI)

NCI are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

(iii) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

(iv) Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(d) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured on acquisition date at fair value and the amount of any non-controlling interests in the acquiree. The Group's identifiable assets and liabilities are measured at their acquisition-date fair value.

Non-controlling interests in an acquiree that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, are measured at either fair value or the present ownership instruments' proportionate share in the recognised amounts of the acquiree's net identifiable assets. Non-controlling interests that are not present ownership interests are measured at fair value. This accounting policy choice can be made on an individual business combination basis.

2. Summary of material accounting policies (continued)

(d) Business combinations and goodwill (continued)

Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value recognised either in either profit or loss or as a change to OCI. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed.

If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the amount recognised for non-controlling interests, and any previous interest held, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the re-assessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss. After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the of the acquiree are assigned to those units.

(e) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the executive committee that makes strategic decisions.

An operating segment is a component of an entity:

- (i) that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);
 - (ii) whose operating results are regularly reviewed by the entity's chief operating decision maker to make decision about resources to be allocated to the segment and assess its performance; and
 - (iii) for which discrete financial information is available.
- (iv) An operating segment may engage in business activities for which it is yet to earn revenues, for example, start-up operations may be operating segments before earning revenues.

(f) Revenues

(i) Financial services income

Financial services income includes income from investment management and related activities. This is based on the value of the assets managed on behalf of clients such as fund management fees, collective investment and linked product administration fees. Initial fees that relate to the future rendering of services are deferred and recognised as those future services are rendered.

2. Summary of material accounting policies (continued)

(f) Revenues (continued)

(ii) Investment income

Investment income comprise of interest income, rental income and dividends.

- interest earned from financial assets at fair value through profit or loss is recognised on a time proportion basis.
- Rental income is recognised on an accrual basis.
- Dividends are recognised when the Group's right to receive the payment is established.

(iii) Realised/unrealised gains and losses

Realised/unrealised gains and losses are recorded in the other investment revenue and other incomes lines in the statement of profit or loss and include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

(g) Reinsurance contracts

Fulfilment cash flows of reinsurance contracts include the effect of any risk of non-performance by the issuer of the reinsurance contract where material, including the effects of collateral and losses from disputes. The fulfilment cash flows are calculated using all cash flows within the reinsurance contract boundary, including future new business contracts where relevant. The Company applies judgement in determining the value of future new business.

(h) Property and equipment

All categories of property and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, that is an integral part of the related hardware is capitalised as part of the computer equipment.

Motor vehicles, furniture, equipment and computers are stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses. Replacement or major inspection costs are capitalised when incurred and if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the statement of profit or loss in the year in which they are incurred.

Depreciation is calculated using the straight-line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

Freehold land	-	Nil
Property	-	2.5%
Computers	-	25%
Motor vehicles	-	25%
Furniture and equipment	-	12.5%

When no parts of items of property and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item. The assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

2. Summary of material accounting policies (continued)

(h) Property and equipment (continued)

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

(i) Investment properties

Investment property is property held to earn rentals and/or for capital appreciation or both. Investment property, including interest in leasehold land, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the reporting date determined by annual valuations carried out by external valuers. Gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

When the Group can reliably determine the fair value of a self-constructed investment property under construction or development, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

The difference between the carrying value and the fair value of the properties at the date of reclassification to investment properties is recognised in the statement of profit or loss.

When the Group can reliably determine the fair value of a self-constructed investment property under construction or development, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

The difference between the carrying value and the fair value of the properties at the date of reclassification to investment properties is recognised in the statement of profit or loss.

Investment properties are derecognised when either they have been disposed off or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

(j) Intangible assets

Software licence costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the company are recognised as intangible assets. Amortisation is calculated using the straight-line method to write down the cost of each licence or item of software over its estimated useful life (three to five years).

Amortisation begins when the asset is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, even when idle. Amortisation ceases at the earlier of the date that the asset is classified as held for disposal and the date that the asset is derecognised.

2. Summary of material accounting policies (continued)

(j) Intangible assets (continued)

Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in the statement of profit or loss in the year in which the expenditure is incurred.

Software under implementation is recognised as work in progress at historical costs less any accumulated impairment loss. The cost of such software includes professional fees and costs directly attributable to the software. The software is not amortised until it is ready for the intended use.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss when the asset is derecognised.

(k) Borrowing costs

All borrowing costs are recognised in the profit or loss in the year in which they are incurred.

(l) Financial assets

(i) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value through profit or loss, and
- those to be measured at amortised cost.

(ii) Recognition and derecognition

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

(iii) Measurement

Classification and subsequent measurement of debt instruments depends on:

- (a) the Group's business model for managing the financial assets; and
- (b) the cash flow characteristics of the asset (whether the contractual cash flows are solely payments of principal and interest (SPPI)).

Based on these factors, the Group classifies its debt instruments into one of the following two measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- **FVOCI:** The group does not have assets held at FVOCI.
- **FVTPL:** Assets that do not meet the criteria for amortised cost are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.

2. Summary of material accounting policies (continued)

(I) Financial assets (continued)

(iii) Measurement (continued)

Debt instruments

All financial assets not classified as measured at amortised cost as described above are measured at FVTPL. In addition, on initial recognition the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model: the business model reflected how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets (government securities) or is to collect both interest and cash flows arising from the sale of assets. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flow represent solely payments of principal and interest ('SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement.

Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss. In extremely rare circumstances, the Group reclassifies debt investments when and only when its business model for managing those assets changes.

Equity instruments

The Group subsequently measures all equity investments at fair value. Dividends from such investments are recognised in profit or loss as other income when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other investment income in the statement of profit or loss.

(iv) Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This includes listed equity securities and quoted debt instruments on major exchanges (NSE). The quoted market price used for financial assets held by the Group is the current bid price.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs existing at the dates of the statement of financial position.

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

— Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

2. Summary of material accounting policies (continued)

(I) Financial assets (continued)

(iv) Determination of fair value (continued)

- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Group at the end of the reporting period during which the change occurred.

(v) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. IFRS 9 replaced the previous 'incurred loss' model in IAS 39 with a forward-looking 'expected credit loss' ("ECL") model. The new impairment model applies to the following financial instruments that are not measured at FVTPL.

- Government securities measured at amortised cost
- Receivables arising from direct insurance arrangements
- Rent and other receivables;
- Mortgage;
- Corporate bonds at amortised cost;
- Deposits with financial institutions at amortised cost; and
- Cash and bank balances

No impairment loss is recognised on equity investments and financial assets measured at FVPL.

The Group recognises loss allowance at an amount equal to either 12-month ECLs or lifetime ECLs. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument, whereas 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date.

The Group will recognise loss allowances at an amount equal to lifetime ECLs, except on financial instruments for which credit risk has not increased significantly since initial recognition.

Loss allowances for premium and rent receivables will always be measured at an amount equal to lifetime ECLs. The impairment requirements of IFRS 9 require management judgement, estimates and assumptions, particularly in the following areas, which are discussed in detail below:

- assessing whether the credit risk of an instrument has increased significantly since initial recognition; and
- incorporating forward-looking information into the measurement of ECLs.

Measurement of expected credit losses

ECLs are a probability-weighted estimate of credit losses and will be measured as follows:

- financial assets that are not credit-impaired at the reporting date: the present value of all cash shortfalls – i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive;
- financial assets that are credit-impaired at the reporting date: the difference between the gross carrying amount and the present value of estimated future cash flows;

2. Summary of material accounting policies (continued)

(l) Financial assets (continued)

(v) Impairment (continued)

Measurement of expected credit losses – continued

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset. These events include but not limited to breach of covenant and other indicators of financial distress on the part of the debtor and default in payment of amounts due.

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD}$$

Expected credit losses

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

- The general approach
- The simplified approach

The Group will apply the approaches below to each of its assets subject to impairment under IFRS 9:

Financial asset	Impairment approach
Loans (mortgage, and Insurance Premium finance loans)	General approach
Receivables arising out of direct insurance arrangements	Simplified approach
Rent and inter-company receivables	Simplified approach
Corporate bonds at amortised cost	General approach
Deposits with financial institutions at amortised cost	General approach
Cash and bank balances	General approach
Trade and lease receivables	Simplified approach

The general approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of three stages in order to determine both the amount of ECL to recognise as well as how interest income should be recognised.

- **Stage 1** - where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.
- **Stage 2** - where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL but interest income will continue to be recognised on a gross basis.
- **Stage 3** - where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

2. Summary of material accounting policies (continued)

(l) Financial assets – (continued)

(v) Impairment – (continued)

Definition of default

The Group will consider a financial asset to be in default when:

- the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group. This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practice of the Group.

In assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

- Qualitative: e.g. Breach of covenant and other indicators of financial distress;
- Quantitative: e.g. Overdue status and non-payment of another obligation of the same issuer to the Group; and
- Based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances. For financial assets that are credit impaired, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the asset.

Significant increase in credit risk (SICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The assessment of significant increase in credit risk is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;
- exposures are not generally transferred from 12-month ECL measurement to credit-impaired; and
- there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

Incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since initial recognition and its measurement of ECL. It formulates a 'base case' view of the future direction of relevant economic variables including interest rates, inflation, sovereign risk, regulatory environment, exchange rates and other industry-specific indicators and a representative range of other possible forecast scenarios based on a variety of external actual and forecast information. External information includes economic data and forecasts published by governmental bodies and monetary authorities.

2. Summary of material accounting policies (continued)

(l) Financial assets – (continued)

(v) Impairment – (continued)

Incorporation of forward-looking information – continued

The base case represents a best estimate and is aligned with information used by the Group for other purposes, such as strategic planning and budgeting. The other scenarios represent more optimistic and more pessimistic outcomes. The process of stress testing equips senior management with perspectives on identifying concentrations, controlling risk exposures, and identifying management actions which may need to be taken in situations of stress. For this process to be effective, it is important to stress all material risks that the business is exposed to with appropriate regularity.

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the following variables (i) Probability of Default; (ii) Loss given default (LGD); and (iii) Exposure at default (EAD).

To determine lifetime and 12-month PDs, the Group uses internally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping its internal risk grades to the equivalent external credit ratings (see (n) (i)). The PDs are recalibrated based on current bond yields and CDS prices, and adjusted to reflect forward-looking information as described above. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, loan-to-value ratios are a key parameter in determining LGD. LGD estimates are recalibrated for different economic scenarios. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity; industry; and geographic location of the borrower.

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

When ECL are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Receivables from intermediaries

The ECL of operating Receivables from intermediaries are determined at using a provision matrix. Loss rates are calculated with reference to days past due and actual credit loss experience over the past few years.

2. Summary of material accounting policies (continued)

(l) Financial assets (continued)

(vi) Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty;
- Whether any substantial new terms are introduced that affect the risk profile of the instrument;
- Significant extension of the contract term when the borrower is not in financial difficulty;
- Significant change in interest rate;
- Change in the currency the security is denominated in; or
- Inclusion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SICR has occurred.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

(vii) Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2023 was KShs Nil (2022: Nil). The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery

(m) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the Group operates), which is Kenya Shillings. Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the reporting date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis in the statement of profit or loss in the year in which they arise, except for differences arising on translation of non-monetary financial assets (previously classified as available-for-sale under IAS 39), which are recognised in other comprehensive income.

(n) Inventory

Inventory, comprising plots held for resale is stated at the lower of cost and net realisable value. The cost of land and development includes infrastructure costs incurred in respect of unsold plots, which are capitalised and released to income as the plots are sold. Cost is calculated on specific costs incurred to bring land and development to its present condition.

2. Summary of material accounting policies (continued)

(o) Contractual service margin (CSM)

The CSM is a component of the carrying amount of the asset or liability for a group of insurance contracts issued which represents the unearned profit that the Company expects to recognise as it provides insurance contract services.

If a group of insurance contracts is not onerous at initial recognition, the CSM is measured as the equal and opposite amount of the net inflow resulting from the total of the fulfilment cash flows, any derecognised assets or liabilities for insurance acquisition or other cash flows paid before the recognition date. This results in no income or expenses arising on initial recognition.

For groups of contracts acquired, the consideration received for the contracts is included in the fulfilment cash flows as a proxy for the premiums received at the date of acquisition. In a business combination, the consideration received is the fair value of the contracts at that date.

If a group of insurance contracts is onerous at initial recognition, the Company immediately recognises this net outflow in profit or loss. Following this, a loss component is created to represent these losses recognised in profit or loss, which determines the amounts that are subsequently presented in profit or loss as an increase or reversal of losses on onerous groups of insurance contracts.

For reinsurance arrangements a loss recovery component is established when underlying onerous insurance contracts are recognised, which will offset the insurance losses for the portion of the contracts being reinsured. The loss recovery component is not established before the underlying onerous contracts are recognised.

(p) Employee entitlements

(i) Retirement benefit obligations

The Group operates a defined contribution retirement benefit scheme for qualifying employees. The Company and all its employees also contribute to the National Social Security Fund which is also a defined contribution scheme. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. The Company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The Company's contributions to the defined contribution schemes are charged to the statement of profit or loss in the year to which they relate.

(ii) Cash settled non-share entitlements

The Group has a long-term staff retention scheme that is separately administered by Trustees under a legal entity. The Company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay qualifying employees the benefits due to them on vestation. The amount expensed each year is based on the increase in value of In-force (VIF) and charged directly to the statement of profit or loss on approval by the Board of directors. The Company has no claim whatsoever on the amounts that have not vested as this is redistributed to the existing qualifying members.

(iii) Bonus

Staff are entitled to a bonus which is based on preset performance parameters on an annual basis. The full cost of the bonus is expensed in the year in which it is incurred.

(iv) Other entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the statement of financial position date is recognised as an expense accrual.

2. Summary of material accounting policies (continued)

(q) Other financial liabilities and insurance payables

All financial liabilities are recognised initially at fair value of the consideration given plus the transaction cost with the exception of financial liabilities carried at fair value through profit or loss, which are initially recognised at fair value and the transaction costs are expensed in the statement of profit or loss. Subsequently, all financial liabilities are carried at amortised cost using the effective interest method except for financial liabilities at fair value through profit or loss which are carried at fair value.

Borrowings, trade and other liabilities are classified as financial liabilities and are carried at amortised cost.

Gains and losses on financial liabilities at amortised cost are recognised on derecognition and through the amortisation process. Gains and loss on financial liabilities at fair value through profit or loss are recognised in the statement of profit or loss.

Insurance payables are recognised when due and measured on initial recognition at the fair value of the claim payable plus directly attributable costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method. Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

(r) Income tax expense

Income tax expense is the aggregate amount charged/ (credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognised in the statement of profit or loss except when it relates to items recognised in other comprehensive income, in which case it is also recognised in other comprehensive income, or to items recognised directly in equity, in which case it is also recognised directly in equity.

Current income tax

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

Deferred income tax

Deferred tax is determined for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

2. Summary of material accounting policies (continued)

(r) Income tax expense (continued)

Value added taxes and premium taxes

Revenues, expenses and assets and liabilities are recognised net of the amount of value added taxes and premium taxes except:

- when the value added taxes or premium tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; or
- receivables and payables that are measured with the amount of value added taxes or premium tax included.

Outstanding net amounts of value added taxes or premium tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(s) Dividends

Dividends on ordinary shares are recognised as a liability in the year in which they are declared. Dividends for the year that are approved after the reporting date are dealt with as a non-adjusting event after the reporting date.

(t) Deferred acquisition cost

Incremental costs directly attributable to the acquisition of insurance and investment contracts with discretionary participating features and investment management services are capitalized to a deferred acquisition cost (DAC) asset if they are separately identifiable, can be measured reliably and its probable that they will be recovered. DAC are amortized in the statement of profit or loss over the term of the contracts as the related services are rendered and revenue recognized, which varies from year to year depending on the outstanding term of the contracts in force. The DAC asset is tested for impairment biannually and written down when it is not expected to be fully recovered.

(u) Expenses

Expenses are recognised in the statement of profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably and is independent from transactions with equity participants. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment).

- (i) When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined expenses are recognised in the statement of profit or loss on the basis of systematic and rational allocation procedures. This is often necessary in recognising the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortisation. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items are consumed or expire.
- (ii) An expense is recognised immediately in the statement of profit or loss when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

(v) Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount.

2. Summary of material accounting policies (continued)

(v) Impairment of non-financial assets (continued)

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

Impairment losses of continuing operations are recognised in the statement of profit or loss in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to other comprehensive income. In this case the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

The following criteria are also applied in assessing impairment of specific assets:

The recoverable amount for the life insurance business has been determined based on a fair value less costs to sell calculation. The calculation requires the Group to make an estimate of the total of the adjusted net worth of the life insurance business plus the value of in-force covered business. New business contribution represents the present value of projected future distributable profits generated from business written in a period. Growth and discount rates used are suitable rates which reflect the risks of the underlying cash flows.

Intangible assets

Intangible assets with indefinite useful lives are tested for impairment annually as at 31 December at the CGU level, as appropriate, and when circumstances indicate that the carrying value may be impaired

(w) Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

(x) Cash and cash equivalents

Cash and cash equivalents include cash in hand and on demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the statement of financial position, bank overdrafts are included as borrowings under current liabilities.

2. Summary of material accounting policies (continued)

(x) Cash and cash equivalents (continued)

For the purpose of the consolidated cash flow, cash and cash equivalents consist of cash and cash equivalent as defined above, net of outstanding bank overdrafts.

(y) Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the Group, the directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. The directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the Group's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

(z) Significant judgements made in applying the Group's accounting policies

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- (a) Whether it is probable that future taxable profits will be available against which temporary differences can be utilised (note 27), judgement on recoverability of deferred tax asset; and
- (b) Whether the Group has control over investee in view of the criteria set out under IFRS 10. These are;

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee, and the ability to use its power over the investee to affect the amount of the investor's returns (Note 2(c)).

- (a) The classification of financial assets and leases (note 14 and note 10(b)), judgement on correct classification of financial assets and leases
- (b) Classification of contracts as insurance or investments contracts (*notes 2.2.1 and 23*).
- (c) Whether assets are impaired and if whether there have been a Significant Increase in Credit Risk (SICR) (*note 2(n)(v)*).
- (d) Whether land and buildings meet the criteria to be classified as investment property (note 10 a&b).

Significant judgements and changes in judgements made when applying IFRS 17 specifically, the inputs, assumptions and estimation techniques used in measurement including coverage units, release of CSM and risk adjustment further details are included in note IFRS 17 Insurance contracts (note 2.2.1) which include:

- methods used to measure insurance contracts and processes for estimating the inputs to those methods
- any changes in methods and processes for estimating inputs used to measure contracts, the reason for each change and the type of contracts affected
- the approach used to:
 - identify changes in discretionary cash flows for contracts without direct participation features
 - determine the risk adjustment for non-financial risk, including whether changes therein are disaggregated into an insurance service component and an insurance finance component
 - determine discount rates
 - determine investment components

determine the relative weighting of the benefits provided by insurance coverage and investment services

2. Summary of material accounting policies (continued)

(z) Significant judgements made in applying the Group's accounting policies (continued)

Going concern

Management does an assessment of the Group's and Company's ability to continue as a going concern at the end of every financial year. The assessment involves review of the Group's and Company's net assets and total assets against total liabilities and the plans management have put in place to address any going concern indicators. Furthermore, an assessment of events and conditions that may cast significant doubt upon the Group's and Company's ability to continue as a going concern is done. The Group and Company also evaluates existing growth opportunities and potential threats that may have a significant impact on their existence including compliance with statutory requirements. The Group and Company leverage on existing opportunities in developing future business plan to ensure that they continue operating in a profitable manner.

(i) Key sources of estimation uncertainty

Valuation of insurance contract liabilities

Critical assumptions are made by the actuary in determining the present value of actuarial liabilities and estimating the liabilities for claims that have occurred, but have not yet been reported to the Group (incurred but not reported (IBNR)). The liability for life insurance contracts is either based on current assumptions or on assumptions established at inception of the contract, reflecting the best estimate at the time increased with a margin for risk and adverse deviation.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapse and surrender rates and discount rates. The Group base mortality and morbidity on standard industry and Kenya's mortality tables which reflect historical experiences, adjusted when appropriate to reflect the Group's unique risk exposure, product characteristics, target markets and own claims severity and frequency experiences. For those contracts that insure risk to longevity, prudent allowance is made for expected future mortality improvements, but epidemics, as well as wide ranging changes to lifestyle, could result in significant changes to the expected future mortality exposure.

Lapse and surrender rates are based on the Group's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Group's own risk exposure.

IFRS17 requires contracts to be allocated to groups where each group cannot contain contracts issued more than one year apart. We thus have annual cohorts as the maximum, but may have shorter groups where it makes sense e.g. monthly cohorts for Annuity business. This principle apply to all products where the fulfilment cashflows at initial recognition is sensitive to financial assumption changes and where pricing policy caters for it. Further, each product have its own cohorts. Contracts have been divided into groups of contracts that are:

- (a) Onerous at initial recognition;
- (b) Have no significant possibility of becoming onerous subsequently; and
- (c) Remaining contracts in the portfolio.

The profitability assessment will be based on the individual policy's profitability at full unit costs and whether the product as a whole is profitable on a marginal unit cost basis.

The inputs, assumptions and estimation techniques used in measurement including coverage units, release of CSM and risk adjustment further details are included in note IFRS 17 Insurance contracts (note 2.2.1).

2. Summary of material accounting policies (continued)

(z) Significant judgements and key sources of estimation uncertainty (continued)

(i) Key sources of estimation uncertainty (continued)

ECL Measurement

Management assesses the carrying value of the Group's assets on an annual basis.

- Significant increase of credit risk: As explained in Note 2 (n) (v), ECLs are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL assets for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased the Group takes into account qualitative and quantitative reasonable and supportable forward-looking information. Refer to Note 2 (n) (v) for more details.
- Models and assumptions used: The Group uses various models and assumptions in measuring fair value of financial assets as well as in estimating ECL. Judgment is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk.
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and determining the forward-looking information relevant to each scenario: When measuring ECL the Company uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.
- Probability of default: PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- Loss Given Default: LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from collateral and integral credit enhancements.

Income taxes

The Group is subject to income taxes under the Kenya Income Tax Act. Estimates are required in determining the provision for income taxes. There are transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and the deferred tax provisions in the period in which such determination is made.

(aa) Events after the reporting date

The financial statements are adjusted to reflect events that occurred between the reporting date and the date when the financial statements are authorised for issue, provided they give evidence of conditions that existed at the reporting date. Events that are indicative of conditions that arose after the reporting date are disclosed, but do not result in an adjustment of the financial statements themselves.

(bb) Share capital and share premium

Ordinary shares are recognised at par value and classified as 'share capital' in equity. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity.

Incremental costs attributable to the issue or cancellation of equity instruments are recognised directly in equity, net of tax if applicable.

2. Summary of material accounting policies (continued)

(z) Significant judgements and key sources of estimation uncertainty (continued)

(i) Key sources of estimation uncertainty (continued)

(cc) Statutory fund - life business

The Group matches the assets to liabilities, after which there is a surplus/deficit that is transferred to the statutory fund. The Insurance Act regulations stipulate that only a maximum 30% of this can be transferred to the shareholders. The statutory actuary advises on the amount to be transferred to the shareholders. When a transfer is made to the shareholders, tax at the prevailing corporation rate 2023: 30% (2022:30%) is incurred.

3. Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Executive Committee that makes strategic decisions. Executive Committee is appointed by the Board of Directors. It consists of the Group Chief operating decision maker (Chief Executive Officer (CEO)) and all the positions that directly report to the CEO.

The following summary describes the products and services that each reportable segment offers.

Reportable segments

Life risk

Life risk contracts provide protection against risk of premature death, disability or critical illness and, in the case of annuity contracts, extended longevity. These include term assurance, critical illness, non-participating whole-life contracts and immediate annuities with fixed and guaranteed terms.

Life savings

Life savings contracts provide both savings and protection. Deferred annuities with fixed and guaranteed terms. Universal life contracts that provide both a lump sum benefit payable on death and access to an account value.

Participating

Participating contracts are flexible savings products that allow policyholders to benefit from participating in the performance of a wide range of underlying items. Contracts include traditional participating contracts, variable annuities, unit-linked contracts and collective investment schemes and investment-linked contracts.

Non-life

The Group issues non-life contracts to corporate and individual customers. Contracts issued to medium and large businesses provide coverage for property and casualty risks, including public liability, employers' liability, cyber, marine and energy. Contracts issued to individuals and small businesses provide coverage for property and casualty risks, primarily in the form of motor and home insurance contracts.

The core business of the Group is underwriting of long-term and short-term business. The Insurance Act (Regulations under section 180 subsection 9) defines the following classes for the purpose of accounting.

3. Segment information (continued)

Investments

The holding company invest in the subsidiaries by providing the required capital and in return earns dividends.

Serial Number: Brief description of class

31	Bond investment business
32	Industrial life assurance business
33	Ordinary life assurance business
34	Superannuation business

The Group does not underwrite bond investment and industrial life assurance business.

Segment results that are reported to the Group management committee include items that are directly attributable to a segment and those that can be allocated on a reasonable basis. Unallocated items mainly relate to the once off costs.

The Group operating segments are all based in one geographical area in Kenya.

(a) Segment statement of comprehensive income for the year ended 31 December 2023

	Life risk KShs.'000'	Life savings KShs.'000'	Non-life KShs.'000'	Investments KShs.'000'	Total KShs.'000'
Segment revenue					
Insurance revenue	3,928,251	184,844	2,823,187	-	6,936,282
Interest revenue calculated using the effective interest method	124,730	-	120,038	-	244,768
Other interest income	2,530,423	-	226,719	-	2,757,142
Other investment revenue	(1,853,758)	-	(86,926)	-	(1,940,684)
Total	4,729,646	184,844	3,083,018	-	7,997,508
Segment profit before taxation	869,112	-	254,545	(534,858)	588,799
Insurance service expenses	(3,378,801)	-	(1,669,391)	-	(5,048,192)
Insurance service result	734,294	-	91,841	-	826,135
Insurance finance income and expenses	(552,620)	-	(129,805)	-	(682,425)
Interest expenses (included in 'other finance costs	-	-	(27,309)	(577,301)	(604,610)
Depreciation and amortization	39,437	-	14,088	-	53,525
Segment assets	19,443,687	8,843,278	4,345,015	1,596,757	34,228,737
Segment liabilities	17,290,365	7,863,915	2,775,967	-	27,930,247
Additions to non-current assets	11,822	-	5,646	-	17,468
Borrowings	-	-	1,140,226	3,516,918	4,657,144

All expenses, including depreciation and amortization costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss.

3. Segment information (continued)

(b) Segment statement of comprehensive income for the year ended 31 December 2022

All expenses, including depreciation and amortization costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss.

2022 (restated)	Life risk KShs.'000'	Life savings KShs.'000'	Non-life KShs.'000'	Investments KShs.'000'	Total KShs.'000'
Segment revenue					
Insurance revenue	3,930,878	390,627	3,980,573	-	8,302,078
Interest revenue calculated using the effective interest method	75,409	-	102,858	-	178,267
Other interest income	2,636,229	-	183,057	-	2,819,286
Other investment revenue	(900,017)	-	(52,863)	-	(952,880)
Total	5,742,499	390,627	4,213,625	-	10,346,751
Segment profit before taxation	856,995		127,252	(204,921)	779,326
Insurance service expenses	(4,024,241)		(4,143,084)	-	(8,167,325)
Insurance service result	297,263		(120,790)	-	176,473
Insurance finance income and expenses	(1,164,019)		24,331	-	(1,139,688)
Interest expenses (included in other finance costs)	-	-	(27,217)	(428,128)	(455,345)
Depreciation and amortization	48,378	-	16,861	-	65,239
Segment assets	20,219,648	8,203,626	5,644,367	1,598,425	35,666,066
Segment liabilities	18,452,028	7,486,923	3,685,582	-	29,624,533
Additions to non-current assets	19,630	-	2,550	-	22,180
Borrowing	-	-	1,085,700	3,002,310	4,088,010

3. Segment information (continued)

(c) Reconciliations of information on reportable segments to the amounts

	2023 KShs.'000'	2022 Restated KShs.'000'
Revenue		
Total segment revenue	7,997,508	10,346,751
Unallocated interest revenue	-	-
Consolidated revenue	7,997,508	10,346,751
Represented by:		
Insurance revenue	6,936,282	8,302,078
Other interest income	2,757,142	2,819,286
Interest revenue calculated using the effective interest method	244,768	178,267
Other investment revenue	(1,940,684)	(952,880)
	7,997,508	10,346,751
Profit before tax		
Total profit before tax for reportable segments	1,123,657	984,247
Unallocated amounts	113,957	88,427
Life insurance contracts	(163,237)	(274,499)
Other incomes	5,654	134,452
Investment income	(11,697)	20,588
Other operating expenses	(220,937)	(222,932)
Interest expenses (included in 'other finance costs')	(604,610)	(444,519)
Consolidated profit before tax	242,787	285,764
Assets		
Total assets for reportable segments	33,995,417	34,067,641
Unallocated amounts	814,191	1,046,638
Property and equipment	531,750	578,965
Other	193,854	1,024,095
Consolidated total assets	35,535,212	36,717,339
Liabilities		
Total liabilities for reportable segments	27,930,247	29,624,067
Unallocated amounts	-	-
Loans and borrowings	4,657,143	4,088,010
Other	2,081,572	2,012,444
Consolidated total liabilities	34,668,962	35,724,521

3. Operating segments (continued)

(c) Reconciliations of information on reportable segments to the amounts reported in the financial statements (continued)

	Reportable segment Total KShs.'000'	Adjustments KShs.'000'	Consolidated Total KShs.'000'
Other material items 2023			
Insurance service expenses	(5,048,193)	-	(5,048,193)
Insurance service result	826,135	(140,036)	686,099
Insurance finance income and expenses	(682,425)	-	(682,425)
Interest expenses (included in 'other finance costs')	(604,610)	-	(604,610)
Depreciation and amortisation	(53,525)	-	(53,525)
Additions to non-current assets	17,468	-	17,468
Other material items 2022 (restated)			
Insurance service expenses	(8,167,325)	-	(8,167,325)
Insurance service result	176,473	(274,405)	(97,932)
Insurance finance income and expenses	(1,139,688)	-	(1,139,688)
Interest expenses (included in 'other finance costs')	(444,519)	-	(444,519)
Depreciation and amortisation	(65,239)	-	(65,239)
Additions to non-current assets	22,180	-	22,180

Products and services

The following table analyses the Group's revenue by product and service offered.

	2023 KShs.'000'	2022 Restated KShs.'000'
Life risk insurance contracts	714,390	67,009
Immediate fixed annuity	1,733,667	1,933,813
Other	1,323,261	1,643,680
Participating insurance contracts		
Traditional participating	235,344	482,161
Variable annuity	-	-
Unit-linked and other investment-linked	106,433	194,842
Non-life insurance contracts		
– Motor	1,360,691	2,292,536
– Property	612,013	550,652
– Public liability	148,562	171,758
– Employers liability	339,246	320,848
– Other	362,675	644,779
Consolidated revenue	6,936,282	8,302,078

4. Insurance revenue

	Life risk KShs.'000'	Participating KShs.'000'	Life savings KShs.'000'	Non-life KShs.'000'	Total KShs.'000'
2023					
Contracts not measured under the PAA					
Amounts relating to changes in liabilities for remaining coverage					
– CSM recognised for services provided	461,209	-	-		461,209
– Change in risk adjustment for non- financial risk for risk expired	23,505	-	-		23,505
– Expected incurred claims and other insurance service expenses	2,136,546	-	-		2,136,546
– Other	(22,436)	-	184,844		162,408
Recovery of insurance acquisition cashflows	-	-	-	-	-
	2,598,824	-	184,844	-	2,783,668
Contracts measured under the PAA	1,329,427	-	-	2,823,187	4,152,614
Total insurance revenue	3,928,251	-	184,844	2,823,187	6,936,282
2022 Restated					
Contracts not measured under the PAA					
Amounts relating to changes in liabilities for remaining coverage					
– CSM recognised for services provided	352,439	-	-		352,439
– Change in risk adjustment for non- financial risk for risk expired	84,349	-	-		84,349
– Expected incurred claims and other insurance service expenses	2,446,004	-	-		2,446,004
– Other	(576,751)	-	390,627		(186,124)
Recovery of insurance acquisition cashflows	-	-	-	-	-
	2,306,041	-	390,627	-	2,696,668
Contracts measured under the PAA	1,624,837	-		3,980,573	5,605,410
Total Insurance revenue	3,930,878	-	390,627	3,980,573	8,302,078

5. Expenses

	Note	2023 KShs.'000'	2022 Restated KShs.'000'
Claims and benefits		3,568,956	6,673,009
Fees and commissions		874,940	1,068,504
Employee benefits	5(a)	872,779	927,946
Amortisation of intangible assets		23,121	53,140
Depreciation on property and equipment		53,525	65,239
Depreciation on right of use asset		25,474	43,243
Auditor's remuneration		13,498	10,999
Professional fees		12,709	26,847
Legal fees		8,759	46,424
Repair and maintenance		20,114	11,446
Premium tax and stamp duty		43,935	80,674
Other administrative expenses	5(b)	853,787	492,127
Total expenses		6,371,597	9,499,598

Amounts attributed to insurance acquisition cash flows
incurred during the year

(1,209,447) (1,243,846)

Total expenses **5,162,150** **8,255,752**

Represented by:

Insurance service expenses 5,048,193 8,167,325
Other operating expenses (Note 5 c) 113,957 88,427

Total **5,162,150** **8,255,752**

(a) Employee benefit expenses

	2023 KShs.'000'	2022 Restated KShs.'000'
Wages and salaries	748,817	834,245
Social security contributions	71,189	70,320
Contributions to defined contribution plans	2,519	418
Other staff costs	50,254	22,963
Total employee benefit expenses	872,779	927,946

The total number of permanent employees for the Group as at 31 December 2023 was 172 compared to 172 as at 31 December 2022. Total employees for the Company as at 31 December 2023 was nil (2022: nil). The company employees were transferred to the operating subsidiaries where they provide employment services.

5. Expenses (continued)

(b) Other administrative expenses

	2023 KShs.'000'	2022 KShs.'000' Restated
Office rent, repairs, and insurance	60,326	49,392
Sales promotion	126,375	131,931
Telephone, electricity, internet, and postage	30,352	31,981
Premium collection charges	33,927	36,508
Travel, accommodation & entertainment	45,991	25,905
Per policy costs and software licenses	111,156	45,485
Outsourced services	17,850	12,294
Bank charges	31,424	21,459
Printing and stationery	15,730	12,757
Other expenses	380,656	124,415
Total other administrative expenses	853,787	492,127

Other expenses comprise marketing expenses, printing and stationery expenses and other office expenses.

(c) Other expenses (non-insurance investments)

	Group		Company	
	2023 KShs.'000'	2022 KShs.'000' Restated	2023 KShs.'000'	2022 KShs.'000'
Non attributable expenses (Note 5)	113,957	88,427	-	-
Other operating expenses*	106,980	123,679	111,680	122,600
Total	220,937	212,106	111,680	122,600

* Other expenses comprise of compliance expenses incurred in running the non- insurance entities.

(d) Net expenses from reinsurance

Contracts measured under the PAA

	2023 KShs.'000'	2022 KShs.'000'
General insurance		
Premium ceded to reinsurers	808,846	1,035,235
Claims recoverable from reinsurers	253,108	(1,076,956)
Net General insurance	1,061,954	(41,721)
Life Insurance	140,036	273,942
Net expenses from reinsurance	1,201,990	232,221

6. Net financial result

The following table analyses the Group's net financial result in profit or loss

2023	Life risk KShs.'000'	Life savings KShs.'000'	Participating KShs.'000'	Non-life KShs.'000'	Other KShs.'000'	Total KShs.'000'
Investment return						
Interest revenue calculated using the effective interest method	124,730	-	-	120,038	-	244,768
Interest revenue	2,530,423	-	-	226,719	-	2,757,142
Other investment revenue	(1,853,758)	-	-	(86,926)	-	(1,940,684)
Total other investment income	801,395	-	-	259,831	-	1,061,226

6. Net financial result (continued)

2023	Life risk	Life savings	Participating	Non-life	Other	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Investment return						
Changes in fair value of underlying items of direct participating contracts	-	-	-	-	-	-
Effects of risk mitigation option	-	-	-	-	-	-
Interest accreted	(2,625)	-	-	-	-	(2,625)
Effect of changes in interest rates and other financial assumptions	1,053,474	-	-	(129,805)	-	923,669
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition	(1,603,469)	-	-	-	-	(1,603,469)
Net foreign exchange loss						
Total net finance expenses from insurance contracts	(552,620)	-	-	(129,805)	-	(682,425)
Net finance income from reinsurance contracts						
Interest accreted	(22)	-	-	-	-	(22)
Other	(23,179)	-	-	32,678	-	9,499
Total net finance income from reinsurance contracts	(23,201)	-	-	32,678	-	9,477
Represented by:						
Amounts recognised in profit or loss	225,574	-	-	162,704	-	388,278
(A) Insurance finance income and expenses						
Net finance expenses from insurance contracts	(552,620)	-	-	(129,805)	-	(682,425)
Recognised in profit or loss	(552,620)	-	-	(129,805)	-	(682,425)
Recognised in OCI	-	-	-	-	-	-

6. Net financial result (continued)

The following table analyses the Group's net financial result in profit or loss

2022 Restated	Life risk	Life	Participating	Non-life	Other	Total
Investment return	KShs.'000'	savings	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Interest revenue calculated using the effective interest method	75,409	-	-	102,858	-	178,267
Interest revenue	2,636,229	-	-	183,057	-	2,819,286
Other investment revenue	(900,017)	-	-	(52,863)	-	(952,880)
Total other investment income	1,811,621	-	-	233,052	-	2,044,673
Total investment return						
Net finance expenses from insurance contracts						
Changes in fair value of underlying items of direct participating contracts						
Effects of risk mitigation option	-	-	-	-	-	-
Interest accreted	(46,104)	-	-	-	-	(46,104)
Effect of changes in interest rates and other financial assumptions	360,446	-	-	24,331	-	384,777
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition	(1,478,361)	-	-	-	-	(1,478,361)
Total net finance expenses from insurance contracts	(1,164,019)	-	-	24,331	-	(1,139,688)
Net finance income from reinsurance contracts						
Interest accreted	-	-	-	-	-	-
Other	-	-	-	(9,341)	-	(9,341)
Total net finance income from reinsurance contracts	-	-	-	(9,341)	-	(9,341)
Represented by:						
Amounts recognised in profit or loss	647,602	-	-	248,042	-	895,644
Amounts recognised in OCI	-	-	-	-	-	-
(A) Insurance finance income and expenses						
Net finance expenses from insurance contracts	(1,164,019)	-	-	24,331	-	(1,139,688)
Recognised in profit or loss	(1,164,019)	-	-	24,331	-	(1,139,688)
Recognised in OCI	-	-	-	-	-	-

7. Other income (non-insurance investments)

	Group		Company	
	2023	2022	2023	2022
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
		Restated		
Other incomes	5,654	20,588	4,123	11,951
Investment income				
Net rental Income	77,662	81,596	-	-
Dividends	-	35,053	150,000	300,000
Fair value (losses)/gains	(89,359)	17,803	-	33,856
Total investment income	(11,697)	134,452	150,000	333,856
Total other income	(6,043)	155,040	154,123	345,807

Other expenses comprise of compliance expenses incurred in running the non- insurance entities.

8. (a) Income tax expense

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
		Restated		
Statement of profit or loss				
Current tax:				
Current year tax charge	39,531	33,939	1,254	3,389
Under/(over) provision of current tax from prior years	-	(4,313)	-	(271)
Deferred tax:				
Prior year adjustment	-	17,310	-	-
Deferred income tax charge (Note 27(a))	329,824	321,772	-	-
Income tax expense	369,355	368,708	1,254	3,118
Reconciliation of income tax expense to tax based on accounting profit: -				
Profit before income tax	242,787	285,765	(536,112)	(204,921)
Tax calculated at a statutory rate of 30% (2022: 30%)	72,837	85,730	(160,834)	(61,476)
Tax effect of:				
Income not subject to tax	(252,100)	(85,507)	162,088	64,865
Expenses not deductible for tax	323,313	145,926	-	-
Under/(over) provision of current tax from prior years	(3,508)	6,406	-	(271)
Deferred tax prior year adjustment	-	17,310	-	-
Deferred tax charge on life fund surplus	228,813	198,843	-	-
Income tax expense	369,355	368,708	1,254	3,118

8. (b) Current income tax receivable/(payable):

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
		Restated		
At start of the year: current tax receivable	254,960	226,183	-	1,981
current tax payable	(1,137)	-	(1,137)	-
Income tax paid	177,526	195,386	3,716	778
Current year tax charge	(39,531)	(33,939)	(1,254)	(2,599)
Under/(over) provision of current tax from prior years	8,700	2,729	-	(1,297)
Transfer from deferred tax on life fund surplus	(172,731)	(136,536)	-	-
Net tax position	227,787	253,823	1,325	(1,137)
At end of the year: current tax receivable	227,787	254,960	1,325	-
Current tax payable	-	1,137	-	1,137

9. Intangible assets – software: Group

	2023	2022
	KShs.'000	KShs.'000
Cost:		
At 1 January	209,671	160,207
Additions	-	49,464
At 31 December	209,671	209,671
Amortisation		
At start of year	(178,008)	(124,869)
Charge for the year	(23,123)	(53,140)
At 31 December	(201,131)	(178,009)
Carrying amount		
At 31 December	8,540	31,662

**10. (a) Property and equipment
Group**

Year ended 31 December 2023	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
Cost	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At 1 January	11,786	157,957	401,360	446,320	1,017,423
Additions	-	9,496	7,972	-	17,468
At 31 December	11,786	167,453	409,332	446,320	1,034,891
Depreciation					
At 1 January	(11,786)	(157,641)	(224,399)	(44,632)	(438,458)
Charge for the year	-	(9,074)	(44,451)	(11,158)	(64,683)
At 31 December	(11,786)	(166,715)	(268,850)	(55,790)	(503,141)
Carrying amount					
At 1 January	-	316	176,961	401,688	578,965
At 31 December	-	738	140,482	390,530	531,750

10. (a) Property and equipment (Continued)

Group

Year ended 31 December 2022	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
Cost	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At 1 January	11,786	155,867	424,879	446,320	1,038,852
Write off	-	(216)	(21,364)	-	(21,580)
Additions	-	6,204	15,976	-	22,180
Adjustment on transfer of assets	-	656	-	-	656
Disposal of impaired assets	-	(4,554)	(18,131)	-	(22,685)
At 31 December	11,786	157,957	401,360	446,320	1,017,423
Depreciation					
At 1 January	(11,786)	(137,855)	(220,508)	(33,474)	(403,623)
Write off	-	216	21,364	-	21,580
Disposal of impaired assets	-	2,981	19,703	-	22,684
Charge for the year	-	(22,983)	(44,958)	(11,158)	(79,099)
At 31 December	(11,786)	(157,641)	(224,399)	(44,632)	(438,458)
Carrying amount					
At 1 January	-	18,012	204,371	412,846	635,229
At 31 December	-	316	176,961	401,688	578,965

Fully depreciated assets still in use had a cost of KShs 284,025,000 (2022: KShs 265,569,000). Notional depreciation of fully depreciated assets were KShs 56,805,000 (2022; KShs 52,583,000).

There are no restrictions on the titles and no item of property or equipment is pledged as collateral (2022; nil).

*The adjustments in the movement schedule above relate to expensing of historical costs and depreciation not supported by asset register and reclassification of depreciation on transfer of assets between asset classes.

Company

Year ended 31 December 2022	Computer equipment	Furniture and equipment	Total
Cost	KShs.'000	KShs.'000	KShs.'000
At 1 January	4,116	52,726	56,842
Additions	310	-	310
Adjustment	656	-	656
Transfer to Sanlam Life	(5,082)	(52,726)	(57,808)
	-	-	-
Depreciation			
At 1 January	(3,128)	(31,818)	(34,946)
Charge for the year	(119)	(2,688)	(2,807)
Transfer to Sanlam Life	3,247	34,506	37,753
At 31 December	-	-	-
Carrying amount	-	-	-
At 31 December	-	-	-

Fully depreciated assets still in use had a cost of KShs nil (2022: KShs nil). Notional depreciation of fully depreciated assets was KShs nil (2022; KShs nil).

10. (a) Property and equipment (Continued)

There are no restrictions on the titles and no item of property or equipment is pledged as collateral (2022; nil).

All asset for the Company were transfer to Sanlam Life Insurance Limited at net book value and the fully depreciated and impaired assets were disposed of on transfer.

10. (b) Leases

This note provides information for leases where the Group is a lessee.

The Group leases office space for branch operations across the country. These leases span for a period of 5 to 6 years and are negotiable at the expiry for a new term at the discretion of the lessee. The offices are fitted to put them in operational state and fitting are capitalized and depreciated as per note 2(i)

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the Group recognises a right-of-use asset at an amount equal to lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the Group's incremental borrowing rate is used. The incremental borrowing rate is the internal cost of debt determined as the risk-free borrowing rate adjusted for country premium.

For leases that contain non-lease components, the Group allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease.

Subsequently the lease liability is measured at amortised cost, subject to re-measurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Group at the end of the lease term, the estimated useful life would not exceed the lease term.

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognized in profit or loss on a straight-line basis over the lease period.

Measurement of right of use assets and lease liabilities

(i) Right of use asset	Group		Company	
	2023	2022	2023	2022
	KShs. '000	KShs. '000	KShs. '000	KShs. '000
At start of year	64,833	87,811	-	29,558
Additions	41,849	12,342	-	-
Disposal	(12,875)	(7,603)	-	(27,382)
Amortisation of right of use asset in statement of profit or loss	(29,016)	(27,717)	-	(2,176)
At end of year	64,791	64,833	-	-

10. (b) Leases (continued)

Measurement of right of use assets and lease liabilities (continued)

(i) Right of use asset (continued)

Lease liabilities	Company		2023 KShs. '000	2022 KShs. '000
	2023 KShs. '000	2022 KShs. '000		
At start of year	82,079	101,209	-	41,118
Additions	41,849	12,342	-	-
Disposal	(34,572)	(11,913)	-	(27,382)
Finance charge in the income statement	18,205	7,316	-	(10,993)
Lease payments recognised in the cashflow statement	(37,891)	(26,875)	-	(2,743)
At end of year	69,670	82,079	-	-

(ii) Amounts recognised in profit or loss	Group		Company	
	2023 KShs.'000	2022 KShs.'000	2023 KShs.'000	2022 KShs.'000
Amortization of right of use asset	29,016	27,717	-	2,176
Interest on lease liabilities	18,205	7,316	-	(10,993)
Total amount recognised in profit or loss	47,221	35,033	-	(8,817)

(iii) Amounts recognised in statement of cash flows

	Group		Company	
	2023 KShs.'000	2022 KShs.'000	2023 KShs.'000	2022 KShs.'000
Principal lease payments	17,620	6,500	-	677
Interest on lease payments	20,271	20,375	-	2,066
Total cash outflows for leases	(37,891)	(26,875)	-	(2,743)

(iv) Extension options

Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options will be exercisable only by the Group and not by the lessors. The Group current opts to negotiate new lease terms with the lessors.

The Group has estimated that the potential future lease payments, should it exercise the extension options, would result in an increase in lease liability of KShs 46 million (2022 – KShs 32 million).

11 Investment properties

Group:	2023 KShs.'000	2022 KShs.'000
	2023 KShs.'000	2022 KShs.'000
At start of year	2,472,680	2,459,680
Fair value gain/(loss)	6,900	13,000
At end of year	2,479,580	2,472,680
	2023 KShs.'000	2022 KShs.'000
Rental income from operating leases	174,979	141,302
Direct operating expenses from property that generated rental income	(56,791)	(91,257)

11 Investment properties

Leasing arrangements

The investment properties are leased to tenants under operating leases with rentals payable monthly. Although the Company is exposed to changes in the residual value at the end of the current leases, the Company typically enters into new operating leases and therefore will not immediately realise any reduction in residual value at the end of these leases. Expectations about the future residual values are reflected in the fair value of the properties

Minimum lease payments receivable on leases of investment properties are as follows:

	2023 KShs. '000	2022 KShs. '000
Within 1 year	106,461	99,496
Within 2 – 5 years	429,226	401,146
Later than 5 years	260,681	243,627
	796,368	744,269

12. (a) Investments in subsidiaries

Company	Shareholding in 2023	At 1 January 2023 KShs. '000	Impairment of investment in subsidiary KShs. '000	At 31 December 2023 KShs. '000
Sanlam Life Insurance Limited	100%	873,399	-	873,399
Sanlam General Insurance Limited	71.86%	94,642	-	94,642
Sanlam Securities Limited	100%	483,897	-	483,897
Sanlam Investments Limited	100%	-	-	-
Mae Properties Limited	100%	-	-	-
Chem Chemi Mineral Water Limited	100%	-	-	-
		1,451,938	-	1,451,938

During the year, the Company assessed the carrying amount for the investments in subsidiaries and no impairment was noted.

Company	Shareholding in 2022	At 1 January 2022 KShs. '000	Impairment of investment in subsidiary KShs. '000	At 31 December 2022 KShs. '000
Sanlam Life Insurance Limited	100%	873,399	-	873,399
Sanlam General Insurance Limited	71.86%	94,642	-	94,642
Sanlam Securities Limited	100%	483,897	-	483,897
Sanlam Investments Limited	100%	-	-	-
Mae Properties Limited	100%	-	-	-
Chem Chemi Mineral Water Limited	100%	-	-	-
		1,451,938	-	1,451,938

Set out below is the summarised financial information of Sanlam General Insurance Limited, the only subsidiary whose non-controlling interest is material to the Group. The amounts disclosed are before intercompany eliminations.

12. (a) Investments in subsidiaries (continued)

Summarised statement of financial position	2023 KShs.'000	2022 KShs.'000 Restated
Total assets	4,345,015	5,071,328
Total liabilities	(4,151,657)	(5,000,686)
Net assets	193,358	70,642
Summarised statement of comprehensive income		
Insurance revenue	2,823,187	3,980,573
Insurance service expenses	(1,100,414)	(3,629,827)
Net expenses from reinsurance contracts	(1,029,275)	32,379
Underwriting profit/(loss)	693,498	383,125
Operating profit	254,546	127,252
Finance cost	(27,309)	(27,217)
Income tax expense	(104,519)	(136,439)
Other comprehensive income	-	-
Total comprehensive income for the year	122,718	(36,404)
Total comprehensive income allocated to non-controlling interests	35,546	(10,252)
Summarised cash flows		
Net cash generated from operating activities	83,325	(184,726)
Net cash used in investing activities	(148,827)	(1,012,738)
Net cash used in financing activities	(3,273)	1,091,471
Net increase in cash and cash equivalents	(68,775)	(105,993)
Cash and cash equivalents at start of year	210,677	330,229
Effects of changes in exchange rates	25,163	(13,559)
Cash and cash equivalents at end of year	167,065	210,677

12. (b) Non-controlling interest movement

Sanlam General Insurance Limited (28.16%)	2023 KShs.'000	2022 KShs.'000 Restated
At 1 January	19,894	30,146
NCI share of total comprehensive income	34,560	(10,252)
At 31 December	54,454	19,894

13. Loans

As at the reporting date, the carrying value of the loans receivable fairly approximates the fair value of the loans. Mortgage loans are secured on the underlying property.

	Group	
	2023	2022
	KShs.'000	KShs.'000
Gross mortgage loans		
At 1 January	120,417	123,856
Accrued interest	1,674	3,401
Loan repayments	(7,710)	(6,840)
At 31 December	114,381	120,417
Impairment:		
At 1 January	(28,196)	(28,196)
Movement in the year	(7)	-
At 31 December	(28,203)	(28,196)
Net mortgages at 31 December	86,178	92,221

Maturity profile of mortgage loans based on contractual undiscounted cashflows

	Group	
	2023	2022
	KShs.'000	KShs.'000
Loans maturing:		
Within 1 year	41,373	47,409
In 1 - 5 years	19,951	19,951
After 5 years	53,057	53,057
	114,381	120,417

14. Financial assets at fair value through profit or loss and government securities at amortised cost

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value through profit or loss and
- those to be measured at amortised cost.

For assets measured at fair value, gains and losses are recorded in other investment income line in profit or loss.

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

Group:

At 31 December 2023:	Amortised cost KShs.'000	Fair value through profit or loss KShs.'000	Total KShs.'000
Equity securities	-	439,384	439,384
Government securities at fair value through profit or loss	-	26,571,319	26,571,319
Government securities at amortised cost	1,095,918	-	1,095,918
Deposits with financial institutions	1,561,335	-	1,561,335
Total	2,657,253	27,010,703	29,667,956

At 31 December 2022:	Amortised cost KShs.'000	Fair value through profit or loss KShs.'000	Total KShs.'000
Equity securities	-	576,692	576,692
Government securities at fair value through profit or loss	-	26,585,346	26,585,346
Government securities at amortised cost	1,556,898	-	1,556,898
Deposits with financial institutions	1,343,437	-	1,343,437
Total	2,900,335	27,162,038	30,062,373

All the government securities and deposits with financial institutions are measured either at fair value through profit or loss or at amortised cost.

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

Financial assets movement

The movement in financial assets is as shown below:

Year ended 31 December 2023:	Opening balance KShs. '000	ECL adjustment KShs. '000	Purchases KShs. '000	Disposals KShs. '000	Fair value adjustment KShs. '000	Accrued interest KShs. '000	Closing balance KShs. '000
Equity securities	576,692	-	82,988	(133,043)	(87,253)	-	439,384
Government securities at fair value through profit or loss	26,585,346	-	4,577,129	(1,964,826)	(2,671,531)	45,201	26,571,319
Government securities at amortised cost	1,556,898	(2,132)	-	(470,000)	-	11,152	1,095,918
Deposits with financial institutions	1,343,437	(9,167)	1,345,623	(2,770,712)	-	1,652,154	1,561,335
Total	30,062,373	(11,299)	6,005,740	(5,338,581)	(2,758,784)	1,708,507	29,667,956
Year ended 31 December 2022:	Opening balance KShs. '000	ECL adjustment KShs. '000	Purchases KShs. '000	Disposals KShs. '000	Fair value adjustment KShs. '000	Accrued interest KShs. '000	Closing balance KShs. '000
Equity securities	671,655	-	-	(32,551)	(62,412)	-	576,692
Government securities at fair value through profit or loss	24,995,992	-	7,763,668	(4,963,788)	(967,386)	(243,140)	26,585,346
Government securities at amortised cost	263,500	(378)	1,713,156	(451,606)	-	32,226	1,556,898
Deposits with financial institutions	1,048,650	-	3,121,756	(4,224,248)	-	1,397,279	1,343,437
Total	26,979,797	(378)	12,598,580	(9,672,193)	(1,029,798)	1,186,365	30,062,373

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(a) Classification (continued)

Maturity analysis:

As at 31 December 2023:	< 1 year KShs.'000	1 - 5 years KShs.'000	> 5 years KShs.'000	Open ended KShs.'000	Total KShs.'000
Equity securities	-	-	-	439,384	439,384
Government securities at fair value through profit or loss	2,029,679	2,071,495	22,470,145	-	26,571,319
Government securities at amortised cost	-	1,095,918	-	-	1,095,918
Deposits with financial institutions	1,561,335	-	-	-	1,561,335
Total	3,591,014	3,167,413	22,470,145	439,384	29,667,956

As at 31 December 2022:

Equity securities	-	-	-	576,692	576,692
Government securities at fair value through profit or loss	148,471	1,806,589	24,630,286	-	26,585,346
Government securities at amortised cost	565,244	991,654	-	-	1,556,898
Deposits with financial institutions	1,343,437	-	-	-	1,343,437
Total	2,057,152	2,798,243	24,630,286	576,692	30,062,373

Included within the government securities are bonds held under lien as required by the Insurance Regulatory Authority KShs. 1,610,000,000.

(b) Determination of fair value and fair value hierarchy

Below is the required disclosure of fair value measurements, using a three-level fair value hierarchy that reflects the significance of the inputs used in determining the measurements.

Level 1

Included in level 1 category are financial assets and liabilities that are measured in whole or in part by reference to unadjusted, quoted prices in an active market for identical assets and liabilities. Quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

Included in level 2 category are financial assets and liabilities measured using inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). For example, instruments measured using a valuation technique such as discounted cash flows, based on assumptions that are supported by prices from observable current market transactions are categorised as level 2. The Group's level 2 financial assets indicated below comprise of unquoted equities valued using market approach, government securities and deposits with financial institutions measured at FVTPL.

Fair value is determined by discounting estimated cash flows with a discount rate based on a market yield for similar instruments at year-end. Inputs applied include a market discount rate and credit risk of the counterparty. The market discount rate used is the 91 days treasury bill rate.

Level 3

Financial assets and liabilities measured using inputs that are not based on observable market data are categorised as level 3. Non-market observable inputs mean that fair values are determined in whole or in part using a valuation technique (model) based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(b) Determination of fair value and fair value hierarchy (continued)

Level 3 (continued)

Significant unobservable inputs are developed as follows.

- Expected prepayment rates are derived from historical prepayment trends, adjusted to reflect current conditions.
- The probabilities of defaults and loss severities for commercial assets are derived from the CDS market. When this information is not available, the inputs are obtained from historical default and recovery information and adjusted for current conditions.
- The probabilities of default and loss severities for retail assets are derived from historical default and recovery information and adjusted for current conditions.
- Correlations between and volatilities of the underlying are derived through extrapolation of observable volatilities, recent transaction prices, quotes from other market participants, data from consensus pricing services and historical data adjusted for current conditions.
- Risk-adjusted spreads are derived from the CDS market (when this information is available) and from historical defaults and prepayment trends adjusted for current conditions.
- Expected cash flows are derived from the entity's business plan and from historical comparison between plans and actual results.

Valuation techniques are used to the extent that observable inputs are not available, thereby allowing for situations for which there is little, if any, market activity for the asset or liability at the measurement date. However, the fair value measurement objective remains the same, that is, an exit price from the perspective of the Group. Therefore, unobservable inputs reflect the Group's own assumptions about the assumptions that market participants would use in pricing the asset or liability (including assumptions about risk). These inputs are developed based on the best information available, which might include three key inputs to the valuation process are: a) Cash flows—the cash generated from ownership of the asset; b) Timing—the time period(s) in which cash flows are received; and c) Required return—the interest rate used to discount the future cash flows to a present value.

Financial asset carried at fair value categorized at Level 3 has been valued using the Price to Book multiple approach. The comparable companies chosen in computing the Price to Book multiple are listed banks in Kenya. The comparable companies are appropriate as they operate under similar regulatory and market conditions as the equity security considered.

	Level 1	Level 2	Level 3	Total carrying value
As at 31 December 2023:	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	83,828	-	355,556	439,384
Government securities at fair value through profit or loss	26,571,319	-	-	26,571,319
Total	26,655,147	-	355,556	27,010,703
As at 31 December 2022:				
Equity securities	132,192	-	444,500	576,692
Government securities at fair value through profit or loss	27,682,937	-	-	27,682,937
Total	27,815,129	-	444,500	28,259,629

14. Financial assets at fair value through profit or loss and government securities at amortised cost (continued)

(b) Determination of fair value and fair value hierarchy (continued)

Level 3 (continued)

Valuation technique used to derive the fair values

Level 3 fair values of land and buildings have been derived using values that can only be estimated using a combination of complex market prices, mathematical models, and subjective assumptions. These include sales prices of comparable land and buildings in proximity are adjusted for differences in key attributes such as property size and location, estimated value of future cashflow from rental incomes and appropriate estimated discount for commercial properties.

The following table shows the valuation technique used in measuring the fair values of investment properties, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Discounted cash flows: The valuation model considers the present value of net cash flows to be generated from the property, taking into account expected rental growth rate, void periods, occupancy rate, lease incentive costs such as rent-free periods and other costs not paid by tenants.	Expected market rental growth 5%. Void periods 6 months at the beginning of each lease. Occupancy rate 90%. Rent-free periods 6 months at the beginning of each lease. Discount rate 14%.	The estimated fair value would increase (decrease) if: — expected market rental growth were higher (lower); — void periods were shorter (longer); — the occupancy rate was higher (lower); — rent-free periods were shorter (longer); or — the discount rate was lower (higher).

The fair valuation basis considers the existing use and the tenancies and considers the normal lease structure for similar buildings.

The table below analyses the non-financial assets carried at fair value, by valuation method. The different levels have been defined as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or immediately (that is, derived from prices) (Level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

	Level 1 KShs. '000	Level 2 KShs. '000	Level 3 KShs. '000	Total KShs. '000
As at 31 December 2023				
Investment properties	-	-	2,479,580	2,479,580
As at 31 December 2022				
Investment properties	-	-	2,459,680	2,459,680

Investment properties are stated at fair value, which has been determined based on valuations performed by Knight Frank Limited during the year and was determined by the discounted cash flows method with inputs referenced to the market prices of similar properties of the type and in the area in which the property is situated.

Assets classified as held for disposal are assets expected to be disposed within the next 12 months.

Changes in fair values are recognised as gains in profit or loss and included in fair value (loss)/gain. All losses are realised. There are no cumulative income or expenses included in OCI relating to the disposal group.

15. Weighted average effective interest rate

The following table summarises the fixed average effective interest rates at the year-end on the principal interest-bearing investments. The interest contractual rates do not fluctuate during the term of the investments.

	2023	2022
Treasury bills	12%	10%
Treasury bonds	13%	13%
Mortgage loans and corporate bonds	10%	10%
Deposits with financial institutions	4%	4%

16. Inventory

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of year	89,696	89,696	89,696	89,696
Additions	412	-	412	-
Disposals	-	-	-	-
As at December	90,108	89,696	90,108	89,696

17. Reinsurance contract assets

	2023	2022
	Kshs. '000	Kshs. '000
Reinsurance contract assets - general insurance	716,797	1,358,280
Reinsurance contract assets - life insurance	436,552	599,783
Total	1,153,349	1,958,063

18. Receivable from intermediaries

	2023	2022
	KShs.'000	KShs.'000
		Restated
Gross receivables	321,246	257,599
Due from related parties (Note 31)	-	8,386
Expected credit loss allowance	(66,045)	(68,555)
Net receivables	255,201	197,430

19. Receivables and other assets

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Rent outstanding	13,402	35,392	-	-
Due from related companies (Note 31(a))	28,004	5,144	12,772	29,464
Prepayments	104,827	23,394	-	-
VAT claimable	5,011	36,525	-	-
Performance bonds	-	84,666	-	-
Other receivables	248,592	231,498	16,488	22,390
	399,836	416,619	29,260	51,854

The carrying value of receivables above approximates their fair value. Other receivables mainly comprise of advances.

20. Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise the following:

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cash and bank balances	477,955	304,645	6,372	4,937
Deposits with financial institutions (Note 14)	1,561,335	1,343,437	17,754	-
	2,039,290	1,648,082	24,126	4,937

Short-term deposits are made for varying periods of between one day and three months depending on the immediate cash requirements of the Group. The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

21. Capital and reserves

Group and Company:

	Ordinary shares Thousands	2023 KShs.'000	2022 KShs.'000
Share capital issued and fully paid			
At start and end of year	144,000	720,000	720,000
At the end of the year	144,000	720,000	720,000

The total number of authorised ordinary shares is 400,000,000 with a par value of KShs. 5 per share. There are 144,000,000 shares in issue with a par value of KShs. 5 per share. All issued shares are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Group and Company. All ordinary shares ranked equally with regards to the Group and Company residual assets.

Statutory fund

The statutory fund represents a reserve maintained within the long-term insurance business and represents unallocated surpluses from previous actuarial valuations as required by section 46(5) of the Insurance Act. Transfers from this fund are made upon recommendation of the actuary. This movement has been shown on the statement of changes in equity.

	Group	
	2023	2022
	KShs.'000	KShs.'000
		Restated
Balance at the beginning of the year	2,249,279	1,599,677
Impact of initial application of IFRS 17	-	504,219
Transfer to retained earnings	(403,038)	(318,584)
Profit for the year	533,898	463,967
Closing fund	2,380,139	2,249,279

22. Borrowings

Finance costs incurred	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Stanbic loan	577,301	428,128	577,301	428,128
Interest on related party loan	27,309	27,217	-	-
Total finance cost	604,610	455,345	577,301	428,128

The movement in the loan balance during the period is as shown below;

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of year	4,088,010	3,000,000	3,002,310	3,000,000
Loans received during the year	-	1,085,699	-	-
Accrued interest	583,534	466,338	529,008	439,121
Interest repayments	(14,400)	(464,027)	(14,400)	(436,811)
At end of year	4,657,144	4,088,010	3,516,918	3,002,310

Net asset/(debt) reconciliation

This section sets out an analysis of net asset/(debt) and the movements in net asset/(debt) for each of the periods presented

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cash and cash equivalents	477,955	304,645	24,126	4,937
Liquid investments*	29,667,958	30,062,373	-	-
Borrowings	(4,657,143)	(4,088,010)	(3,516,918)	(3,002,310)
Lease liabilities	(101,208)	(82,079)	-	-
Net asset/(debt)	25,387,562	26,196,929	(3,492,792)	(2,997,373)

* Liquid investments comprise current investments that are traded in an active market, being the group's financial assets held at FVTPL.

Maturity profile of the borrowings:

The maturity profile of borrowing is as shown below:

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
- Current	-	2,310	-	2,310
- Non-current	4,657,144	4,085,700	3,516,918	3,000,000
	4,657,144	4,088,010	3,516,918	3,002,310

The Group on 21 December 2017 and on 19 December 2018 acquired loan facilities from Sanlam Capital Markets Property Limited of USD 10 million and USD 17 million respectively for a period of two years each whose interest was referenced to the 3month LIBOR plus 7% margin. The facility was obtained to settle intercompany balances with related parties, recapitalize the Group's insurance businesses and finance completion of the Sanlam Tower.

22. Borrowings (continued)

Sanlam Kenya Plc extended repayment to 17 February 2021 and refinanced the loan facilities with a Kenya shilling loan from Stanbic Bank of KShs 3 billion with interest referenced to 3-month average of the Government of Kenya 182-day Treasury Bill Rate plus 4.5% margin for a term of three years. The facility was restructured again in 2022 to a KShs 4 billion facility with the same bank for another two years to March 2025 with interest expense being capitalized. Interest rate is referenced to 3-month average of the Government of Kenya 182-day Treasury Bill Rate plus 4.95% margin. The facility is sufficiently collateralized by a corporate guarantee issued by Sanlam Emerging Markets.

Sanlam Emerging Markets advanced a loan to Sanlam General Insurance Limited of KShs 1,085,700,000 in 2022. The loan had been issued for an initial period of 18 months to November 2023 at the rate of 3% per annum. The loan has been extended for a further 18 months and will now mature on 5 May 2025. There is no collateral issued for this borrowing.

The carrying value of the borrowings approximates the fair value of the borrowings.

23. Insurance and reinsurance contracts

(a) Movements in insurance and reinsurance contract balances

	Life risk					
31 December 2023	GMM	PAA	Life savings	Total Life	Non-life	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Insurance contracts						
Insurance contract liabilities						
Insurance contract balances	16,159,346	1,131,020	7,863,915	25,154,281	2,775,967	27,930,248
Total	16,159,346	1,131,020	7,863,915	25,154,281	2,775,967	27,930,248
Reinsurance contracts						
Reinsurance contract assets	136,976	(573,528)	-	(436,552)	(716,797)	(1,153,349)
31 December 2022 (restated)						
Insurance contracts						
Insurance contract liabilities						
Insurance contract balances	17,317,477	1,134,551	7,486,923	25,938,951	3,685,582	29,624,533
Total	17,317,477	1,134,551	7,486,923	25,938,951	3,685,582	29,624,533
Reinsurance contracts						
Reinsurance contract assets	(18,045)	(581,738)	-	(599,783)	(1,358,280)	(1,958,063)

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts

Analysis by remaining coverage and incurred claims - contracts not measured under PAA

2023	Liabilities for remaining coverage		Liabilities for incurred claims	Total
	Excluding loss component KShs '000'	Loss component KShs '000'	claims KShs '000'	KShs '000'
Opening liabilities	16,642,693	-	674,784	17,317,477
Changes in the statement of profit or loss				
Insurance revenue				
Contracts under the fair value transition approach	(2,376,813)	-	-	(2,376,813)
Other contracts	(222,011)	-	-	(222,011)
Total insurance revenue	(2,598,824)	-	-	(2,598,824)
Insurance service expenses				
Incurred claims and other insurance service expenses	-	-	1,853,882	1,853,882
Losses and reversals of losses on onerous contracts	-	8,703	-	8,703
Adjustments to liabilities for incurred claims	-	-	(49,010)	(49,010)
Total Insurance service expenses	-	8,703	1,804,872	1,813,575
Insurance service result	(2,598,824)	8,703	1,804,872	(785,249)
Net finance expenses from insurance contracts (Note 6)	552,364	256	-	552,620
Total changes in the statement of profit or loss OCI	(2,046,460)	8,959	1,804,872	(232,629)
Cash flows				
Premiums received	2,618,515	-	-	2,618,515
Claims and other insurance service expenses paid, including investment components	(1,184,435)	-	(1,771,336)	(2,955,771)
Insurance acquisition cash flows	(588,246)	-	-	(588,246)
Total cash flows	845,834	-	(1,771,336)	(925,502)
Closing liabilities	15,442,067	8,959	708,320	16,159,346

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts (continued)

Analysis by remaining coverage and incurred claims - contracts not measured under PAA (continued)

2022	Liabilities for remaining coverage		Liabilities for incurred claims KShs '000'	Total KShs '000'
	Excluding loss component KShs '000'	Loss component KShs '000'		
Opening liabilities	15,570,205	-	567,705	16,137,910
Changes in the statement of profit or loss				
Insurance revenue				
Contracts under the fair value transition approach	(92,679)	-	-	(92,679)
Other contracts	(2,213,362)	-	-	(2,213,362)
Total insurance revenue (Note 4)	(2,306,041)	-	-	(2,306,041)
Insurance service expenses				
Incurred claims and other insurance service expenses	-	-	2,073,147	2,073,147
Adjustments to liabilities for incurred claims	-	-	(39,412)	(39,412)
Total Insurance service expenses	-	-	2,033,735	2,033,735
Insurance service result	(2,306,041)	-	2,033,735	(272,306)
Net finance expenses from insurance contracts (Note 4)	1,164,019	-	-	1,164,019
Changes in the statement of profit or loss	(1,142,022)	-	2,033,735	891,713
Cash flows				
Premiums received	3,828,467	-	-	3,828,467
Claims and other insurance service expenses paid, including investment components	(1,049,217)	-	(1,926,656)	(2,975,873)
Insurance acquisition cash flows	(564,740)	-	-	(564,740)
Total cash flows	2,214,510	-	(1,926,656)	287,854
Closing liabilities	16,642,693	-	674,784	17,317,477

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

	CSM					
	Estimates of present value of future cash flows KShs '000'	Risk adjustment for non- financial risk KShs '000'	Contracts under fair value transition approach KShs '000'	Other contracts KShs '000'	Subtotal KShs '000'	Total KShs '000'
2023						
Opening liabilities	15,010,298	170,855	616,756	1,519,568	2,136,324	17,317,477
Changes in the statement of profit or loss						
Changes that relate to current services						
CSM recognised for services provided (note 4)	(138,300)	-	(100,898)	(222,011)	(322,909)	(461,209)
Change in risk adjustment for non-financial risk for risk expired (note 4)	-	(23,505)	-	-	-	(23,505)
Experience adjustments	(2,115,295)	-	-	-	-	(2,115,295)
Total changes that relate to current services	(2,253,595)	(23,505)	(100,898)	(222,011)	(322,909)	(2,600,009)
Changes that relate to future services						
Contracts initially recognised in the year	(275,888)	14,014	-	261,874	261,874	-
Changes in estimates that adjust the CSM	(91,628)	24,277	66,026	1,325	67,351	-
Changes in estimates that result in losses and reversals of losses on onerous contracts	9,888	-	-	-	-	9,888
Adjustment to liabilities for incurred claims	33,536	-	-	-	-	33,536
Insurance service result	(2,577,687)	14,786	(34,872)	41,188	6,316	(2,556,585)
Net finance expenses from insurance contracts	353,166	(1,215)	64,576	136,093	200,669	552,620
Total changes in the statement of profit or loss	(2,224,521)	13,571	29,704	177,281	206,985	(2,003,965)
Premium received, incurred claims and insurance acquisition cashflows	845,834	-	-	-	-	845,834
Closing liabilities	13,631,611	184,426	646,460	1,696,849	2,343,309	16,159,346

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Analysis by measurement component – Contracts not measured under the PAA (continued)

	CSM					
2022 (Restated)	Estimates of present value of future cash flows KShs '000'	Risk adjustment for non-financial risk KShs '000'	Contracts under fair value transition approach KShs '000'	Other contracts KShs '000'	Subtotal KShs '000'	Total KShs '000'
Opening liabilities	15,009,514	241,052	469,133	418,211	887,344	16,137,910
Changes in the statement of profit or loss						
Changes that relate to current services						
CSM recognised for services provided	-	-	(92,678)	(259,761)	(352,439)	(352,439)
Change in risk adjustment for non-financial risk for risk expired	-	(84,349)	-	-	-	(84,349)
Experience adjustments	(1,869,253)	-	-	-	-	(1,869,253)
Total changes that relate to current services	(1,869,253)	(84,349)	(92,678)	(259,761)	(352,439)	(2,306,041)
Changes that relate to future services						
Contracts initially recognised in the year	(338,249)	15,661	-	322,588	322,588	-
Changes in estimates that adjust the CSM	(1,129,976)	(20,436)	111,882	1,038,530	1,150,412	-
Changes in estimates that result in losses and reversals of losses on onerous contracts	-	-	-	-	-	-
Adjustment to liabilities for incurred claims	107,079	-	-	-	-	107,079
Insurance service result	(3,230,399)	(89,124)	19,204	1,101,357	1,120,561	(2,198,962)
Net finance expenses from insurance contracts	1,016,674	18,927	128,419	-	128,419	1,164,020
Total changes in the statement of profit or loss	(2,213,725)	(70,197)	147,623	1,101,357	1,248,980	(1,034,942)
Premium received, incurred claims and insurance acquisition cashflows	2,214,509	-	-	-	-	2,214,509
Closing liabilities	15,010,298	170,855	616,756	1,519,568	2,136,324	17,317,477

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts - Contracts measured under PAA (continued)

2023	Liabilities for emaining coverage excluding loss component KShs.'000'	Liabilities for incurred claims KShs.'000'	Total KShs.'000'
Opening liabilities	461,844	672,707	1,134,551
Changes in the profit or loss			
Insurance revenue			
Contracts under the full retrospective transition approach	(1,329,427)		(1,329,427)
Total	(1,329,427)	-	(1,329,427)
Insurance service expenses			
Incurred claims and other insurance service expenses	-	792,066	792,066
Amortisation of insurance acquisition cash flows	168,249	-	168,249
Adjustments to liabilities for incurred claims	-	942	942
Total Insurance service expenses	168,249	793,008	961,257
Insurance service results	(1,161,178)	793,008	(368,170)
Total changes in the statement of profit or loss	(1,161,178)	793,008	(368,170)
Cash flows			
Premiums received	1,254,572	-	1,254,572
Claims and other insurance service expenses paid, including investment components	-	(721,684)	(721,684)
Insurance acquisition cash flows	(168,249)		(168,249)
Total cash flows	1,086,323	(721,684)	364,639
Closing liabilities	386,989	744,031	1,131,020

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Life Risk - Insurance Contracts - Contracts measured under PAA (continued)

2022 (Restated)

	Liabilities for remaining coverage excluding loss component KShs.'000'	Liabilities for incurred claims KShs.'000'	Total KShs.'000'
Opening liabilities	630,803	805,224	1,436,027
Changes in the profit or loss			
Insurance revenue			
Contracts under the full retrospective transition approach	(1,624,837)	-	(1,624,837)
Total	(1,624,837)	-	(1,624,837)
Insurance service expenses			
Incurred claims and other insurance service expenses	-	985,117	985,117
Amortisation of insurance acquisition cash flows	223,880	-	223,880
Adjustments to liabilities for incurred claims	-	466	466
Total Insurance service expenses	223,880	985,583	1,209,463
Insurance service result	(1,400,957)	985,583	(415,374)
Total changes in the statement of profit or loss	(1,400,957)	985,583	(415,374)
Cash flows			
Premiums received	1,455,878	-	1,455,878
Claims and other insurance service expenses paid, including investment components	-	(1,118,100)	(1,118,100)
Insurance acquisition cash flows	(223,880)	-	(223,880)
Total cash flows	1,231,998	(1,118,100)	113,898
Closing liabilities	461,844	672,707	1,134,551

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (Continued)

(ii) Life Savings - Insurance Contracts

Analysis by remaining coverage and incurred claims - Contracts not measured under PAA

2023	Liabilities for remaining coverage		Liabilities for incurred claims KShs.'000'	Total KShs.'000'
	Excluding loss component KShs.'000'	Loss component KShs. '000'		
Opening liabilities	7,486,923	-	-	7,486,923
Changes in the profit or loss				
Insurance revenue				
Contracts under the modified retrospective transition approach	(184,844)	-	-	(184,844)
Total	(184,844)	-	-	(184,844)
Insurance service result	(184,844)	-	-	(184,844)
Net finance expenses from insurance contracts				-
Total changes in the statement of profit or loss	(184,844)	-	-	(184,844)
Cash flows				
Premiums received	2,465,281	-	-	2,465,281
Claims and other insurance service expenses paid, including investment components	(1,663,418)	-	-	(1,663,418)
Insurance acquisition cash flows	(240,027)	-	-	(240,027)
Total cash flows	561,836	-	-	561,836
Closing liabilities	7,863,915	-	-	7,863,915

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (Continued)

ii) Life Savings - Insurance Contracts (Continued)

Analysis by remaining coverage and incurred claims - Contracts not measured under PAA.

2022 (Restated)	Liabilities for remaining coverage		Liabilities for incurred claims KShs '000'	Total KShs '000'
	Excluding loss component KShs '000'	Loss component KShs '000'		
Opening liabilities	6,625,763	-	-	6,625,763
Changes in the profit or loss				
Insurance revenue				
Contracts under the modified retrospective transition approach	(390,627)	-	-	(390,627)
Total	(390,627)	-	-	(390,627)
Insurance service result	(390,627)	-	-	(390,627)
Total changes in the statement of profit or loss	(390,627)	-	-	(390,627)
Cash flows				
Premiums received	2,455,530	-	-	2,455,530
Claims and other insurance service expenses paid, including investment components	(1,054,638)	-	-	(1,054,638)
Insurance acquisition cash flows	(149,105)	-	-	(149,105)
Total cash flows	1,251,787	-	-	1,251,787
Closing liabilities	7,486,923	-	-	7,486,923

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts (continued)

Analysis by measurement component – Contracts not measured under the PAA (continued)

2023	Estimates of present value of future cash flows KShs.'000'	Risk adjustment for non- financial risk KShs.'000'	CSM		Total KShs.'000'
			Other contracts KShs.'000'	Subtotal KShs.'000'	
Opening liabilities	6,902,638	(8,255)	592,540	592,540	7,486,923
Changes in the statement of profit or loss					
Changes that relate to current services					
CSM recognised for services provided	-	-	(178,163)	(178,163)	(178,163)
Change in risk adjustment for non-financial risk for risk expired	-	(6,681)	-	-	(6,681)
Changes that relate to future services					
Contracts initially recognised in the year	(90,037)	14,343	75,694	75,694	-
Changes in estimates that adjust the CSM	(681,027)	13,525	667,502	667,502	-
Insurance service result	(771,064)	21,187	565,033	565,033	(184,844)
Net finance expenses from insurance contracts	-	-	-	-	-
Total changes in the statement of profit or loss	(771,064)	21,187	565,033	565,033	(184,844)
Premium received, incurred claims and insurance acquisition cashflows	561,836	-	-	-	561,836
Closing liabilities	6,693,410	12,932	1,157,573	1,157,573	7,863,915

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Life Savings - Insurance Contracts (Continued)

Analysis by measurement component – Contracts not measured under the PAA (continued)

2022 (Restated)	Estimates of present value of future cash flows KShs.'000'	Risk adjustment for non- financial risk KShs.'000'	CSM		Total KShs.'000'
			Other contracts KShs.'000'	Subtotal KShs.'000'	
Opening liabilities	5,897,629	17,716	710,418	710,418	6,625,763
Changes in the statement of profit or loss					
Changes that relate to current services					
CSM recognised for services provided	-	-	(320,101)	(320,101)	(320,101)
Change in risk adjustment for non-financial risk for risk expired	-	(70,526)	-	-	(70,526)
Changes that relate to future services					
Contracts initially recognised in the year	(131,743)	18,696	113,047	113,047	-
Changes in estimates that adjust the CSM	(115,035)	25,859	89,176	89,176	-
Insurance service result	(246,778)	(25,971)	(117,878)	(117,878)	(390,627)
Total changes in the statement of profit or loss	(246,778)	(25,971)	(117,878)	(117,878)	(390,627)
Premium received, incurred claims and insurance acquisition cashflows	1,251,787	-	-	-	1,251,787
Closing liabilities	6,902,638	(8,255)	592,540	592,540	7,486,923

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts

2023	Assets for remaining coverage		Assets for incurred claims KShs.'000'	Total KShs.'000'
	Excluding loss-recovery component KShs.'000'	Loss-recovery component KShs.'000'		
Opening assets	-	-	929,521	929,521
Opening liabilities	(329,738)	-	-	(329,738)
Net opening balance	(329,738)	-	929,521	599,783
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(669,021)	-	-	(669,021)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	335,856	335,856
Change in risk adjustment for non-financial risk for risk expired	(11,768)	-	-	(11,768)
Adjustments to assets for incurred claims	-	-	252,587	252,587
Total amounts recoverable from reinsurers	(11,768)	-	588,443	576,675
Net expenses from reinsurance contracts	(680,789)	-	588,443	(92,346)
Net finance income from reinsurance contracts	(23,201)	-	-	(23,201)
Total changes in the statement of profit or loss	(703,990)	-	588,443	(115,547)
Cash flows				
Premiums paid	287,931	-	-	287,931
Amounts received	-	-	(335,615)	(335,615)
Total cash flows	287,931	-	(335,615)	(47,684)
Net closing balance	(745,797)		1,182,349	436,552

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts (continued)

	Assets for remaining coverage		Assets for incurred claims	Total
	Excluding loss-recovery component	Loss-recovery component	claims	Total
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
2022 (Restated)				
Opening assets	380,086	-	308,459	688,545
Net opening balance	380,086	-	308,459	688,545
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(827,883)	-	-	(827,883)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	621,062	621,062
Adjustments to assets for incurred claims	-	-	19,903	19,903
Total amounts recoverable from reinsurers	-	-	640,965	640,965
Net expenses from reinsurance contracts	(827,883)	-	640,965	(186,918)
Total changes in the statement of profit or loss	(827,883)	-	640,965	(186,918)
Cash flows				
Premiums paid	402,533	-	-	402,533
Amounts received	-	-	(304,377)	(304,377)
Total cash flows	402,533	-	(304,377)	98,156
Net closing balance	(45,264)		645,047	599,783

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts (continued)

Contracts not measured under the PAA

2023	Estimate of PV of cashflows KShs.'000'	Risk adjustment for non-financial risk KShs.'000'	Contracts under fair value transition approach KShs.'000'	Subtotal KShs.'000'	Total KShs.'000'
Opening liabilities	18,045	-		-	18,045
Changes in the statement of profit or loss					
Changes that relate to current services					
Change in risk adjustment for non-financial risk for risk expired	-	(11,969)	-	-	(11,969)
Changes that relate to future services					
Contracts initially recognised in the year	61,886	-	(61,886)	(61,886)	-
Changes in estimates that adjust the CSM	6,017	(6,863)	(64,476)	(64,476)	(65,322)
Changes that relate to past services					
Adjustments to liabilities for incurred claims	10,239	-	-	-	10,239
Net expense from reinsurance contracts	78,142	(18,832)	(126,362)	(126,362)	(67,052)
Net finance income from reinsurance contracts	(27,846)	1,208	3,437	3,437	(23,201)
Total changes in the statement of profit or loss	50,296	(17,624)	(122,925)	(122,925)	(90,253)
Cash flows	(64,768)	-	-	-	(64,768)
Net closing balance	3,573	(17,624)	(122,925)	(122,925)	(136,976)

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts (continued)

Contracts not measured under the PAA (continued)

2022 (Restated)	Estimate of PV of cashflows KShs.'000'	Risk adjustment for non-financial risk KShs.'000'	Contracts under fair value transition approach KShs.'000'	Subtotal KShs.'000'	Total KShs.'000'
Opening liabilities	25,127	-	-	-	25,127
Net opening balance	25,127	-	-	-	25,127
Cash flows	(7,082)		-	-	(7,082)
Net closing balance	18,045	-	-	-	18,045

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts (continued)

Contracts measured under the PAA (continued)

	Assets for remaining coverage		Assets for incurred claims	Total
	Excluding loss-recovery component KShs.'000'	Loss-recovery component KShs.'000'	KShs.'000'	KShs.'000'
2023				
Opening balance	(45,264)	-	627,002	581,738
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(669,021)	-	-	(669,021)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	335,856	335,856
Change in risk adjustment for non-financial risk for risk expired	-	-	-	-
Adjustments to assets for incurred claims	-	-	207,803	207,803
Total amounts recoverable from reinsurers	-	-	543,659	543,659
Net expenses from reinsurance contracts	(669,021)	-	543,659	(125,362)
Total changes in the statement of profit or loss	(669,021)	-	543,659	(125,362)
Cash flows				
Premiums paid	452,767	-	-	452,767
Amounts received	-	-	(335,615)	(335,615)
Total cash flows	452,767	-	(335,615)	117,152
Closing balance	(261,518)	-	835,046	573,528

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

Reinsurance Contracts (continued)

Contracts measured under the PAA (continued)

2022 (Restated)	Assets for remaining coverage		Assets for incurred claims KShs.'000'	Total KShs.'000'
	Excluding loss-recovery component KShs.'000'	Loss-recovery component KShs.'000'		
Opening assets	380,086	-	283,332	663,418
Net opening balance	380,086	-	283,332	663,418
Changes in the statement of profit or loss				
Allocation of reinsurance premiums paid	(827,883)	-	-	(827,883)
Amounts recoverable from reinsurers				
Recoveries of incurred claims and other insurance service expenses	-	-	621,062	621,062
Adjustments to assets for incurred claims	-	-	19,903	19,903
Total amounts recoverable from reinsurers	-	-	640,965	640,965
Net expenses from reinsurance contracts	(827,883)	-	640,965	(186,918)
Total changes in the statement of profit or loss	(827,883)	-	640,965	(186,918)
Cash flows				
Premiums paid	402,533	-	-	402,533
Amounts received	-	-	(297,295)	(297,295)
Total cash flows	402,533	-	(297,295)	105,238
closing balance	(45,264)	-	627,002	581,738

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(i) Non life - Insurance Contracts

	2023					2022				
	Liabilities for reinsuring coverage KShs.'000'	Estimate of present value of future cashflows KShs.'000'	Risk adjustment for non- financial risk KShs.'000'	Subtotal Liabilities for incurred claims KShs.'000'	Total Liability KShs.'000'	Liabilities for reinsuring coverage KShs.'000'	Estimate of present value of future cashflows KShs.'000'	Risk adjustment for non- financial risk KShs.'000'	Subtotal Liabilities for incurred claims KShs.'000'	Total Liability KShs.'000'
Opening liabilities	1,098,422	2,411,618	175,542	2,587,160	3,685,582	1,721,955	1,996,345	250,881	2,247,226	3,969,181
Changes in the statement of profit or loss										
Insurance revenue (Note 4)	(2,823,187)	-	-	-	(2,823,187)	(3,980,573)	-	-	-	(3,980,573)
Insurance service expenses										
Incurred claims and other insurance service expenses	-	1,884,780	(85,583)	1,799,197	1,799,197	-	4,194,092	(75,339)	4,118,753	4,118,753
	-	1,884,780	(85,583)	1,799,197	1,799,197	-	4,194,092	(75,339.00)	4,118,753	4,118,753
Insurance service result	(2,823,187)	1,884,780	(85,583)	1,799,197	(1,023,990)	(3,980,573)	4,194,092	(75,339.00)	4,118,753	138,180
Premiums received	2,775,974	-	-	-	2,775,974	3,357,040	-	-	-	3,357,040
Claims and other insurance service expenses paid	-	(2,661,600)	-	(2,661,600)	(2,661,600)	-	(3,778,819)	-	(3,778,819)	(3,778,819)
Total cash flows	2,775,974	(2,661,600)	-	(2,661,600)	114,374	3,357,040	(3,778,819)	-	(3,778,819)	(421,779)
Closing liabilities	1,051,209	1,634,798	89,959	1,724,757	2,775,966	1,098,422	2,411,618	175,542	2,587,160	3,685,582

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Non life insurance liabilities

	2023					2022				
	Assets for remaining coverage	Assets for incurred claims	Risk adjustment for non- financial risk	Subtotal assets for incurred claims	Total Assets	Assets for remaining coverage	Assets for incurred claims	Risk adjustment for non- financial risk	Subtotal assets for incurred claims	Total Assets *Restated KShs.'000'
	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'	KShs.'000'
Opening assets	314,072	976,080	68,128	1,044,208	1,358,280	432,994	763,463	64,243	827,706	1,260,700
Changes in the statement of profit or loss										
Allocation of reinsurance premiums paid	(808,846)	-	-	-	(808,846)	(1,035,235)	-	-	-	(1,035,235)
Amounts recoverable from reinsurers										
Recoveries of incurred claims and other insurance service expenses	-	(172,481)	(47,948)	(220,429)	(220,429)	-	1,063,729	3,885	1,067,614	1,067,614
	-	(172,481)	(47,948)	(220,429)	(220,429)	-	1,063,729	3,885	1,067,614	1,067,614
Net expenses from reinsurance contracts	(808,846)	(172,481)	(47,948.00)	(220,429)	(1,029,275)	(1,035,235)	1,063,729	3,885	1,067,614	32,379
Cash flows										
Premiums paid	776,530	-	-	-	776,530	916,313	-	-	-	916,313
Amounts received for claims	-	(388,738)	-	(388,738)	(388,738)	-	(851,112)	-	(851,112)	(851,112)
Total cash flows	776,530	(388,738)	-	(388,738)	387,792	916,313	(851,112)	-	(851,112)	65,201
Closing assets	281,756	414,861	20,180	435,041	716,797	314,072	976,080	68,128	1,044,208	1,358,280

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) Non-life insurance liabilities (continued)

The development of insurance liabilities provides a measure of the Company's ability to estimate the ultimate value of claims. The table below illustrates how the Company's estimate of total claims outstanding for each accident year has changed at successive year ends.

Year	2017	2018	2019	2020	2021	2022	2023	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Accident year	342,599	445,383	342,627	553,047	1,031,840	789,095	499,543	
One year later	376,066	344,163	316,169	750,242	1,111,066	679,110	-	
Two years later	75,022	83,117	164,853	179,450	212,891	-	-	
Three years later	46,695	53,385	65,818	88,626	-	-	-	
Four years later	27,908	47,466	15,172	-	-	-	-	
Five years later	18,413	14,323	-	-	-	-	-	
Six years later	5,421	-	-	-	-	-	-	
Seven years later and more	39,588	-	-	-	-	-	-	
Cumulative payments to date	931,712	987,837	904,639	1,571,365	2,355,797	1,468,205	499,543	
Current outstanding reserve	83,620	30,667	50,881	169,495	457,301	454,597	285,216	1,531,777
Discounting factor	-	-	-	-	(200,401)	(118,392)	49,925	(268,868)
Current estimate of cumulative claims	1,015,332	1,018,504	955,520	1,740,860	2,612,697	1,804,410	834,684	
Current estimate of cumulative claims								
Incurred but not reported + claims handling expense reserve	-	-	2	100	1,796	18,135	441,815	461,848
Total gross claims liability included in the statement of financial position	83,620	30,667	50,883	169,595	258,696	354,340	776,956	1,724,757

23. Insurance and reinsurance contracts (continued)

(a) Movements in insurance and reinsurance contract balances (continued)

(ii) None life insurance liabilities (continued)

Utilization of Reserves:

Class	2023 Claims O/s	Claims Paid	Actual Reserves	Computed Reserves	Utilization Ratio	2022 Claims O/s	Claims Paid	Actual Reserves	Computed Reserves	Utilization Ratio
Engineering	24,019	811,205	835,224	25,456,500	3.3%	1	23,644,030	23,644,031	1,420,746	1664.2%
Fire Domestic	27,000	852,049	879,049	988,894	88.9%	30,680	915,492	946,172	1,153,280	82.0%
Fire Industrial	4,372,978	6,091,088	10,464,066	12,389,817	84.5%	821,888	1,500,319	2,322,207	15,499,675	15.0%
Liability	4,711,009	3,253,285	7,964,294	18,265,696	43.6%	10,854,708	6,161,107	17,015,815	5,360,353	317.4%
Marine	-	3,808,910	3,808,910	4,647,440	82.0%	-	89,000	89,000	2,172,687	4.1%
Miscellaneous	-	-	-	220,618,960	0.0%	-	-	-	2,849,790	0.0%
Motor Commercial	36,095,793	45,042,275	81,138,068	172,497,108	47.0%	32,587,585	50,134,788	82,722,373	204,038,130	40.5%
Motor Private	29,611,715	40,410,480	70,022,195	162,015,487	43.2%	18,873,774	44,531,276	63,405,050	129,216,095	49.1%
Personal Accident	476,450	7,573,570	8,050,020	10,031,001	80.3%	7,806,000	21,730,186	29,536,186	2,082,186	1418.5%
Medical	-	-	-	151,813	0.0%	-	-	-	22,233,226	0.0%
Psv	2,700,999	62,997,093	65,698,092	103,403,019	63.5%	7,806,000	21,730,186	29,536,186	92,848,612	31.8%
Theft	-	-	-	41,402,761	0.0%	10,000,000	3,298,822	13,298,822	9,137,825	145.5%
Workmen's	6,852,142	49,436,483	56,288,625	78,248,893	71.9%	11,407,262	28,675,590	40,082,852	14,225,378	281.8%
Total	84,872,105	220,276,438	305,148,543	850,117,389	35.9%	100,187,898	202,410,796	302,598,694	502,237,983	60.3%

23. Insurance and reinsurance contracts (continued)

(b) Contractual Service Margin

Accretion is based on the interest rates as per the yield curve and recognition is based on the projected runoff of the coverage units till maturity of the contracts.

(i) Expected recognition of contractual service margin under VFA

Life insurance	1 year or less KShs.'000'	1–2 years KShs.'000'	2–3 years KShs.'000'	3–4 years KShs.'000'	4–5 years KShs.'000'	5–10 years KShs.'000'	than 10 years KShs.'000'
Opening balance	486,840	468,371	439,655	386,577	315,958	242,588	34,806
Allocation of investment return to contracts under the variable fee approach	74,810	88,330	72,727	60,034	40,704	69,424	13,176
Recognised in statement of profit or loss	(93,279)	(117,046)	(125,805)	(130,653)	(114,074)	(277,206)	(47,982)
Closing balance	468,371	439,655	386,577	315,958	242,588	34,806	-

(ii) Expected recognition of contractual service margin Under GMM

Life insurance	1 year or less KShs.'000'	1–2 years KShs.'000'	2–3 years KShs.'000'	3–4 years KShs.'000'	4–5 years KShs.'000'	5–10 years KShs.'000'	than 10 years KShs.'000'
Expected opening balance of CSM	1,712,578	1,561,978	1,422,237	1,305,571	1,219,432	1,130,995	722,569
Accretion of interest on liabilities under the general model	214,856	196,061	193,910	204,480	185,044	708,683	2,680,153
Recognised in statement of profit or loss	(365,456)	(335,802)	(310,576)	(290,619)	(273,481)	(1,117,109)	(3,402,722)
Expected closing balance of CSM	1,561,978	1,422,237	1,305,571	1,219,432	1,130,995	722,569	-

23. Insurance and reinsurance contracts (continued)

(b) Contractual Service Margin (continued)

(iii) Reinsurance contracts

Expected recognition of contractual service margin

Life Insurance	1 year or less KShs.'000'	1–2 years KShs.'000'	2–3 years KShs.'000'	3–4 years KShs.'000'	4–5 years KShs.'000'	5–10 years KShs.'000'	than 10 years KShs.'000'
Expected opening balance of CSM	(166,122)	(167,405)	(152,485)	(138,351)	(126,613)	(113,308)	(49,290)
Accretion of interest on liabilities under the general model	(18,479)	(18,313)	(17,425)	(18,891)	(16,317)	(60,799)	(34,004)
Recognised in Statement of profit or loss	17,196	33,233	31,559	30,629	29,622	124,817	83,294
Expected closing balance of CSM	(167,405)	(152,485)	(138,351)	(126,613)	(113,308)	(49,290)	-

24. General insurance reinsurance contract liabilities

	2023 KShs.'000'	2022 KShs.'000' Restated
At start of year	33,639	93,079
Premium ceded to reinsurers	808,846	1,035,235
Payments to reinsurers	(788,899)	(1,094,675)
At end of year	53,586	33,639

25. Provisions

	Group	
	2023 KShs.'000	2022 KShs.'000
Provision for claims litigation	34,570	34,570
	34,570	34,570
The movement in the provisions is as follows:		
At 1 January	34,570	34,570
Used amounts reversed	-	-
At end of year	34,570	34,570

The above provisions relate to general provision on insurance claims business transfer arrangements by Sanlam Securities Limited and the directors have a reason to believe the amounts provided will be paid out as benefits under the claims. The amounts are payable on demand.

26. Payables and other charges

	Group		Company	
	2023 KShs.'000	2022 KShs.'000	2023 KShs.'000	2022 KShs.'000
Amount due to related parties (Note 31 (b))	15,418	39,523	33,943	35,360
Trade creditors	70,671	76,800	-	41,550
Payroll creditors	13,479	25,144	-	-
Provision for expenses	119,841	151,680	-	-
Commission payable	225,953	170,927	-	-
Other payables and accruals	458,323	432,502	82,855	18,688
Total	903,685	896,576	116,798	95,598

The carrying amounts disclosed above reasonably approximate fair value at reporting date due to their short-term nature. Other payables comprises of payroll liabilities and accrued expenses payable within three months.

27. Deferred income taxation

(a) Recognized deferred tax at Group

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2022: 30%). The movement on the deferred income tax account is as follows:

For the year ended 31 December 2023:	At start of year	(Charge)/credit to income statement	Prior year adjustment	Acquired on business transfer	Transfer to current tax liability	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Property and equipment	3,030	3,508	-	-	-	6,538
Other deductible differences	190,162	(104,519)	-	-	-	85,643
Deferred tax asset	193,192	(101,011)	-	-	-	92,181
Deferred tax on life fund surplus	(963,977)	(228,813)	-	-	172,731	(1,020,059)
Deferred tax liability	(963,977)	(228,813)	-	-	172,731	(1,020,059)
Total	(770,785)	(329,824)	-	-	172,731	(927,878)

For the year ended 31 December 2022 restated:	At start of year	(Charge)/credit to income statement	Prior year adjustment	Acquired on business transfer	Transfer to current tax liability	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Property and equipment	13,208	(3,508)	(292)	-	-	9,408
Restatement impacts						
Effect of IFRS 17 Adoption	10,640					10,640
Other deductible differences	309,583	(119,421)	(17,018)	-	-	173,144
Deferred tax asset	333,431	(122,929)	(17,310)	-	-	193,192
Deferred tax on life fund surplus	(685,576)	(198,843)	-	-	136,536	(747,883)
Effect of IFRS 17 Adoption	(216,094)					(216,094)
Deferred tax liability	(901,670)	(198,843)	-	-	136,536	(963,977)
Total	(568,239)	(321,772)	(17,310)	-	136,536	(770,785)

27. Deferred income taxation (continued)

(b) Unrecognised deferred tax asset of the Company

For the year ended 31 December 2023:	At start of year KShs.'000	Group Movement KShs.'000	At end of year KShs.'000	At start of year KShs.'000	Company Movement KShs.'000	At end of year KShs.'000
Temporary differences on property and equipment	4,497	(4,497)	-	4,497	(4,497)	-
Other temporary differences	22,163	(22,163)	-	22,163	(22,163)	-
Trading tax losses	517,559	7,240	524,799	517,559	7,240	524,799
Total	544,219	(19,420)	524,799	544,219	(19,420)	524,799
Deferred tax asset at 30%	163,266	(5,826)	157,440	163,266	(5,826)	157,440

The group has elected not to recognise deferred tax of the company noting related income is tax exempt and hence the deferred tax is unrecoverable.

For the year ended 31 December 2022:	At start of year KShs.'000	Group Movement KShs.'000	At end of year KShs.'000	At start of year KShs.'000	Company Movement KShs.'000	At end of year KShs.'000
Temporary differences on property and equipment	2,774	1,723	4,497	2,774	1,723	4,497
Other temporary differences	46,852	(24,689)	22,163	46,852	(24,689)	22,163
Trading tax losses	309,523	208,036	517,559	309,523	208,036	517,559
Total	359,149	185,070	544,219	359,149	185,070	544,219
Deferred tax asset at 30%	107,745	55,521	163,266	107,745	55,521	163,266

28. Earnings per share

The following reflects the income and share data used in the basic and diluted earnings per share computation:

(a) Group

	2023 KShs.'000	2022 KShs.'000 Restated
Net loss attributable to ordinary shareholders for basic and diluted earnings	(161,128)	(72,691)
Weighted average number of ordinary shares for basic and diluted earnings per share in '000	144,000	144,000
Basic loss per ordinary share KShs.	(1.12)	(0.50)
Diluted loss per ordinary share KShs.	(1.12)	(0.50)

28. Earnings per share (continued)

(b) Company	2023 KShs. '000	2022 KShs. '000
Net loss attributable to ordinary shareholders for basic and diluted earnings	(536,112)	(208,039)
Weighted average number of ordinary shares for basic and diluted earnings per share	144,000	144,000
Basic loss per ordinary share KShs.	(3.72)	(1.44)
Diluted loss per ordinary share KShs.	(3.72)	(1.44)

29. Contingent liabilities – Group and Company

The Group, like other insurance entities, is subject to litigation arising in the normal course of insurance business. The directors are of the opinion that this litigation will not have a material effect on the financial statement position of the Group. Contingencies regarding litigations at the end of the year amounted to KShs 160,824,290 (2022: KShs. 104,893,061).

These contingent liabilities includes KShs. 53,331,229 (2022: nil) which in the advocates assessment of the case is less likely to materialize. These claims arose from general insurance claims. The information usually required by IAS 37 Provisions, Contingent Liabilities and Contingent Assets is not disclosed on the grounds it can be expected to prejudice the outcome of the petition.

30. Cash generated from operations

(a) Group	Note	2023 KShs.'000	2022 KShs.'000 Restated
Profit before tax:		242,787	285,765
Adjusted for:			
Amortization of intangible assets	9	23,123	53,140
Depreciation of property and equipment	10(a)	64,683	79,099
Amortization of right of use asset	10(b)(i)	29,016	27,717
Finance charge on lease	10(b)	18,205	7,316
Interest income on financial assets at fair value through profit and loss	6	(1,061,226)	(2,044,673)
Revaluation loss on investment property and asset held for sale	11(a)	(6,900)	(13,000)
Interest on financial assets at amortized cost		20,021	15,880
Unrealized foreign exchange (gain)/loss	12(a)	(25,163)	13,559
Repayment of interest on lease liabilities	10(c)	(37,891)	(26,875)
Finance costs	22	604,610	455,345
		(128,735)	(1,146,727)
Changes in working capital:			
Reinsurance contract liabilities		19,947	(59,440)
Reinsurance contract assets		804,714	(8,819)
Insurance contract liabilities		(1,694,285)	1,455,653
Receivables and other financial assets		16,783	71,360
Provisions, payables and other charges		7,109	17,356
Cash (utilised in)/generated from operations		(974,467)	329,383

30. Cash generated from operations (continued)

(b) Company

Reconciliation of profit before income tax to cash generated from operations.

Cash flow from operations	Note	2023 KShs.'000	2022 KShs.'000
Loss before income tax		(534,858)	(204,921)
Adjusted for:			
Investment income	7	(4,123)	(11,951)
Depreciation	10(a)	-	2,807
Dividend income	7	(150,000)	(300,000)
Depreciation of right of use asset	10(b)	-	2,176
Finance charge on lease	10(c)	-	(10,993)
Repayment of interest on lease liabilities	10(b)	-	(2,743)
Interest expense	22	529,008	439,121
		(159,973)	(86,504)
Changes in working capital			
Receivables and other assets		22,594	(12,507)
Payables and other charges		21,200	18,638
		(116,179)	(80,373)
Tax paid	8(b)	(3,716)	(778)
Net cash used in from operations		(119,895)	(81,151)

31. Related party transactions

The Group is controlled by the following entities;

Name	Type	Place of incorporation	Ownership interest	
			2023	2022
Hubris Holdings Limited	Immediate parent entity	Kenya	57.14%	57.14%
Sanlam Allianz Africa (Proprietary) Limited	Intermediate parent entity	South Africa	57.14%	57.14%
Sanlam Limited	Ultimate parent entity and controlling party	South Africa	57.14%	57.14%

There are no other companies that are related to the company through common shareholdings.

(a) Amounts due from related parties:

	Group		Company	
	2023 KShs.'000	2022 KShs.'000	2023 KShs.'000	2022 KShs.'000
Hubris Holding (Parent)	12,772	5,144	12,772	5,144
Sanlam Life Insurance Limited (Subsidiary)	-	-	-	24,320
Sanlam Allianz Africa (Proprietary) Limited (Intermediate parent)	15,232	-	-	-
Sanlam Securities Limited (Subsidiary)	-	-	-	-
Total	28,004	5,144	12,772	29,464

The amounts due from related parties have been disclosed as part of receivables and other assets.

31. Related party transactions (continued)

There were no provisions made or amounts written off on related party balances during the year (2022: nil). The amounts due from related parties are non-interest bearing and will be paid using cash and cash equivalents.

The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support. The balances are settled on a monthly basis.

(b) (i) Amounts due to related parties	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Sanlam Allianz Africa (Proprietary) Limited (Intermediate parent)	11,655	35,760	-	-
Sanlam Investment East Africa Limited (Common ultimate parent)	3,763	3,763	-	-
Sanlam Securities Limited (Subsidiary)	-	-	33,943	35,360
Total	15,418	39,523	33,943	35,360
Premiums receivable from related parties (Director)	-	8,386	-	-

The amounts due to related parties are non-interest bearing and will be paid using cash and cash equivalents.

The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support. The balance is settled on a monthly basis.

(b) (ii) Borrowings

Sanlam Emerging Markets (Intermediate parent company) advanced a loan of KShs 1,085,700,000 to Sanlam General Insurance Limited during the year. The loan is for a period of 18 months at a rate of 3% per annum.

(c) Key management compensation:	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Salaries and other short-term employment benefits	372,147	262,422	112,679	85,654
Post-employment benefits	23,131	29,721	7,844	7,351
	395,278	292,143	120,523	93,005

(d) Directors' remuneration:	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fees	25,586	23,148	-	11,574
Other emoluments (included in (c) above)	112,679	85,654	-	85,654
Total	138,265	108,802	-	97,228

(e) Directors' pension

Pension benefits	7,844	7,351	7,844	7,351
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31. Related party transactions (continued)

(f) Other related party transactions through the statement of profit or loss

	Group		Company	
	2023	2022	2023	2022
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fund management fees payable to Sanlam Investments East Africa Limited (Common ultimate parent)	43,590	44,421	-	-
Management fees payable to Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	25,854	25,854	-	-
Finance costs payable to Sanlam Capital Markets (Common ultimate parent)	75,409	70,550	48,100	43,333
Interest expense on intercompany advances payable to Sanlam Life Insurance Limited (Subsidiary)	-	-	-	-
	144,853	140,825	48,100	43,333

(e) Particulars of the Group's principal subsidiaries are shown below:

	Country of incorporation and domicile	Primary business operation	% Held
Sanlam Life Insurance Limited	Kenya	Life insurance	100
Sanlam General Insurance Limited	Kenya	General insurance	71.86
Sanlam Securities Limited	Kenya	Investment	100
Sanlam Investments Limited	Kenya	Investment Managers	100
Mae Properties Limited	Kenya	Investment in Properties (dormant)	100
Chem Chemi Mineral Water Limited	Kenya	Dealing with bottled water (dormant)	100

The assets and liabilities held by the respective companies can only be transferred within the subsidiaries if a proper Board resolution is passed and sanctioned by the shareholders as provided by the regulatory framework touching on transfer of the said assets and liabilities.

32. Capital management

Group

Objective:

The Group's objective in managing its capital is to ensure that it supports the development of its business and is able to continue as a going concern, while at the same time maximising the return to its shareholders.

The Life and General insurance subsidiaries of the Group are subject to the following external capital requirements as guided by the Risk Based Capital guidelines in the Insurance Act;

The risk-based capital of an insurer shall be the square root of the sum of the squares of capital required for;

- (i) insurance risk;
- (ii) market risk;
- (iii) credit risk; and
- (iv) capital required for operational risk,

The Capital Adequacy Ratio (CAR) is the measure used for capital and the minimum requirement as stipulated by the guidelines is 100%.

32. Capital management (continued)

As at 31 December 2023, Sanlam Life Insurance Limited and Sanlam General Insurance had complied with the external capital requirements with a CAR of 267% (2022: 238% restated) and 156% (2022: 105% restated) respectively. This was because of Sanlam General Insurance receiving KShs 1.085 billion from Sanlam Emerging Markets on 5 May 2022.

Other businesses of the Group are not subject to any external capital requirements.

The effective management of Sanlam Kenya Plc capital base is an essential component of meeting the Group's strategic objective of maximising shareholder value. The capital value used by the Group as the primary performance measurement base is the Group Embedded Value. The Group Embedded Value is the aggregate of the following components:

- (i) The embedded value of covered business, which comprises the long - term required capital supporting these operations and their net value of in - force business; and
- (ii) The fair value of other Group operations, which includes the land and property development, capital markets and short - term insurance.

The management of the Group's capital base requires a continuous review of optimal capital levels, including the use of alternative sources of funding, to maximise return on Group Embedded Value. The Group has an integrated capital and risk management approach. The amount of capital required by the various businesses is directly linked to their exposure to financial and operational risks. Risk management is accordingly an important component of effective capital management.

All the subsidiaries of the Group are within the Kenyan jurisdiction and therefore apply the same capital management policies and processes.

Processes for managing capital:

(a) Capital allocation methodology

Group businesses are each allocated an optimal level of capital and are measured against appropriate return hurdles.

The following methodology is used to determine the allocation of long-term required capital to the covered business:

- The level and nature of the supporting capital is determined by minimum regulatory capital requirements as well as economic, risk and growth considerations. Regulatory capital must comply with specific requirements of the Insurance Act and Kenya Companies Act, 2015. A deterministic modelling process is used to determine the long-term required capital levels.
- The fair value of *other Group operations* includes the working capital allocated to the respective operations.

The Group's policy to ensure appropriate capital levels is twofold:

- (i) The Group dividend policy is based on the annual declaration of all discretionary capital that is not required for normal operations or expansion; and
- (ii) Performance targets are set for other Group operations based on an expected return on the fair value of the businesses, equal to their internal hurdle rates. This ensures that all non-productive working capital is declared as a dividend to the Group.

32. Capital management (continued)

(b) Required capital

(i) Long-term required capital – covered business

The Group's *covered business* requires significantly higher levels of allocated capital than the other Group operations. The optimisation of long-term required capital is accordingly a primary focus area of the Group's capital management philosophy given the significant potential to enhance shareholder value.

The following main strategies are used to achieve this objective:

- (i) Appropriate matching of assets and liabilities for policyholder solutions. This is especially important for long-duration policyholder solutions that expose the Group to interest rate risk, e.g. non-participating annuities, but also for participating business where asset/liability matching and investment strategy have a direct impact on capital requirements.
- (ii) Managing the impact of new business on capital requirements by limiting volumes of capital-intensive new business per business.
- (iii) The asset mix of the long-term required capital also impacts on the overall capital requirement. An increased exposure to interest-bearing instruments reduces the volatility of the capital base and accordingly also the capital requirement. The expected investment return on these instruments are however lower than equity with a potential negative impact on the return on Group Embedded Value. There is accordingly a trade-off between lower capital levels and the return on capital. The Group's stochastic capital model is used to determine the optimal asset mix that will ensure the highest return on capital.
- (iv) Certain of the Group's long term required capital covered business investments in other Group operations qualify, to a varying degree, to be utilised as regulatory capital for the covered business. Maximum capital efficiency can therefore be achieved by optimising the level of such investments held in the life company's regulatory capital.

The Group continues to improve and further develop its capital management models and processes in line with international best practice and the current significant international developments surrounding solvency and capital requirements.

(ii) Other Group operations

The performance measurement of other Group operations is based on the return achieved on the fair value of the businesses. Risk adjusted return targets are set for the businesses to ensure that each business' return target takes cognisance of the inherent risks in the business. This approach ensures that the management teams are focused on operational strategies that will optimise the return on fair value, thereby contributing to the Group's main objective of optimising return on Group Embedded Value.

(c) Discretionary capital

Any capital in excess of requirements, and not optimally utilised, is identified on a continuous basis. The pursuit of structural growth initiatives has been set as the preferred application of Group capital, subject to such initiatives yielding the applicable hurdle rate and being complementary to or in support of Group strategy. Any discretionary capital not being efficiently redeployed will be returned to shareholders in the most effective form.

Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

33. Risk management

The Group's robust risk management framework continues to be applied across the various risk areas introduced by financial instruments and the various risk owners continue to monitor the impact of Covid-19 on the Group's risk profile. Non-financial risks emerging from global movement restrictions, remote working are being assessed, identified and managed through timely application of the Group's risk management framework.

(a) Market risk

Market risk is the risk of adverse financial impact due to changes in fair values or future cash flows of financial instruments from fluctuations in interest rates, equity prices, property prices, and foreign currency exchange rates. Market risk arises in business units due to fluctuations in both the value of liabilities and the value of investments held. At Group level, it also arises in relation to the overall portfolio businesses and in the value of investment assets owned directly by the shareholders.

(i) Equity risk

Equity price risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The Group's shareholders are exposed to the following sources of equity risk:

- (i) Direct equity shareholdings in shareholder funds;
- (ii) The indirect impact from changes in the value of equities held in policyholders' funds from which management charges or a share of performance are taken;
- (iii) Equity assets backing insurance liabilities that are not participating or not fully market linked; and
- (iv) Interest in the free estate of long term with profit funds

Changes in prices of equities will have the following impact in the statement of profit or loss. The impact is net of tax

	Gross Portfolio KShs.'000	% Change in base	KShs.'000
31 December 2023			
Equities and similar securities	439,384	8.6%	37,787
31 December 2022			
Equities and similar securities	576,692	8.6%	49,596

Change in base is the relative movement in the carrying value of equities and similar securities over the two reporting periods; 2022 and 2023.

Linked and market-related business

Linked and market-related business are contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full market risk in respect of linked business. Market-related policies however, provide for guaranteed minimum benefits at death or maturity, and therefore expose the life insurance business to market risk.

The risk relating to guaranteed minimum benefits is managed by appropriate investment policies, determined by the Actuarial committee, and by adjusting the level of guarantees for new policies to prevailing market conditions. These investment policies are then reflected in the investment guidelines for the policyholder portfolios.

Market risk on stable, reversionary bonus and participating annuity business (smoothed-bonus business)

These policies provide for the payment of an after-tax and after - cost investment return to the policyholder, in the form of bonuses. The use of bonuses is a mechanism to smooth returns to policyholders in order to reduce the effects of volatile investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. Any returns not yet distributed are retained in a bonus stabilisation reserve, for future distribution to policyholders.

33. Risk management (continued)

(a) Market risk (continued)

(i) Equity risk (continued)

Market risk on stable, reversionary bonus and participating annuity business (smoothed-bonus business) – (continued)

In the event of adverse investment performance, this reserve may become negative. Negative bonus stabilisation reserves are allowed for in the valuation of these liabilities to the extent that the shortfall is expected to be recovered by declaring lower bonuses in the subsequent three years. The funding level of portfolios is bolstered through loans from shareholders in instances where negative stabilisation reserves will not be eliminated by these management actions. At end of year 2022, all stable and reversionary bonus business portfolios had a funding level in excess of 100%. (2022: 100%)

Equity risk is borne by policyholders to the extent that the after-tax and after - cost investment return is declared as bonuses. The capital portfolio is however exposed to some equity risk as an under performance in equity markets may result in an underfunded position that will require financial support by the capital portfolio. The Group manages this risk through an appropriate investment policy. Actuarial committee oversees the investment policy for the various smoothed-bonus portfolios.

The aim is to find the optimum balance between high investment returns (to be able to declare competitive bonus rates) and stable investment returns given the need to meet guaranteed benefits and to support the granting of stable bonus rates. The requirements for the investment management of each portfolio are set out in investment guidelines, which cover, inter alia, the following:

- Limitations on exposure to volatile assets;
- The benchmarks for the performance measurement of each asset class and limits on deviations from these benchmarks;
- Credit risk limits;
- Limits on asset concentration – with regard to strategic investments, the exposure of policyholders' portfolios to these investments is based on portfolio investment considerations and restricted with reference to a specific counter's weight in the benchmark portfolio;
- Limits on exposure to some particular types of assets, such as unlisted equities, property and hedge funds; and
- Regulatory constraints.

Feedback on the investment policy and its implementation and the performance of the smoothed-bonus portfolios is provided quarterly to the Sanlam Kenya Plc Board.

The Group's equity price risk exposure relates to financial assets whose values will fluctuate as a result of changes in market prices, principally investment securities not held for the account of unit-linked business.

The Group's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market and careful and planned use of financial instruments.

(ii) Interest rate risk

Interest rate risk is the risk that the value of future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk. The Group is not exposed to cash flow interest risk as it does not hold instruments with a floating rate. The Group is however exposed to fair value interest risk as it holds investments in government bonds, corporate bonds and deposits with financial institutions which are designated at fair value though profit and loss. Interest on fixed interest rate instruments is priced at inception of the financial instrument and is fixed until maturity.

33. Risk management (continued)

(a) Market risk (continued)

(ii) Interest rate risk (continue)

The Group manages this risk by adopting close asset liability matching criteria, to minimise the impact of mismatches between the value of assets and liabilities from interest rate movements. Interest rate risk is managed as follows with regard to long-term life business.

Changes in prices of public loans and stock as a result of changes in interest rates will have the following impact in the statement of profit or loss. The impact is net of tax.

	Gross portfolio	% change in base	2023 KShs.'000	Gross portfolio	% change in base	2022 KShs.'000
Financial assets						
Government bonds	27,667,238	10%	2,766,724	28,142,244	10%	2,814,224
Deposits with financial institutions	1,561,421	10%	156,142	1,343,437	10%	134,344
Financial liabilities						
Borrowings	4,657,144	10%	465,714	4,088,010	10%	408,801

The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual maturity and interest rate repricing.

At 31 December 2023	Carrying amount KShs.'000	Contractual cashflows (undiscounted)		
		< 1 year KShs.'000	1 - 5 years KShs.'000	> 5 years KShs.'000
Assets				
Government securities	27,667,237	2,841,551	4,434,378	31,458,203
Deposits with financial institutions	1,561,421	1,564,558	-	-
Cash and bank balances	477,956	487,122	-	-
Total	29,706,614	4,893,231	4,434,378	31,458,203
Liabilities				
Borrowings	4,657,144	1,122,148	4,265,528	-
Lease liabilities	69,670	52,524	17,146	15,431
Total	4,726,814	1,174,672	4,282,674	15,431
At 31 December 2022	Carrying amount KShs.'000	Contractual cashflows (undiscounted)		
		< 1 year KShs.'000	1 - 5 years KShs.'000	> 5 years KShs.'000
Assets				
Government securities	28,142,244	849,913	2,381,890	36,167,338
Deposits with financial institutions	1,343,437	1,344,371	-	-
Cash and bank balances	304,645	310,485	-	-
Total	29,790,326	2,504,769	2,381,890	36,167,338
Liabilities				
Borrowings	4,088,010	29,527	5,159,209	-
Lease liabilities	82,079	23,586	21,227	12,736
Total	4,170,089	53,113	5,180,436	12,736

33. Risk management (continued)

(a) Market risk (continued)

(ii) Interest rate risk (continued)

Linked and market - related business

Linked and market-related business relates to contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full interest rate risk in respect of linked business.

The life business is exposed to interest rate risk to the extent that guaranteed minimum benefits at death or maturity are provided. Refer to equity risk above for the management of market risk in respect of these policies.

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

The life business is exposed to interest rate risk to the extent that changes in effective interest rates result in negative stabilisation reserves that cannot be eliminated through the smoothed - bonus management action philosophy. In these circumstances the life insurance businesses will have to provide support to the policyholders' portfolios.

Guarantee plans

Our Flexi Saver and Flexi Educator policies provide for guaranteed maturity amounts. The life insurance business is therefore exposed to interest rate risk, if the assets backing these liabilities do not provide a comparable yield to the guaranteed value.

Interest rate risk is managed by matching the liabilities with assets that have similar investment return profiles as the liabilities.

(b) Currency risk

The Group is exposed to currency risk due to revenue collected in foreign currency. The revenue amounts in foreign currency are not significant and consequent claims are paid in foreign currency.

(c) Property risk

The Group is subject to property price risk due to holdings of investment properties in a variety of locations. Investment in property is managed by a professional property manager with regard to liquidity requirements and the expectations of shareholders' and policyholders as well as overall risk appetite. The Group Investment Committee also monitors property assets owned directly by the Group on a quarterly basis.

The majority of the investment properties are held in respect of market-related and non-participating policyholder business as well as smoothed - bonus business. Refer to equity risk above for a description on how the risks associated with these types of business are managed.

Comprehensive measures and limits are in place to control the exposure of the insurance businesses' capital to market risk. Continuous monitoring takes place to ensure that appropriate assets are held in support of the capital and investment return targets. Limits are applied in respect of the exposure to asset classes and individual counters.

Market risk – sensitivities

Sensitivities that illustrate the effect of changes in investment return assumptions on the value of in-force (VIF) business and change in VIF relative to the base value is an indication of how the present value of future after-tax profits (including the allowance for the cost of capital at risk) are impacted based on these assumptions.

Investment return (and inflation) decreased by 1% and with bonus rates and discount rates changing commensurately, the impact on the value of in-force business net of cost of capital would be a decrease of KShs. 6 million (2022: decrease of KShs. 281 million).

33. Risk management (continued)

(c) Property risk (continued)

Market risk – sensitivities (continued)

The basis of valuation of insurance contract liabilities is prescribed in the Insurance Act of Kenya 2020. The Act prescribes Net premium valuation method which is very conservative. The rates prescribed by the Act are applicable for all insurers in the country.

(d) Market risk – capital

Changes in economic mortality and expense assumptions will have the following impact in the statement of profit or loss.

Sensitivities	% change in base	Insurance Participating KShs. '000	Insurance non-participating KShs. '000	Shareholders' funds KShs. '000
31 December 2023				
Interest rate risk	+(-)3%	+(-) 170,597	+(-) 611,002	+(-) 13,538
Price risk - equity	+(-)4%	+(-)3,353	-	+(-) 115,276
31 December 2022				
Interest rate risk	+(-)3%	+(-) 161,468	+(-) 659,541	+(-)23,906
Price risk - equity	+(-)4%	+(-)5,256	-	+(-)115,000

The above sensitivity analysis excluded unit linked investments, as the movement in assets and liabilities offset each other.

(e) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets, and is managed on a Group-wide basis. The Group does not grade the credit quality of financial assets that are neither past due nor impaired.

Sanlam Kenya Plc recognises that a sound credit risk policy is essential to minimise the effect on the Group as a result of loss due to a major corporate failure and the possible systemic risk such a failure could lead to. The Sanlam Kenya Plc Investment Risk Policy and Strategy has been established for this purpose.

The governance structures ensure that an appropriate credit culture and environment is maintained, such that no transactions are concluded outside areas of competence, nor without following normal procedures. This credit culture is the product of a formal credit risk strategy and credit risk policy.

The credit risk strategy stipulates the parameters for approval of credit applications, such as: economic sector; risk concentration; maximum exposure per obligor, group, and industry; geographical location; product type; currency; maturity, anticipated profitability or excess spread; economic capital limits; and cyclical aspects of the economy.

All facilities are reviewed on at least an annual basis by the appropriate approval authority. Where possible, Sanlam Kenya Plc interest is protected by obtaining acceptable security. Covenants are also stipulated in the loan agreements, specifying actions that are agreed to.

In addition to the above measures, the portfolios are also managed in terms of the investment guidelines of the life insurance operations, which place limits in terms of the lowest credit quality that may be included in a portfolio, the average credit quality of instruments in a portfolio as well as limits on concentration risk.

33. Risk management (continued)

(e) Credit risk (continued)

The Group is also exposed to credit risk in respect of its working capital assets. The following are some of the main credit risk management actions:

- Unacceptable concentrations of credit risk to groups of counterparties, business sectors and product types are avoided by dealing with a variety of major banks and spreading debtors and loans among a number of major industries, customers and geographic areas.
- Long-term insurance business debtors are secured by the underlying value of the unpaid policy benefits in terms of the policy contract.
- Exposure to external financial institutions concerning deposits and similar transactions is monitored against approved limits.

The Group takes on exposure to credit risk, which is the risk that a counter party will cause a financial loss to the Company by failing to pay amounts in full when due. Credit risk is an important risk for the Company's business. Management therefore carefully manages the exposure to credit risk by:

- Developing and maintaining processes for measuring ECL including monitoring of credit risk, incorporation of forward-looking information and the method used to measure ECL.
- Ensuring that the Company has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.
- Establishing a sound credit risk accounting, assessment and measurement process that provide it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower or groups of borrowers. Such risks are monitored on a revolving basis and subject to annual or more frequent review. The exposure to any one borrower is further restricted by sub-limits. Actual exposures against limits are monitored regularly. Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral, corporate, and personal guarantees.

The credit quality of financial assets is assessed by reference to external credit ratings if available or internally generated information about counterparty default rates. None of the Group's credit risk counterparties are rated except the Government of Kenya, the issuer of the Group's government securities which has B+ rating and the reinsurance companies from whom reinsurance balances are due.

Group

Assets	Note	External credit rating	Internal credit rating	12-month or lifetime ECL	2023 KShs.'000	2022 Restated KShs,'000
Government securities - At fair value through profit or loss	14	B+	-	12 months	26,571,319	26,585,346
Government securities at amortised	14	B+	-	12 months	1,095,918	1,556,898
Loans	13	-	Group 2	12 months	86,178	92,221
Reinsurance contract assets	17	-	Group 2	Lifetime	1,153,349	1,958,063
Receivables from intermediaries	18	-	Group 2	Lifetime	255,201	197,430
Receivables and other financial assets (excluding prepayments, advances and vat)	33(e)	-	Group 2	Mix of both lifetime & 12	130,129	210,412
Deposits with financial institutions	20	-	Group 2	12 months	1,561,335	1,343,437
Cash and bank balances	20	-	Group 2	12 months	477,955	304,645
Total					31,331,384	32,248,452

33. Risk management (continued)

(e) Credit risk (continued)

The above table represents credit risk exposure to the Group at 31 December 2023 and 2022, without taking account of any collateral held or other credit enhancements attached. The exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

As shown above, 88% of the total maximum exposure is derived from government securities (2022: 87%). In the opinion of the Directors there is no other significant concentration of the credit risk at year end.

Mortgage loans are secured by collateral in the form of charges over land and buildings. The fair values of collateral held for mortgages amounted to KShs 418,500,000 (2022: KShs 433,938,000). In case of default the collateral would be realised thereby reducing the Company's credit risk. There were no changes in the quality of the collaterals. There were no collateral sold or repledged within the year.

Company

Assets	Notes	External credit rating	Internal Credit rating	12-month or lifetime ECL	2023	2022
					KShs.'000	KShs.'000
Receivables from related parties	31(a)	-	Group 2	12 months	12,772	29,464
Receivables and other financial assets (excluding prepayments)		-	Group 2	Mix of both lifetime & 12	29,260	22,390
Cash and bank balances	20	-	Group 2	12 months	6,372	4,937
Total	-	-	-	-	48,404	56,791

The above table represents a worst-case scenario of credit risk exposure to the Company at 31 December 2023 and 2022, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

As explained above these figures are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as at a point in time. The calculation is based on statistical rating models and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated considering the contractual maturities of exposures and estimated prepayment rates. The estimation is based on current conditions, adjusted to take into account estimates of future conditions that will impact PD.

33. Risk management (continued)

(e) Credit risk (continued)

Measurement of ECL (continued)

LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from any collateral. The LGD models for secured assets consider collateral valuation.

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest. The Company's modelling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the exposure that are permitted by the current contractual terms. The Company uses EAD models that reflect the characteristics of the portfolios.

The Company measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk and not a longer period, even if contract extension or renewal is common business practice.

The measurement of ECL is based on probability weighted average credit loss. As a result, the measurement of the loss allowance should be the same regardless of whether it is measured on an individual basis or a collective basis (although measurement on a collective basis is more practical for large portfolios of items). In relation to the assessment of whether there has been a significant increase in credit risk it can be necessary to perform the assessment on a collective basis as noted below.

Groupings based on shared risks characteristics

When ECL are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, such as:

- Asset type; and
- Intermediary.

The groupings are reviewed on a regular basis to ensure that each group is comprised of homogenous exposures.

Stages of credit quality and expected credit loss measurement

The Group evaluates financial instruments based on their credit characteristics and assesses any changes in credit risk since origination before grouping them into stages. The groupings are reviewed and updated on a regular basis. The table below shows the staging criteria applied across financial assets.

Stage 1	Stage 2	Stage 3
Performing	Underperforming	Non-Performing
No significant change in credit risk since initial recognition.	Significant increase in Credit risk since initiation. No objective evidence of impairment	Financial instruments that have deteriorated significantly in credit quality since initial recognition. Credit impairment evident

Impairment and provisioning policies

The loss allowance recognised in the period is impacted by a variety of factors as follows:

- Transfers between Stage 1 and Stage 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit impaired in the period, and the consequent "step up" or "step down" between 12-month and lifetime ECL;
- Additional allowance for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;

33. Risk management (continued)

(e) Credit risk (continued)

Measurement of ECL (continued)

- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

The table provide details of the key principles applied over each asset class that is in scope.

Financial asset	Description	Key principle applied
Cash and bank balances	Cash assets have been defined as cash in bank, on hand or in other accounts. These excludes liquid deposits held with financial institutions	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.
Deposits with financial institutions	Deposits with financial institutions are cash transfers to financial institutions for the purposes of a term investment during which the principal can be redeemed with interest earned at the call of the investor. This will exclude any cash in a bank account that is earning interest on existing balances	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.
Government Securities	This is secured or unsecured short term or long-term debt issued by a sovereign Government	Sanlam utilizes the ECL model based on PD, LGD and EAD reviewing sovereign debt credit risk. The loss allowance is adjusted for credit risk ratings and a macro economic outlook adjustment.
Receivables from direct insurance arrangements	These are receivable that arise out of normal insurance business	Sanlam uses a simplified approach based on an entity's historical default rates over the expected life of the receivables and is adjusted for forward-looking estimates.
Other receivables	These are all other receivables that are neither investment assets nor insurance receivable	These are each assessed individually based on the unique factors that include the nature, aging, collateral to determine a loss rate adjusted with a macroeconomic factor

33. Risk management (continued)

(e) Credit risk (continued)

Maximum exposure to credit risk

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2023 is tabulated in the industry analysis below:

Group:

	Government KShs.'000	Financial services KShs.'000	Others KShs.'000	Total KShs.'000
Government securities	27,667,238	-	-	27,667,238
Loans	-	86,178	-	86,178
Reinsurance contract assets	-	1,153,349	-	1,153,349
Receivables from intermediaries	-	255,201	-	255,201
Receivables and other assets	-	-	399,836	399,836
Deposits with financial institutions	-	477,955	-	477,955
Cash and cash equivalents	-	1,561,335	-	1,561,335
	27,667,238	3,534,018	399,836	31,601,092

Company

Receivables and other financial assets	-	-	116,798	116,798
Cash and cash equivalents	-	24,126	-	24,126
	-	24,126	116,798	140,924

33. Risk management (continued)

(e) Credit risk (continued)

Maximum exposure to credit risk (continued)

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2022 is tabulated in the industry analysis below:

Group:	Government KShs.'000	Financial services KShs.'000	Others KShs.'000	Total KShs.'000
Government securities	28,142,244	-	-	28,142,244
Loans	-	92,221	-	92,221
Reinsurance contract assets	-	1,958,063	-	1,958,063
Receivables from intermediaries	-	197,430	-	197,430
Receivables and other assets	-	-	416,619	416,619
Deposits with financial institutions	-	304,645	-	304,645
Cash and cash equivalents	-	1,343,437	-	1,343,437
	28,142,244	3,895,796	416,619	32,454,659
Company				
Receivables and other financial assets	-	-	51,854	51,854
Cash and cash equivalents	-	4,937	-	4,937
	-	4,937	51,854	56,791

33. Risk management (continued)

(e) Credit risk (continued)

Maximum exposure to credit risk (continued)

Credit exposure by staging

Owing to the fact that there is no readily available credit rating information, the group assesses the credit quality of the institution, taking into account its financial position, past experience and other factors

The life insurance businesses' maximum exposure to credit risk is equivalent to the amounts recognised in the statement of financial position, as there are no financial guarantees provided to parties outside the Company, nor are there any loan commitments provided that are irrevocable over the life of the facility (nor revocable only in adverse circumstances). The credit quality of each class of financial asset that is neither past due nor impaired, has been assessed as acceptable within the parameters used to measure and monitor credit risk, as described above. There are no assets that would have been past due or impaired, had the terms not been renegotiated.

The Group holds collateral on mortgages for the past due or impaired receivables in form of legal charges to the title. The management continues to actively follow up past due and impaired receivables.

The following is a movement of impairment provision account:

	Loans KShs.'000	Stage 1 Cash and bank balances KShs.'000	Government securities KShs.'000	Stage 2 Receivables from intermediaries KShs.'000	Total KShs.'000
At 1 January 2023	28,196	5,840	378	254,165	369,325
Additional provision	7	-	1,754	-	-
Unused amounts reversed	-	(2,617)	-	(197,089)	(176,327)
At end of year	28,203	3,223	2,132	57,076	192,998
At 1 January 2022	28,196	4,150	-	1,039,386	1,166,438
Additional provision	-	1,690	378	-	-
Unused amounts reversed	-	-	-	(785,221)	(797,113)
At end of year	28,196	5,840	378	254,165	369,325

33. Risk management (continued)

(e) Credit risk (continued)

The table below provides information regarding the credit risk exposure of the Group using the expected credit loss stages for assets at amortised cost.

	Carrying value KShs.'000	ECL Stage 1 KShs.'000	Total KShs.'000
At 31 December 2023:			
Government securities at amortised cost	1,095,918	2,132	1,098,050
Reinsurance contract assets	1,153,349	-	1,153,349
Loans	86,178	28,203	114,381
Receivable from intermediaries	255,201	57,076	312,277
Receivables and other financial assets	130,129	-	130,129
Cash and bank balances	477,955	9,167	487,122
Deposits with financial institutions	1,561,335	3,223	1,564,558
Gross financial assets	4,760,065	99,801	4,859,866
At 31 December 2022:			
Government securities at amortised cost	1,556,898	378	1,557,276
Reinsurance contract assets	1,958,063	-	1,958,063
Loans	92,221	28,196	120,417
Receivable from intermediaries	197,430	68,555	265,985
Receivables and other financial assets	210,412	-	210,412
Deposits with financial institutions	1,343,437	933	1,344,370
Cash and bank balances	304,645	-	304,645
Gross financial assets	5,663,106	98,062	5,761,168

33. Risk management (continued)

(f) Reinsurance risk

Sanlam Kenya Plc makes use of reinsurance to:

- Access underwriting expertise;
- Access product opportunities;
- Enable it to underwrite risks greater than its own risk appetite; and
- Protect its mortality/risk book against catastrophes.

The use of reinsurance exposes the Group to credit risk. The counterparty risks of reinsurers are managed under the Group's credit risk framework. The Group's reinsurance arrangements include proportionate, excess and catastrophe coverage. All risk exposures in excess of specified monetary limits are reinsured. Catastrophe insurance is in place for single-event disasters. Credit risk in respect of reinsurance is managed by placing the Group's reinsurance only with subsidiaries of companies that have high international or similar credit ratings.

(g) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities and policy holder liabilities. The board has developed a risk management framework for the management of the Group short, medium and long-term liquidity requirements thereby ensuring that all financial liabilities are settled as they fall due.

The Group manages liquidity risk by continuously reviewing forecasts and actual cash flows and maintaining banking facilities to cover any shortfalls.

Liquidity risk – policyholder solutions

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

These policyholder solutions expose the Group to liquidity risks. Expected cash flows are taken into account in determining the investment guidelines and asset spread of the portfolios. Limits are also placed on the exposure to illiquid investments.

Other policyholder business

Policyholder portfolios supporting linked and market-related business, participating annuities and other non-participating life business are invested in appropriate assets, taking into account expected cash outflows. The following table summarises the overall maturity profile of the business:

As at 31 December 2023					
Group	1 year KShs.'000	1 - 5 years KShs.'000	Over 5 years KShs.'000	Open ended KShs.'000	Total KShs.'000
Borrowings	-	4,657,144	-	-	4,657,144
Market linked investment contracts	194,727	456,457	16,570	-	667,754
Non-market related insurance contracts	2,884,348	5,844,998	4,509,133	278,014	13,516,493
Deposit administration contracts	-	-	-	3,368,093	3,368,093
Insurance payables	-	-	-	373,771	373,771
Payables and other charges	825,189	-	-	-	825,189
Lease liabilities	58,493	55,343	-	-	113,836
Total financial liabilities	3,962,757	11,013,942	4,525,703	4,019,878	23,522,280

33. Risk management (continued)

(g) Liquidity risk (continued)

As at 31 December 2023

Group	1 year KShs.'000	1 - 5 years KShs.'000	Over 5 years KShs.'000	Open ended KShs.'000	Total KShs.'000
Financial instruments	2,029,679	3,167,413	22,470,145	-	27,667,237
Loans	41,373	19,951	53,057	-	114,381
Reinsurance assets	1,153,349	-	-	-	1,153,349
Receivable from intermediaries	255,201	-	-	-	255,201
Receivables and other financial assets	130,129	-	-	-	130,129
Deposits with financial institutions	1,561,335	-	-	-	1,561,335
Cash and bank balances	477,955	-	-	-	477,955
Total financial assets	5,649,021	3,187,364	22,523,202	-	31,359,587
(Gap)/surplus	1,686,264	(7,826,578)	17,997,499	(4,019,878)	7,837,307

Company

Borrowings	-	3,516,918	-	-	3,516,918
Payables and other charges	116,797	-	-	-	116,797
Total financial liabilities	116,797	3,516,918	-	-	3,633,715
Receivables and other financial assets	116,798	-	-	-	116,798
Deposits with financial institutions	17,754	-	-	-	17,754
Cash and bank balances	6,372	-	-	-	6,372
Total financial assets	140,924	-	-	-	140,924
(Gap)/surplus	24,127	(3,516,918)	-	-	(3,492,791)

As at 31 December 2022

Group	1 year KShs '000	1 - 5 years KShs '000	Over 5 years KShs '000	Open ended KShs '000	Total KShs '000
Borrowings	-	5,159,209	-	-	5,159,209
Market linked investment contracts	456,457	1,347,957	211,297	-	2,015,711
Non-market related insurance contracts	5,581,612	6,694,300	10,354,131	278,014	22,908,057
Deposit administration contracts	-	-	-	3,368,093	3,368,093
Insurance payables	-	-	-	1,087,692	1,087,692
Payables and other charges	825,187	-	-	-	825,187
Lease liabilities	52,524	49,724	-	-	102,248
Total financial liabilities	6,915,780	13,251,190	10,565,428	4,733,799	35,466,197

33. Risk management (continued)

(g) Liquidity risk (continued)

As at 31 December 2022

Group	1 year KShs '000	1 - 5 years KShs '000	Over 5 years KShs '000	Open ended KShs '000	Total KShs '000
Financial instruments	607,081	1,701,350	25,833,813	-	28,142,244
Loans	47,409	19,951	53,057	-	120,417
Reinsurance contract assets	1,958,063	-	-	-	1,958,063
Receivable from intermediaries	197,430	-	-	-	197,430
Receivables and other financial assets	210,412	-	-	-	210,412
Deposits with financial institutions	1,343,437	-	-	-	1,343,437
Cash and bank balances	304,645	-	-	-	304,645
Total financial liabilities	4,668,477	1,721,301	25,886,870	-	32,276,648
(Gap)/surplus	(2,247,303)	(11,529,889)	15,321,442	(4,733,799)	(3,189,549)
Company					
Borrowings	-	3,002,310	-	-	3,002,310
Payables and other charges	95,598	-	-	-	95,598
Total financial liabilities	95,598	3,002,310			3,097,908
Receivables and other financial assets	51,854	-	-	-	51,854
Cash and bank balances	4,937	-	-	-	4,937
Total financial assets	56,791	-	-	-	56,791
(Gap)/surplus	(38,807)	(3,002,310)	-	-	(3,041,117)

(h) Insurance risk

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the Group faces under its insurance contracts is that the actual claims and benefit payments exceed the carrying amount of the insurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random and the actual number and amount of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected by a change in any subset of the portfolio.

33. Risk management (continued)

(h) Insurance risk (continued)

The Group has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome.

Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

The Group manages underwriting risk through:

- Its product development process and underwriting policy to prevent anti - selection and ensure appropriate premium rates (loadings) for substandard risks;
- Adequate reinsurance arrangements to limit exposure per individual and manage concentration of risks;
- Claims handling policy; and
- Adequate pricing and reserving.

Quarterly full actuarial valuations and the Group's regular profit reporting process assist in the timely identification of experience variances. The following policies and practices are used by the Group as part of its underwriting strategy to mitigate underwriting risk: This analysis presents the sensitivities both before and after risk mitigation by reinsurance and assumes that all other variables remain constant.

Underwriting risk

	2023					
	CSM		Profit or loss		Equity	
Life risk and life savings	Gross KShs.'000	Net KShs.'000	Gross KShs.'000	Net KShs.'000	Gross KShs.'000	Net KShs.'000
Mortality rates (1% increase)	8,271	7,445	(6,414)	(3,206)	(4,490)	(2,244)
Mortality rates (1% decrease)	(8,271)	(7,445)	6,414	3,206	4,490	2,244
Expenses (5% increase)	(34,207)	(30,793)	(25,271)	(24,650)	(17,690)	(17,255)
Expenses (5% decrease)	34,207	30,793	25,271	24,650	17,690	17,255
Lapse rates (5% increase)	(11,896)	(10,709)	(1,710)	(1,748)	(1,197)	(1,224)
Lapse rates (5% decrease)	11,896	10,709	1,710	1,748	1,197	1,224
Participating						
Mortality rates (1% increase)	105	105	(836)	(836)	(585)	(585)
Mortality rates (1% decrease)	(105)	(105)	836	836	585	585
Expenses (5% increase)	5,038	5,038	(39,982)	(39,982)	(27,988)	(27,988)
Expenses (5% decrease)	(5,038)	(5,038)	39,982	39,982	27,988	27,988
Lapse rates (5% increase)	48	48	(382)	(382)	(267)	(267)
Lapse rates (5% decrease)	(48)	(48)	382	382	267	267

33. Risk management (continued)

(h) Insurance risk (continued)

	2022 Restated					
	CSM		Profit or loss		Equity	
KShs 'ms Life risk and life savings	Gross KShs.'000	Net KShs.'000	Gross KShs.'000	Net KShs.'000	Gross KShs.'000	Net KShs.'000
Mortality rates (1% increase)	8,431	7,590	(6,806)	(3,422)	(4,764)	(2,396)
Mortality rates (1% decrease)	(8,431)	(7,590)	6,806	3,422	4,764	2,396
Expenses (5% increase)	(34,869)	(31,389)	(19,998)	(19,364)	(13,999)	(13,555)
Expenses (5% decrease)	34,869	31,389	19,998	19,364	13,999	13,555
Lapse rates (5% increase)	(12,127)	(10,916)	(5,628)	(3,432)	(3,939)	(2,403)
Lapse rates (5% decrease)	12,127	10,916	5,628	3,432	3,939	2,403
Participating						
Mortality rates (1% increase)	167	167	(1,322)	(1,322)	(925)	(925)
Mortality rates (1% decrease)	(167)	(167)	1,322	1,322	925	925
Expenses (5% increase)	7,962	7,962	(63,185)	(63,185)	(44,229)	(44,229)
Expenses (5% decrease)	(7,962)	(7,962)	63,185	63,185	44,229	44,229
Lapse rates (5% increase)	76	76	(603)	(603)	(422)	(422)
Lapse rates (5% decrease)	(76)	(76)	603	603	422	422

Policies and practices: underwriting strategy

- (i) All long-term insurance product additions and alterations are required to pass through the approval framework that forms part of the life insurance business' governance process. The statutory actuaries approve the policy conditions and premium rates of new and revised products;
- (ii) Specific testing for HIV/Aids is carried out in all cases where the applications for risk cover exceed a set limit. Product pricing and reserving policies also include specific allowance for the risk of HIV/ Aids;
- (iii) Applications for risk cover are reviewed by experienced underwriters and evaluated against established standards. Retention limits are applied to limit the exposure per individual life;
- (iv) Appropriate income replacement levels apply to disability insurance;
- (v) The experience of reinsurers is used where necessary for the rating of substandard risks;

Policies and practices: underwriting strategy

- (vi) The risk premiums for Group risk business and some of the in-force individual risk business can be adjusted within 12 months should claims experience deteriorate to the extent that such an adjustment is considered necessary.
Risk profits are determined on a regular basis; and
- (vii) Regular investigations into mortality and morbidity experience are conducted to ensure that corrective action, for example re-rating of premiums, is taken where necessary.

33. Risk management (continued)

(h) Insurance risk (continued)

(i) Persistency risk

Distribution models are used by the Group to identify high-risk clients. Client relationship management programmes are aimed at managing client expectations and relationships to reduce lapse, surrender and paid-up rates. The design of insurance products excludes material lapse, surrender and paid-up value guarantees, subject to regulatory constraints, to limit financial loss at surrender. Persistency experience is monitored to ensure that negative experience is timorously identified, and corrective action taken.

The Group's reserving policy is based on the statutory required Gross Premium Method which ensures that adequate provision is made for lapses, surrenders and paid-up policies.

(ii) Expense risk

Expenses are managed through the Group's budgeting process and continuous monitoring of actual expenses versus budgeted is conducted and reported on.

Sanlam Life analyses its expenses into 3 categories:

- (a) Those that relate to whether or not policies are in force and so can be expressed as a per policy amount in KShs increasing with the assumed expense inflation.
- (b) Those that relate to the amount of premium and so can be expressed as a percentage of premium.
- (c) Investment related expenses expressed as a percentage of funds under management.

There has been an increase in fixed per policy expenses as a result of lower than expected new business volumes and the reduced size of the existing book. The existing book has reduced because new business volumes and reinstatements are insufficient to replace exiting policies. Maturities arising from policies sold in the previous years also increased in 2022.

(iii) Mortality

Mortality experience analyses have shown that the assurance mortality experienced by Sanlam Life on individual life is lower than previously assumed. This emerges as a mortality profit in the Analysis of Surplus. The mortality assumptions for some products have been revised to closer reflect the current and expected future experience. For most products observed experience was in line with the expected experience and the mortality assumptions are unchanged from 2020. Most of the profits emerging from mortality experience arise from accidental riders. An allowance for expected excess Covid-19 mortality was however allowed for as we continue to monitor the mortality experience post the pandemic.

The annuity mortality basis was also maintained in 2022 similar to the 2022 basis with no significance variances noted between the actual observed and expected mortality experience. The assumed mortality rates on the annuity business continue to include an allowance for the expected improvement in annuitant's mortality over time.

(iv) Operating assumption changes

- The change in mortality assumptions for IL resulted in a positive impact on the VIF but this was offset by a change in the loss ratios on credit life (34% to 40%). This resulting in a negative impact of KShs. 22m.
- There was a positive impact from persistency mainly driven by an increase in the assumed premium collection rate on the bancassurance line of business from 95% to 97%
- Increase in unit maintenance costs on the individual life book from KShs. 5,765 to KShs. 6,417 while those in annuity business increased from 2,214 to 2,722, which were only offset partially by reduction in premium related expenses from 2.7% to 2.5%. This resulting in a negative impact on VIF of KShs. 7m.

33. Risk management (continued)

(h) Insurance risk (continued)

(iv) Operating assumption changes (continued)

The main economic assumptions (p.a.) used are as follows:

	2023 %p.a	2022 %p.a
Risk discount rate	23.1	19.3
Overall investment returns (pre-tax)	17.9	14.2
Expense inflation rate	15.1	11.3

(v) Claims risk

The risk that Sanlam Kenya Plc may pay fraudulent claims (claims risk) is mitigated by employing highly trained client service staff to ensure that fraudulent claims are identified and investigated thoroughly. The legitimacy of claims is verified by internal, financial and operating controls that are designed to contain and monitor claims risks. The Sanlam forensic investigation team also advises on improvements to internal control systems.

The Group writes a diverse mix of business, and continually monitors this risk and the opportunities for mitigating actions through reinsurance. The Group's life insurance businesses are focused on different market segments, resulting in a mix of individual and institutional clients, as well as entry-level, middle market and high net worth clients.

The tables below provide an analysis of the Group's exposure to the value of benefits insured:

Value of benefits insured per individual: non-participating life business

Sum assured KShs.'000	Number of lives		Before Reinsurance		After reinsurance	
	2023	2022	2023	2022	2023	2022
0 – 3,510	157,898	1,386,458	74,479,228	185,865,454	64,724,966	112,823,457
3,510 – 7,020	4,906	6,955	25,728,960	37,203,581	19,866,030	29,212,176
7,020 – 35,102	4,773	9,249	64,952,673	135,415,068	33,008,765	60,041,747
35,102 – 56,164	324	675	14,600,418	31,791,197	2,543,000	4,472,000
>56,164	153	529	14,940,581	58,952,027	1,072,000	2,858,000
Total	168,054	1,403,866	194,701,860	449,227,327	121,214,761	209,407,380

Non-participating annuity payable per annum per life insured

Sum assured KShs.'000	Number of lives		Before Reinsurance		After reinsurance	
	2023	2022	2023	2022	2023	2022
0 – 143	1,768	1,873	121,423,658	127,403	121,423,658	127,403
143 – 286	1,239	1,202	263,217,998	255,519	263,217,998	255,519
286 – 428	608	591	220,207,434	214,818	220,207,434	214,818
428 – 571	346	327	177,657,492	168,323	177,657,492	168,323
571 – 714	197	198	131,796,132	132,364	131,796,132	132,364
>714	571	537	765,965,832	721,865	765,965,832	721,865
Total	4,729	4,728	1,680,268,546	1,620,292	1,680,268,546	1,620,292

33. Risk management (continued)

(h) Insurance risk (continued)

(v) Claims risk (continued)

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by maximum insured loss limit included in the terms of the policy.

The amounts are the carrying amounts of insurance liabilities (gross and net of reinsurance) arising from insurance contracts:

Year ended 31 December 2023

Year ended 31 December 2023		Maximum Insured Loss				
		KShs. 0-15m 000'	KShs. 15 - 250m 000'	KShs. 250 - 1000m 000'	Total 000'	
Motor	Gross	25,673,308	5,265,168	1,191,315	32,129,791	
	Net	23,163,051	4,750,356	1,074,832	28,988,239	
Fire	Gross	35,037,861	71,649,608	472,392,265	579,079,734	
	Net	13,558,540	27,726,125	182,800,819	224,085,484	
Personal accident	Gross	3,736,063	31,797,290	73,040,074	108,573,427	
	Net	965,531	8,217,542	18,876,133	28,059,206	
Others	Gross	10,483,129	39,936,875	60,049,442	110,469,446	
	Net	4,713,533	17,956,832	27,000,053	49,670,418	
Total		Gross	74,930,361	148,648,941	606,673,096	830,252,398
		Net	42,400,655	58,650,855	229,751,837	330,803,347

Year ended 31 December 2022

Year ended 31 December 2022		Maximum Insured Loss				
		KShs. 3-15m 000'	KShs. 15 - 250m 000'	KShs. 250 - 1000m 000'	Total 000'	
Motor	Gross	38,376,432	7,698,927	1,160,737	47,236,096	
	Net	4,809,165	964,796	145,458	5,919,419	
Fire	Gross	36,221,879	83,604,702	614,535,525	734,362,106	
	Net	23,398,043	54,005,658	396,968,048	474,371,749	
Personal accident	Gross	1,860,992	34,683,587	87,832,710	124,377,289	
	Net	1,608,297	29,974,073	75,906,336	107,488,706	
Others	Gross	10,720,881	41,952,712	111,827,332	164,500,925	
	Net	6,379,084	24,962,489	66,538,930	97,880,503	
Total		Gross	87,180,184	167,939,928	815,356,304	1,070,476,416
		Net	36,194,589	109,907,016	539,558,772	685,660,377

33. Risk management (continued)

(h) Insurance risk (continued)

(v) Claims risk (continued)

Life business

Year ended 31 December 2023		3 - 3m KShs.'000	3 - 15m KShs.'000	15 - 250m KShs.'000	250 - 1000m KShs.'000	Total KShs.'000
Ordinary life	Gross	24,219,628	7,600,181	1,407,118	-	33,226,927
	Net	20,995,005	1,968,750	278,500	-	23,242,255
Group life	Gross	41,325,960	62,680,906	56,717,238	750,829	161,474,933
	Net	36,895,372	46,695,362	14,369,773	12,000	97,972,507
Total	Gross	65,545,588	70,281,087	58,124,356	750,829	194,701,860
	Net	57,890,377	48,664,112	14,648,273	12,000	121,214,762

Year ended 31 December 2022		3 - 3m KShs.'000	3 - 15m KShs.'000	15 - 250m KShs.'000	250 - 1000m KShs.'000	Total KShs.'000	
Ordinary life	Gross	24,268,389	6,728,730	1,258,600	-	32,255,719	
	Net	20,918,275	1,875,400	285,250	-	23,078,925	
Group life	Gross	150,328,497	103,781,609	154,906,971	7,954,622	416,971,699	
	Net	83,034,349	73,804,510	29,408,597	81,000	186,328,456	
Total		Gross	174,596,886	110,510,339	156,165,571	7,954,622	449,227,418
		Net	103,952,624	75,679,910	29,693,847	81,000	209,407,381

The concentration by sector or maximum insured loss at the end of the year is broadly consistent with the prior year.

(i) Capital adequacy risk

Refer to the capital management section (Note 32) for details on the management of the Group's capital base.

34. Carrying value of assets and liabilities not measured at fair value

The table below represents the carrying value and fair value of assets and liabilities measured at amortised cost.

Group	2023 Carrying value KShs.'000	2023 Restated Fair value KShs.'000	2022 Carrying value KShs.'000	2022 Restated Fair value KShs.'000
Assets				
Loans	86,178	86,178	92,221	92,221
Right of use asset	64,791	64,791	64,882	64,882
Reinsurance contract assets	1,153,349	1,153,349	1,958,063	1,958,063
Inventory	90,108	90,108	89,696	89,696
Receivables from intermediaries	255,201	255,201	197,430	197,430
Receivables and other financial assets	130,129	130,129	210,412	210,412
Government securities - At amortised cost	1,095,918	1,081,583	1,097,591	1,556,898
Deposits with financial institutions	1,561,421	1,561,421	1,343,437	1,343,437
Cash and bank balances	477,955	477,955	304,645	304,645
Liabilities				
Borrowings	(4,657,143)	(4,657,143)	(4,088,010)	(4,088,010)
Reinsurance Contract Liabilities	(53,586)	(53,586)	(33,639)	(33,639)
Provisions	(35,935)	(35,935)	(151,603)	(151,603)
Payables and other charges	(865,749)	(865,749)	(713,407)	(713,407)
Net amounts	(697,363)	(711,698)	371,718	831,025

The table below represents the fair value assets and (liabilities) measured at amortised cost other than government securities and cash deposits.

Company	2023 Carrying value KShs.'000	2023 Carrying value KShs.'000	2022 Fair value KShs.'000	2022 Fair value KShs.'000
Assets				
Inventory	90,108	89,696	90,108	89,696
Receivables and other financial assets	29,486	27,533	29,486	27,533
Deposits with financial institutions	17,754	-	17,754	-
Cash and bank balances	6,372	4,937	6,372	4,937
Liabilities				
Borrowings	(3,516,918)	(3,002,310)	(3,516,918)	(3,002,310)
Payables and other charges	(116,797)	(95,598)	(116,797)	(95,598)
Net amounts	(3,489,995)	(2,975,742)	(3,489,995)	(2,975,742)

35. Subsequent events – Group and Company

Events subsequent to the financial position date are disclosed only to the extent that they relate directly to the financial statements and their effect is material. Subsequent to year-ended 31 December 2023, Sanlam Life Insurance Ltd (subsidiary) disbursed KShs 400 million in dividends to its parent company, Sanlam Kenya Plc. These funds were allocated towards the reduction of outstanding borrowings from Stanbic Bank, with a total of KShs. 625 million utilized for this purpose in April 2024. Notably, KShs 225 million of the amount utilized for debt repayment stemmed from the proceeds generated from the sale of investments in Family Bank shares also in 2024.

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